Worldly Partners Multi-Decade Study

Epic Systems

Index

Epic Systems

Epic Systems has been a private company since its founding in 1979. The company has had limited publicly available information, especially in its early years, regarding its business strategy, operations, historical financials, and financing. Our estimates were based on very limited public revenue information across non-Epic sources: an estimated revenue of $1 million in 1985,[1] which was the earliest revenue number we could find, and $4.9 billion in sales in 2023 at Epic.[2] We hypothesize that Epic's private valuation may have grown from approximately $70,000[3] in 1979 to approximately $32 billion in 2023, assuming its EV/EBITDA was close to Cerner, Epic's closest comp in electronic health record. ***This would imply an estimated roughly 462,000x return on investment in Epic in 1979, around 35% CAGR for over four decades.*** *In 2021, Forbes estimated Judy Faulkner's 47% stake in Epic to be worth $6 billion, suggesting a company equity valuation of about $13 billion, assuming most of her net worth comes from her 47% ownership of Epic.[4] This would represent approximately a 185,700x return on the original $70,000 investment made at the company's founding in 1979, a 33% CAGR. For details of the valuation, please refer to page 72 of this document.*

Mental Model Summary Derived from Epic Systems

1. **Electronic health records (EHR) have generally enabled meaningfully lower costs for both hospitals (reductions of 9.66%) and patients and higher quality care (45% of patients reported improved quality of care since EHR adoption and 44% felt their interactions with physicians improved[5]). Epic, for example, has helped prevent millions of medical incidents annually (175 million in 2024).[6] However, over their tenure, EHRs have also been accused of leading to up-billing and more administrative work and documentation.**

   A 2014 study published in the American Journal of Managed Care found that patients treated in hospitals with advanced electronic health record systems incurred (on average) 9.66% less in admission costs ($731 per patient) compared to those in hospitals without such systems, after adjusting for patient and hospital characteristics.[7] In addition, according to the Kaiser Family Foundation, 45% of patients reported improved quality of care since the adoption of electronic health records, 44% felt their interactions with physicians improved, with just 7% reporting a negative impact and only 6% noting a decline.[8]

   The opportunity cost of electronic health records, manual systems, failed to retrieve 18% of requested records on time, while computer-based systems had a 100% success rate, highlighting the reliability and value proposition of EHRs.[9] Higher accuracy in healthcare means saving lives, as seen in the results. **Epic's technology had a direct**

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[1] 1985: Epic Systems - An Epic Timeline. https://web.archive.org/web/20240303041500/https://isthmus.com/news/cover-story/epic-systems-an-epic-timeline/

[2] Data from 2024 was not available at the time of writing. 2023: Epic's Revenue over the Past 5 Years. https://www.beckershospitalreview.com/healthcare-information-technology/ehrs/epics-revenue-over-the-past-5-years/

[3] The company raised $70,000 at its founding. Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81

[4] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[5] Public's Experiences With Electronic Health Records. https://web.archive.org/web/20230608091558/https://www.kff.org/other/poll-finding/data-note-publics-experiences-with-electronic-health-records/

[6] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[7] Association of Electronic Health Records With Cost Savings in a National Sample. The American Journal of Managed Care. https://web.archive.org/web/20240313012614/https://www.ajmc.com/view/association-of-electronic-health-records-with-cost-savings-in-a-national-sample

[8] Public's Experiences With Electronic Health Records. https://web.archive.org/web/20230608091558/https://www.kff.org/other/poll-finding/data-note-publics-experiences-with-electronic-health-records/

[9] Chapter 4. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459

impact on patient safety. In 2024, Epic helped identify 175 million instances where physicians revised erroneous orders.[10]

Calculating customers' ROI of Epic is difficult to do, and determining the typical cost of implementing Epic's technology is challenging due to the wide range of variables involved, such as the number of hospitals, beds, users, the system's complexity, and the extent of customization. Neither Epic nor its clients publicly disclose contract terms or bidding details. A former Epic project manager noted that implementation costs can range from the low millions for smaller organizations to close to a hundred million for large health systems with 10 to 20 hospitals,[11] while a former director of implementation at Epic stated that "a large academic health system would probably spend $250 million to $350 million on their [total cost of ownership] for all functions of delivering." While Epic's implementation costs may appear high, depending on the size of hospitals, it delivers long-term financial benefits. For example, Cleveland-based University Hospitals, a health system comprising of 18 hospitals as of the end of 2023, planned to invest $400 million in Epic with an expected payback period of less than five years.[12] The health system expected that, once fully implemented, the new platform was projected to generate annual financial benefits exceeding $100 million.

Some critics argue that electronic health record companies such as Epic serves the financial and regulatory goals of hospital administrators more than the clinical needs of physicians.[13] **A study published in Annals of Family Medicine found that primary care doctors spend nearly two hours on electronic health record tasks for every hour of direct patient care when using Epic, fueling concerns that documentation has overtaken medicine.[14] It is important to note that these issues are not unique to Epic but are common across electronic health record systems.[15]**

In addition, some have also argued that electronic health records generally facilitate aggressive billing practices, especially through "upcoding." Government officials warned that electronic health records were being misused for "cloning" documentation and upcoding to inflate Medicare and Medicaid payments.[16] A 2012 report by the Center for Public Integrity found that providers often billed for more expensive services than they actually delivered, taking advantage of Medicare billing codes that vary based on the level of care and time involved. This issue was particularly pronounced in hospital emergency rooms, where outpatient billing rules differ and Medicare audits are infrequent. Critics have warned that the problem has worsened due to lax government oversight and the widespread adoption of EHR systems, which can make it easier to manipulate billing.[17]

2. **Epic has provided reliable, comprehensive, all-in-one solutions for healthcare systems, which has been a key driver of its success and high customer retention (90%).[18] Epic salespeople are "BFFs" ("Best Friends Forever") to their customers, building close relationships and driving sales with decision-makers.**

   Unlike Silicon Valley startups that embrace a "move fast and break things" mentality, the healthcare industry operates under a far more conservative ethos. As one former Cerner executive put it, "You can't tell a doctor it's

[10] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[11] Interview with Former Project Manager at Epic. 12/14/2023

[12] University Hospitals' Epic Install to Cost $400M. https://www.beckershospitalreview.com/ehrs/university-hospitals-epic-installation-to-cost-400m/

[13] The Electronic Health Record Problem. https://www.commonwealthfund.org/blog/2018/electronic-health-record-problem; EHRs Still Burden Physicians. https://www.fortherecordmag.com/archives/ND18p18.shtml

[14] Arndt BG, Beasley JW, Watkinson MD, Temte JL, Tuan WJ, Sinsky CA, Gilchrist VJ. Tethered to the EHR: Primary Care Physician Workload Assessment Using EHR Event Log Data and Time-Motion Observations. Ann Fam Med. 2017 Sep;15(5):419-426. doi: 10.1370/afm.2121. PMID: 28893811; PMCID: PMC5593724.

[15] Poissant L, Pereira J, Tamblyn R, Kawasumi Y. The impact of electronic health records on time efficiency of physicians and nurses: a systematic review. J Am Med Inform Assoc. 2005;12(5):505-516. doi:10.1197/jamia.M1700

[16] AHA, AAHC React to Sebelius Warning about EHRs, Upcoding, and Fraud. https://www.healthcareitnews.com/news/aha-aahc-react-sebelius-warning-about-ehrs-upcoding-and-fraud;

[17] Growth of Electronic Medical Records Eases Path to Inflated Bills. https://publicintegrity.org/health/growth-of-electronic-medical-records-eases-path-to-inflated-bills/

[18] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

okay to fail… It's not okay to fail. That's death."[19] This risk aversion makes vendor selection a complex decision, driven by regulatory compliance and operational reliability. Even when Epic's products are delayed or still under development, hospital leaders often choose to wait rather than gamble on an unproven alternative. This cautious approach reflects the culture of healthcare itself, grounded in the guiding principle: "First, do no harm."[20] **Ultimately, it is Epic's reliability, not necessarily its speed of innovation, that has solidified its position as the default choice for many healthcare providers. With a 45-year track record and endorsements from major healthcare systems and academic medical centers, Epic continues to dominate through trust and incumbency.** The healthcare industry's conservative nature and high regulatory barriers have made it difficult for traditional tech giants and new entrants to gain meaningful traction.

Despite being in a highly conservative healthcare industry, Epic has also managed to be at the forefront of innovation in its field. A great example of Epic's innovation is in the area of electronic health record interoperability, a feature Judy Faulkner has stated Epic invented. Epic believes that it was the first electronic health record company to enable hospitals to electronically share patient records across different systems, successfully doing so in 2008 between two hospitals in Long Beach, California[21] – years before interoperability became a regulatory requirement under the 21st Century Cures Act, passed in 2016.[22]

By design, hospitals using Epic can reportedly share patient records with each other quite easily, but data exchange with other vendors' systems is handled on a case-by-case basis.[23] That design, favoring internal connectivity (intra-operability), potentially helped Epic build a powerful network effect, especially during the company's early stage. As more academic institutions adopted Epic, clinical teams became more familiar with its interface and workflows, making it easier to onboard new staff and share data across organizations. Kristin Myers, the chief digital and information officer of Mount Sinai Health System, explained, "The ability to exchange clinical information between organizations, the [number] of clinical teams that have used Epic at other institutions, and the sophistication of the product will lead to other transitions."[24]

In addition, Epic takes a unique approach to managing customer relationships. Instead of using traditional account executives, each client is assigned a contact person known as a "BFF" (Best Friend Forever).[25] **It is a bi-lateral matching process aimed at finding the right fit for each organization. This role is designed to build long-term, meaningful relationships with customers, based on the belief that once a client joins Epic, they will never leave. In fact, according to Faulkner, Epic has essentially never lost a client, only losing clients in rare cases where physicians from small clinics moved to different systems following acquisitions.[26]**

The BFF is typically paired with a senior executive at the client organization, such as a CIO or CEO, and is responsible for maintaining close communication and staying informed about their needs. Internally, BFFs are given talking points on new features of products that they roll out. BFFs are encouraged to discuss these new features with their counterparts to spark interest and offer demonstrations when appropriate. If a client shows interest in lower-level

[19] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[20] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[21] Health Records Firm Epic Raises Profile. https://web.archive.org/web/20220815052700/https://www.politico.com/story/2014/10/epic-systems-digital-health-care-system-112288

[22] Information Blocking. https://web.archive.org/web/20250313205304/https://www.healthit.gov/topic/information-blocking

[23] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[24] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[25] Interview with Former Implementation Director at Epic Systems. 12/19/2023

[26] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

offerings, the BFF can draft and send a term sheet. For larger or more complex deals, Epic brings in its sales leaders to guide negotiations and manage the sales process.

Epic's Gold Star Program is a 10-star system that evaluates how effectively clients are using Epic's most salient, and more underutilized, features. The program highlights key features that peers widely adopt, helping clients prioritize what to implement next. It serves as both a guide and a motivator. Each year at Epic UGM (User Group Meeting), a major annual event that celebrates client achievements, organizations that reach the top levels are publicly recognized, their names projected on slides and called out in front of the audience. This recognition creates a healthy sense of customer pride and comeptition, driving customers' adoption of new features and increasing their engagement with Epic software. This approach also potentially creates an environment of peer pressure such that no one wants to fall behind on rankings when their peers are making the most of the software. In addition to recognition, Epic offers financial incentives to customers who score highly on the Gold Star evaluation, meet objectives, and make Epic's maintenance easier. In 2024, Epic awarded approximately $27 million in credits to customers through this program. Those who received the credits on average saw a saving of $600,000 to $800,000 per year, depending on organization size, with some achieving up to 7% reduction in operating expenses.[27]

3. **A large total addressable market and regulatory adoption tailwinds ($27 billion government incentive adoption of electronic health record systems in 2009[28]) drove massive rapid adoption, from about 9% of hospitals in 2009 to over 95% by 2014.[29]**

In 2008, only 1.5% of U.S. hospitals had fully implemented digital systems and then only 7.6% had a basic electronic system (a total of 9% of U.S. hospitals), according to a study published in the New England Journal of Medicine,[30] implying a significant total addressable market for a more comprehensive electronic health record system as Epic offers. By 2014, over 95% of U.S. hospitals had adopted electronic health record systems.[31] Although there were always many statistical benefits to hospitals adopting electronic health records such as efficiency, quality improvements, and cost savings, the adoption of electronic health records faced significant challenges through the 1980s. High costs, data entry errors, skepticism from physicians, and a lack of financial incentives all slowed progress.[32] The shift to electronic health records accelerated with a big push from Washington, D.C. In the final years of the George W. Bush administration, the Health Information Technology for Economic and Clinical Health (HITECH) Act received bipartisan support.[33] While the exact figure of market size of electronic health records was lacking at that time due to its early stage, President Obama stated in 2009 that "within five years, all of America's medical records are computerized."[34] Signed into law by President Barack Obama in 2009 as part of the American Recovery and Reinvestment Act (ARRA) to aid the Financial Crisis, the legislation offered substantial financial incentives, around $27 billion, for hospitals and healthcare providers to adopt electronic medical records. **Many healthcare institutions moved quickly to adopt or upgrade their electronic health record systems to qualify for incentives and avoid Medicare reimbursement penalties** (1% increase each year and up to 5% of the Medicare reimbursement) **that were scheduled to begin in 2015 for non-compliance.[35]**

[27] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[28] HITECH Act Drove Large Gains in Hospital EHR Adoption. https://web.archive.org/web/20250204001242/https://www.aha.org/news/headline/2017-08-08-study-hitech-act-drove-large-gains-hospital-ehr-adoption
[29] In 2008, only about 1.5% of U.S. hospitals had fully implemented digital systems, and 7.6% had a basic electronic system. Use of Electronic Health Records in U.S. Hospitals - New England Journal of Medicine. https://www.nejm.org/doi/10.1056/NEJMsa0900592; National Trends in Hospital and Physician Adoption of Electronic Health Records. https://web.archive.org/web/20250207234225/https://www.healthit.gov/data/quickstats/national-trends-hospital-and-physician-adoption-electronic-health-records
[30] Use of Electronic Health Records in U.S. Hospitals - New England Journal of Medicine. https://www.nejm.org/doi/10.1056/NEJMsa0900592
[31] National Trends in Hospital and Physician Adoption of Electronic Health Records. https://web.archive.org/web/20250207234225/https://www.healthit.gov/data/quickstats/national-trends-hospital-and-physician-adoption-electronic-health-records
[32] Electronic Health Records Then, Now, and in the Future. https://pmc.ncbi.nlm.nih.gov/articles/PMC5171496/
[33] Passing the Baton - Health IT Buzz. https://www.healthit.gov/buzz-blog/from-the-astp-desk/passing-the-baton
[34] Address at George Mason University in Fairfax, Virginia. https://web.archive.org/web/20250208231734/https://www.presidency.ucsb.edu/documents/address-george-mason-university-fairfax-virginia
[35] Medicare and Medicaid EHR Incentive Program Basics. https://web.archive.org/web/20120620212232/www.cms.gov/Regulations-and-Guidance/Legislation/EHRIncentivePrograms/Basics.html

With this regulatory tailwind, Epic was well-positioned during the Obama administration, which signed HITECH Act into law in February 2009.[36] In July 2010, the Centers for Medicare & Medicaid Services (CMS) announced that beginning in 2011, providers would need to demonstrate "meaningful use" of certified electronic health record (EHR) technology to qualify for federal incentives.[37]

Epic's founder, Judy Faulkner, was appointed in April 2009 to a federal advisory committee representing health IT vendors.[38] From 2009 to 2014, that committee played a role in overseeing how $19 billion in stimulus funding for health IT would be allocated.[39] While others with backgrounds from Epic's competitors also held roles in shaping healthcare policy during this period, their involvement drew less scrutiny and criticism than Epic did. For example, Nancy-Ann DeParle, who had served on Cerner's board, stepped down in 2009 to join the Obama administration and help the president with health reform agenda with Congress. The White House emphasized that DeParle would sever all ties to former clients and distance herself from any matters related to former clients or employees.[40] In contrast, Epic faced heightened political criticism while other vendors were not subjected to the same level of public attention.

A December 2013 transcript from the Health IT Policy Committee indicated that Faulkner was the only member representing an electronic health record vendor at the time.[41] It was not until 2014 when Judy Faulker left that Neal Patterson, the founder and the then CEO of Cerner, was appointed by the Government Accountability Office (GAO) as a member of the Health IT Policy Committee.[42] Faulkner's seat on the Health Information Technology Policy Committee as the representative of health IT vendors from 2009 to 2014[43] raised concerns of political favoritism. According to the Heritage Foundation, a think tank in Washington, D.C., between 2006 and 2009, Epic employees contributed nearly $300,000 to Democrats, and Faulkner herself made donations to Democratic politicians both before and after Barack Obama was elected.[44] Federal Election Commission data shows that between 2006 and 2016, she contributed more than $300,000 in total, including $57,000 to the Democratic National Committee Services in 2007 and 2008, over $110,000 to the Democratic Congressional Campaign Committee from 2009 to 2012, and numerous smaller donations to Democratic affiliations across the country.[45] However, considering that successful presidential campaigns such as those of Barack Obama and Joe Biden, raised hundreds of millions to over a billion dollars,[46] it is unclear how, or if, Faulker's contributions meaningfully influenced or benefited her business.

<u>Faulkner's appointment was particularly controversial because Epic opposed the Obama administration's goal of multivendor interoperability, a system that allowed different health IT platforms to exchange data, favoring instead a</u>

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[36] HITECH Act Enforcement Interim Final Rule. HHS.gov. https://www.hhs.gov/hipaa/for-professionals/special-topics/hitech-act-enforcement-interim-final-rule/index.html

[37] CMS and ONC Final Regulations Define Meaningful Use and Set Standards for Electronic Health Record Incentive Program. https://www.cms.gov/newsroom/fact-sheets/cms-and-onc-final-regulations-define-meaningful-use-and-set-standards-electronic-health-record

[38] GAO Announces Appointments to Health Information Technology Policy Committee. 4/3/2009. United States Government Accountability Office.

[39] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[40] Cerner Director is Obama's Health Czar. https://www.digitalhealth.net/2009/03/cerner-director-is-obamas-health-czar/

[41] HIT Policy Committee Transcript. 12/4/2013.

[42] GAO Makes Appointments to Health IT Policy Committee. https://web.archive.org/web/20250205081126/https://www.gao.gov/press-release/gao-makes-appointments-health-it-policy-committee

[43] 50 Things to Know about Epic and Judy Faulkner. https://www.beckershospitalreview.com/healthcare-information-technology/50-things-to-know-about-epic-and-judy-faulkner/; Health Information Technology Policy Committee Summary. 5/6/2014.

[44] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts; An Epic Conflict of Interest. https://dailycaller.com/2011/12/27/an-epic-conflict-of-interest/

[45] Browse Individual Contributions. Federal Election Commission. https://www.fec.gov/data/receipts/individual-contributions/?contributor_name=judith+faulkner&two_year_transaction_period=2008&two_year_transaction_period=2010&two_year_transaction_period=2012&two_year_transaction_period=2014&two_year_transaction_period=2016

[46] BIDEN, JOSEPH R JR – Candidate Overview. Federal Election Commission. https://www.fec.gov/data/candidate/P80000722/?cycle=2020&election_full=true; OBAMA, BARACK – Candidate Overview. Federal Election Commission. https://www.fec.gov/data/candidate/P80003338/?cycle=2008&election_full=true

single-vendor model.[47] While Epic claimed to support interoperability, in practice, as many industry participants pointed out, its systems only worked effectively when all parties used Epic software. Faulkner argued that using multiple vendors' systems can compromise patient safety, a position that conveniently supports the company's preference for its own ecosystems. During his presidency, Obama praised Epic clients such as Kaiser Permanente and the Cleveland Clinic as "examples of how we can make the entire health care system more efficient."[48] The Cleveland Clinic, he noted, had "one of the best health information technology systems in the country."

In 2014, Epic reportedly paid lobbyist Bradford Card, brother of George W. Bush's former chief of staff, over $130,000 to lobby members of Congress that the company supported interoperability. Card claimed that Epic had been the "subject of misinformation," arguing that "they're not interoperable, when in fact they are."[49]

4. **Epic's historical long-term focus on large academic medical centers and health systems[50], representing more than 60% of patient revenue in the U.S., aligned closely with the institutions leading the adoption of electronic health records.[51] The company's extensive datasets and advanced data analytics reinforce and entrench its value proposition to large academic medical centers and hospital systems.**

Epic controls nearly 60% of the academic medical center market as of 2022.[52] The company's long-term focus is on academic medical centers and large health systems.[53] These organizations represent more than 60% of patient revenue in the U.S. and at least $813 billion in healthcare expenditures flowing through Epic Systems in 2023 alone, aligning neatly with the institutions most likely to lead in the adoption of electronic health records.[54] **Also, over 90% of medical students and residents now train on Epic systems,[55] giving the company a unique advantage in embedding its software deeply into the next generation of healthcare professionals' workflows.** A 2016 report underscored Epic's footprint in research institutions as well. All 15 hospitals receiving the most funding from the National Institutes of Health at the time were Epic clients.[56] **With most academic medical centers relying on Epic, the software often becomes the default standard in medical education, reinforcing its dominance.**

Christopher Sharp, the chief medical information officer of Stanford Health Care, noted that Epic initially gained traction because of "its integrated platform across ambulatory and inpatient care,"[57] adding that Stanford's children's hospital switched from Cerner to Epic largely due to Epic's "more robust ambulatory offering." This comprehensive integration was crucial for academic centers seeking seamless data sharing and operational coherence. Moreover,

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[47] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[48] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[49] We've Spent Billions to Fix Our Medical Records, and They're Still a Mess. Here's Why. https://web.archive.org/web/20250226035013/https://www.motherjones.com/politics/2015/10/epic-systems-judith-faulkner-hitech-ehr-interoperability/

[50] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[51] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[52] How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[53] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[54] Diana ML, Kazley AS, Ford EW, Menachemi N. Hospital characteristics related to the intention to apply for meaningful use incentive payments. Perspect Health Inf Manag. 2012;9(Spring):1h.

[55] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[56] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[57] How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

Epic's track record of consistent and successful implementation reassured major institutions about the value of their investment.

A pricing dispute occurred in 2018 when Cerner protested after losing a contract with the University of Illinois Hospital & Health System. Cerner's bid was $60.5 million, slightly lower than Epic's $62 million.[58] However, Epic countered that the total implementation cost for Cerner's system was projected at $154 million, compared to $151 million for Epic. Despite close bids in that case, **according to a former Cerner salesperson, Epic is widely regarded as the most expensive option, followed by Cerner, Meditech, and others.[59] In the hospital market, Epic was estimated to cost about 50% more than Meditech.[60]** Jeff Gautney, the chief information officer of Rush University System for Health, pointed out, "you get what you pay for 100% of the time," despite Epic being "not cheap." The reliability of Epic's implementation, combined with its ability to scale with large, complex systems, positioned it as a safer bet in a high-stakes environment.

Beyond product functionality, Epic created platforms like Cosmos, which aggregates data from over 217 million patient records, according to a 2023 report,[61] offering academic institutions a powerful tool for research and benchmarking. As Dr. Sharp put it, "Where else can you get on a platform that has 210 million lives of data? This is kind of extraordinary." **Epic's competitors lack comparable offerings, giving customers few alternatives and making Epic the only option for health systems seeking to leverage large-scale clinical data.[62]**

This data is a powerful business asset for Epic, attracting and retaining customers with its growing data ecosystem, particularly through the Cosmos data science platform, initiated in 2019 and launched in 2022, and its public-facing site, Epicresearch.org.[63] These databases leverage Epic's large-scale healthcare data for actionable clinical insights and improved patient outcomes. **As of 2022, Cosmos contained data from 2.2 billion provider visits and approximately 140 million patients (15.3 billion encounters, 7.4 billion face-to-face visits, and 296 million patients in 2025[64]). This de-identified data, shared by Epic's customers, forms the basis for high-impact clinical research that is being published in hundreds of medical journals across the country.** One study using Epic's dataset found a reduction in cancer screenings during the onset of COVID-19 that breast and cervical cancer screenings dropped by 94%, while colon cancer screenings declined by 86%,[65] raising public health concerns that delayed detection may lead to an increase in late-stage cancer diagnoses and potentially worse outcomes. As a result of the study, many healthcare organizations encouraged patients to reschedule missed screenings and prioritize preventive care.

Epic also benefitted from a growing network effect. As more academic institutions adopted Epic, clinical teams became more familiar with its interface and workflows, making it easier to onboard new staff and share data across organizations. Kristin Myers, the chief digital and information officer of Mount Sinai Health System, explained, "The ability to exchange clinical information between organizations, the [number] of clinical teams that have used Epic at other institutions, and the sophistication of the product will lead to other transitions."[66] This momentum created a tipping point where institutions found it increasingly advantageous, and eventually necessary, to join the Epic community. In addition, seamless record exchange via Epic's Care Everywhere is crucial, especially for academic medical centers that depend heavily on specialty referrals.

Ultimately, once a health system adopts Epic, switching becomes exceedingly difficult. The platform supports the entire patient journey, from appointment scheduling to clinical documentation, billing, and follow-up, resulting in a deeply embedded infrastructure. Not only is it expensive to switch to a new electronic health record system, but it also takes a very long time to make a complete transition. For example, in 2020, Florida-based AdventHealth announced it

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[58] Epic Defends UI Health Contract amid Cerner Dispute. https://web.archive.org/web/20240303063942/https://www.healthcaredive.com/news/epic-defends-ui-health-contract-amid-cerner-dispute/524248/

[59] Interview with Former Sales Leader & Business Development and Strategic Partnership Expert at Cerner. 1/20/2023

[60] Interview with Chief Strategy Officer and Co-Founder at Clearwave Corp. 2/28/2024

[61] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[62] Interview with Former Quality Manager at Epic Systems. 12/20/2023.

[63] Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

[64] About Epic Cosmos. https://cosmos.epic.com/about/

[65] Cancer Screenings Are Still Lagging. https://www.epicresearch.org/articles/cancer-screenings-are-still-lagging

[66] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

would implement Epic's electronic health record system across 37 hospitals.[67] The full deployment was projected to take over three years and cost approximately $650 million, not including ongoing maintenance, which adds millions more annually. Institutions that invest hundreds of millions or billions into Epic are unlikely to abandon the system easily. Restuccia underscored this point:

> "To change your electronic health record at this point, it's literally hundreds of millions of dollars, if not billions, and then all the change management that goes with it. So once systems like this are in place, it takes a lot to remove them...I don't know what the factor would be that would cause an institution to remove their Epic EHR at this point."[68]

As a result, Epic's early lead and consistent performance have helped it lock in its position, making it the default choice for academic medical centers and solidifying its dominance in the U.S. healthcare landscape.

5. **Epic frequently gathers feedback from users including doctors, nurses, and other healthcare professionals, and invests heavily in R&D to incorporate that input, more than double its closest competitor.**

   Epic listens to and addresses customers' (doctors and hospitals) feedback directly, including writing responses to customers' questions.[69] The company also drives innovation by focusing on real-world problems and gathering ideas from a wide range of sources, including users who share feedback via conversations, emails, and steering committees made up of specialists.[70] **A key part of Epic's innovation process involves "immersion trips," where software developers are required to spend time in clinical settings like operating rooms to directly observe workflows, identify inefficiencies, and understand user needs.** According to a former senior program manager at Epic, many of the company's system improvements stem from these developers on-site, where observing customers' workflows helps identify ways to enhance core functionality.[71]

   In 2016, Judy Faulkner, the founder of Epic, revealed in an interview that the company allocated 50% of its operating expenses to R&D, significantly outpacing its health IT competitors.[72] For comparison, Allscripts spent 34% of its operating expenses on R&D, Cerner, Epic's closest competitor, was at 19%, and athenahealth just 10%.[73] This level of investment even surpassed traditional tech giants such as Google, Apple, and Amazon when measured as a percentage of operating expenses, 45%, 36%, and 18%, respectively. In 2025, Epic's website states that it invests 35% of its operating expenses into research and development.[74] In contrast, Cerner's R&D spending, approximated by its software development costs, accounted for about 20% of operating expenses, according to its 2021 annual report, prior to its acquisition by Oracle Health. Epic estimates that, in general, competitors invest around 15% of their operating expenses in R&D.[75]

   Faulkner explained that Epic's high R&D spending is driven by its focus on building entire systems from scratch. Rather than acquiring companies or technologies and dealing with integration challenges, Epic invests directly in in-house development. This approach allows the company to dedicate its resources fully to innovation without diluting

[67] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[68] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[69] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[70] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[71] Interview with Former Senior Program Manager at Epic Systems. 12/19/2023

[72] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[73] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[74] About – Epic. https://www.epic.com/about/; Cerner Annual Report 2021.

[75] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

efforts on mergers or system compatibility issues. Faulkner said "It's totally about building new things…We don't have to spend a chunk of our R&D money trying to incorporate other stuff."[76]

A notable example of innovation is the interoperability of Epic software. Epic stated that it was the first electronic health record company to enable hospitals to electronically share patient records across different systems, successfully doing so in 2008 between two hospitals in Long Beach, California[77] – years before interoperability became a regulatory requirement under the 21st Century Cures Act, passed in 2016.[78]

Kristin Myers, the chief digital and information officer of Mount Sinai Health System, explained, "The ability to exchange clinical information between organizations, the [number] of clinical teams that have used Epic at other institutions, and the sophistication of the product will lead to other transitions."[79] Seamless record exchange is crucial, especially for academic medical centers that depend heavily on specialty referrals. **Holding more patient records than any competitor, Epic facilitates record-sharing with non-Epic hospitals and federal agencies; this capability serves as both a selling point and a perceived public service, strengthening its competitive moat and market dominance.[80]**

Another notable example of innovation from Epic is the launch of MyChart in 1999, which remains the company's primary patient portal used by over 190 million patients today[81] and exemplifies the impact of its R&D investments. At the time of its launch, MyChart was a pioneering tool giving patients direct access to their medical records, test results, and appointments, something that "many doctors viewed that information as theirs rather than belonging to patients".[82] Reflecting on the launch, Sumit Rana, Epic's senior vice president of R&D, noted, "it was new technology… But it was also a very disruptive and very uncomfortable thing."

6. **Over nearly three decades, Epic has sustained high growth (an organic 25% sales CAGR from 1985 to 2024[83]) and likely strong internal rates of return. Public similar peer Cerner's median ROTCE has been 39% and ROIC of 15%.[84]** Since 1985, Epic's revenue has grown at a 25% CAGR to $5.7 billion in 2024.[85] Epic, assuming it followed

[76] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[77] Health Records Firm Epic Raises Profile. https://web.archive.org/web/20220815052700/https://www.politico.com/story/2014/10/epic-systems-digital-health-care-system-112288

[78] Information Blocking. https://web.archive.org/web/20250313205304/https://www.healthit.gov/topic/information-blocking

[79] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[80] 1,000 Epic Hospital Customers, 22,000 Clinics Now Live on TEFCA. https://www.fiercehealthcare.com/health-tech/epic-says-1000-hospital-customers-have-transitioned-tefca-industry-mulls-future-medical; Health Records Giant Epic Hit with Antitrust Suit. https://www.axios.com/2024/09/24/antitrust-lawsuit-filed-ehr-giant-epic

[81] MyChart is Epic. https://www.mychart.org/

[82] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[83] An estimated revenue of $1 million in 1985, which was the earliest revenue number we could find, and $5.7 billion in sales in 2024 at Epic. Judy Faulkner has stated that Epic has never raised venture capital or made any acquisitions, instead choosing to develop all of its software entirely in-house, implying an organic 25% sales CAGR. Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81; 1985: Epic Systems - An Epic Timeline. https://isthmus.com/news/cover-story/epic-systems-an-epic-timeline/; 2024: Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[84] Calculated from Cerner Annual Report 1994 – 2021.

[85] An estimated revenue of $1 million in 1985, which was the earliest revenue number we could find, and $5.7 billion in sales in 2024 at Epic. Judy Faulkner has stated that Epic has never raised venture capital or made any acquisitions, instead choosing to develop all of its software entirely in-house, implying an organic 25% sales CAGR. Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81; 1985: Epic Systems - An Epic Timeline. https://isthmus.com/news/cover-story/epic-systems-an-epic-timeline/; 2024: Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

similar economics to Cerner, [86] has been a high-return business, delivering a median ROTCE and ROIC of 39% and 15%, respectively, from 1993 to 2021.

7. **Epic has a mission-driven offbeat culture.** This is best exemplified at its annual user conference, which blends serious tech discussions with the feel of an elaborate festival. These gatherings feature hundreds of seminars alongside themed experiences inspired by everything from Harry Potter to outer space. While the productions are whimsical and theatrical, Judy Faulkner's message remains grounded: "While you are here, learn a lot, have fun, make a plan, and when you go home, take action."[87]

   Judy Faulkner emphasized that one of the key drivers of Epic's success is the strong sense of ownership among employees. Each person is expected to fully take responsibility for their work, whether it is a piece of the scheduling system or any other component.[88] She also highlighted the importance of helping staff understand the critical impact of their work in healthcare, where customers place immense trust in Epic to support patient care and the success of their organizations. Rather than focusing on money, Epic focuses on honoring commitments to its customers, and this mission-driven approach gives employees a deep sense of purpose and responsibility.

8. **Epic has remained private and founder-led in the long term. Judy Faulkner, the founder of Epic Systems, is reported to own 47% of the company as of 2025, and has never raised venture capital or made an acquisition, and develops all its software in-house.[89] Faulkner has served as Epic's CEO for over 45 years since its founding in 1979. Now, at 81, she still continues to lead Epic as its CEO.**

   Despite the company's playful working environment, Epic maintains a reputation for being highly secretive, especially when it comes to its proprietary technology, internal operations, and business practices. The company has historically rarely talked to the media, and CEO Judy Faulkner has often kept herself out of the spotlight. **Faulkner stated that "being private allows us to avoid the tyranny of the quarter, and to focus on R&D."[90]** Influenced by conversations with others who had negative experiences after going public or being acquired, she concluded that the company should neither be acquired nor acquire other companies,[91] preserving its independence and unique culture.

   In recent years, however, the company has become more open to the media. Faulkner explained "It has to do with our growth in the industry…When we were smaller, it was fairly easy just to stay below the radar and concentrate simply on 'are we developing good software? And are we doing a good job with our customers?' That's how life was."

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[86] Since Epic is a privately held company and does not publicly disclose its financials, we look to Cerner for comparison, given their long-standing rivalry and similar scale. In 2021, before its acquisition by Oracle, Cerner reported $5.7 billion in revenue. Epic's revenue was estimated at $3.8 billion.

[87] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[88] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[89] Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81

[90] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[91] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

Company Overview

> "An 'epic' is a glorious recounting of a nation's events. Like the Iliad or the Odyssey, our electronic health records **chronicle the story of a patient's healthcare over time**."[92]
>
> - Epic Systems

Epic Systems, one of the world's leading providers of electronic health record (EHR) software today **that holds a 35.9% market share of U.S. hospitals and 47.6% hospital beds,[93] with patients covering 79% of the U.S. population,[94] was founded in 1979 by Judy Faulkner in a Wisconsin basement with a $70,000 investment in equity and a $70,000 bank loan used to buy minicomputers.[95]** Originally called Human Services Computing, the company has grown organically into a healthcare technology powerhouse, without ever raising venture capital or making an acquisition.[96] Every line of its software has been developed in-house.

Figure 1: Judy Faulkner[97]

[92] About – Epic. https://www.epic.com/about/

[93] Data reported in 2023. EHR Vendor Market Share in the US. https://www.beckershospitalreview.com/ehrs/ehr-vendor-market-share-in-the-us/

[94] Epic Touts New Software Features 'Turbocharged with AI'. https://web.archive.org/web/20250223123250/https://www.fiercehealthcare.com/ai-and-machine-learning/epic-touts-new-ai-applications-streamline-charting-and-bring-research; Population Clock. Census Bureau. https://www.census.gov/popclock/

[95] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81; Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html.

[96] Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81

[97] Epic CEO Judy Faulkner #6 on Forbes Richest Self-Made Women List. https://www.healthcareitnews.com/news/epic-ceo-judy-faulkner-6-forbes-richest-self-made-women-list

Faulkner's journey into health technology began long before Epic's founding. Born into a medical family, of which her father was a pharmacist and her mother the director of Oregon Physicians for Social Responsibility,[98] she studied mathematics at Dickinson College in Pennsylvania. A summer job in particle physics at the University of Rochester first introduced her to computer programming, sparking an interest that would shape her career. In 1965, Faulkner enrolled in the University of Wisconsin's newly launched computer science program for her doctorate (though she graduated without completing a dissertation).[99] While in Madison, she met psychiatrist and professor Warner Slack, a pioneer in the emerging field of medical informatics, and worked with his team.

Judy Faulkner was asked by Warner Slack to develop a patient record system that could maintain comprehensive patient information over time, regardless of visit frequency or type, whether inpatient or ambulatory.[100] Unlike the rigid, COBOL-based lab and billing systems of the time, this new system intended to let users define their own data elements and design their own screens without modifying source code. To meet this need, before commercial database systems like Oracle existed, Faulkner discovered a small system that Slack worked with Beth Israel with an early database management concept, which inspired her to build Chronicles, the underlying infrastructure that would power Epic later.

Warner Slack also introduced her to John Greist, then chief resident in medicine and now professor emeritus at the University of Wisconsin.[101] Greist was looking for a better way to schedule on-call doctors. In 1969, Judy Faulkner developed a program that allowed a secretary to punch data cards and generate a full year's doctor schedule in just 18 seconds for a cost of $5. **Over the decades, this simple scheduling program has evolved into one of the most comprehensive and widely used electronic health record (EHR) systems in the world. Today, Epic is at the core of healthcare IT infrastructure for many of the largest hospitals and health systems globally, supporting everything from clinical documentation and order entry to billing, patient portals, population health management, telehealth, and even data-driven diagnostics,[102] providing all-in-one healthcare IT solutions.**

In 1979, Judy Faulkner and John Greist officially launched Human Services Computing with their $70,000 in equity and a $70,000 bank loan used to buy minicomputers.[103] Although Greist left the board a few years later due to strategic disagreements, Faulkner remained committed to her vision of slow, deliberate growth, with a strong focus on customers and maintaining full control in the hands of the founders. Epic saw modest but consistent growth through the 1980s and 1990s, adding only a handful of customers every year and gradually expanding its customer base and product offerings.[104] Faulkner once described her approach as climbing a mountain, not by trying to see the entire mountain at once, but by focusing on the next hill in front of her.

In 1986, Epic became the first electronic health record vendor to offer a single, integrated system that combined clinical, billing, and scheduling functions. Before that, hospitals typically relied on separate vendors for each of these areas. Then, in 1992, Epic led the way again by adopting a graphical user interface, which Faulkner believed competitors would follow in two years. In reality, it took them nearly a decade to catch up.[105] In addition, Epic expanded further in the early 2000s, introducing services for inpatient settings around 2001. **With this move, it became the only vendor at that time offering an integrated platform for both inpatient and outpatient care, helping its customers, namely healthcare providers, "successful to be wherever they needed to be."** Epic continued expanding its reach in the following years, adding Dental around 2014–2015 and Payer, a platform for health plan providers to exchange information with care providers, capabilities around 2020, marking the first time medical and dental records exist in a single chart.

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[98] Epic Systems CEO Judy Faulkner Talks about Trusting Her Vision. https://captimes.com/news/local/her-way-epic-systems-ceo-judy-faulkner-talks-about-trusting-her-vision/article_e08f4c4c-a7c2-5edb-886b-c7474485a2e7.html

[99] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[100] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[101] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[102] Our Software. https://www.epic.com/software/?searchText=

[103] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

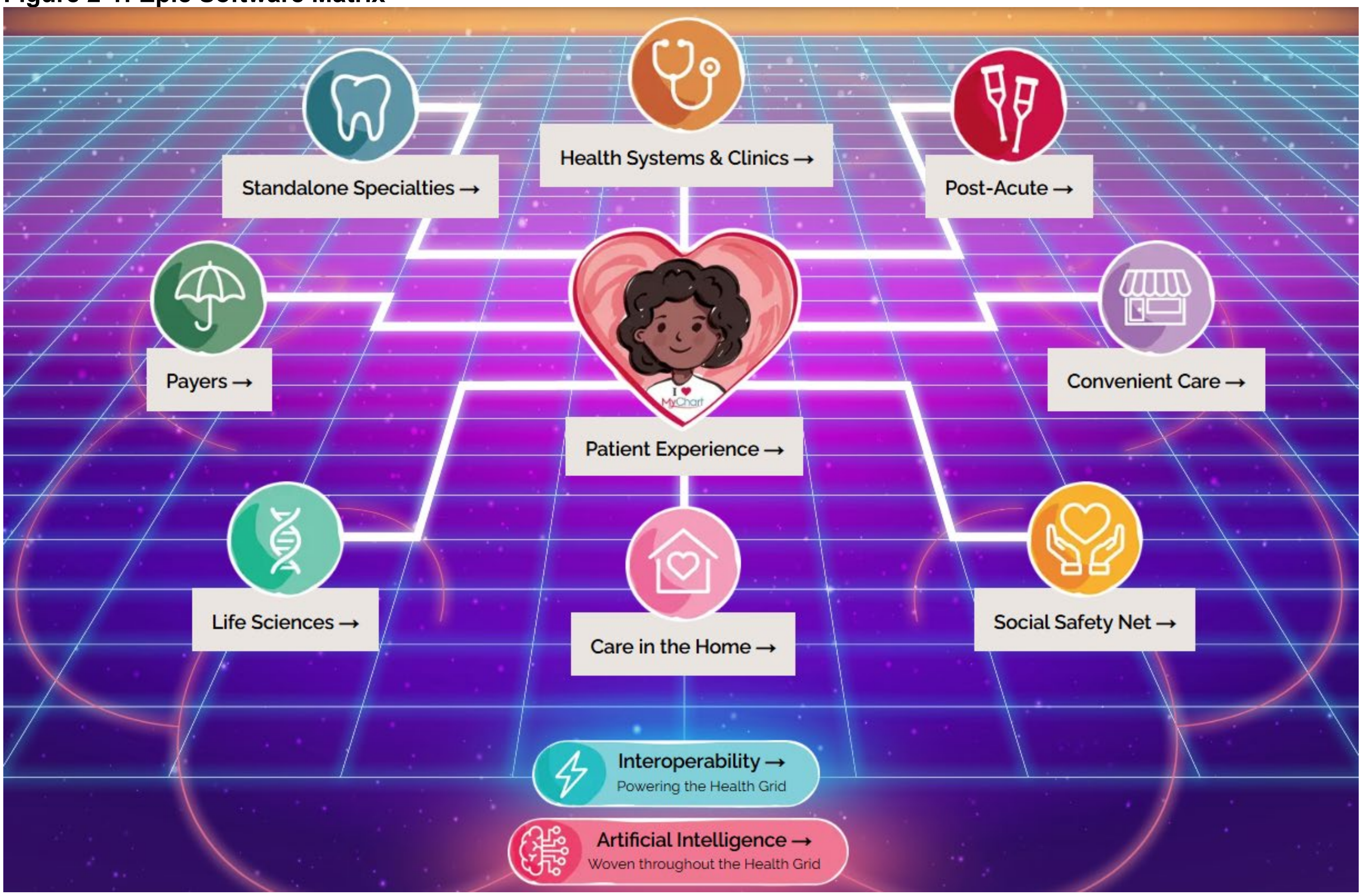
[104] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[105] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

In a 2020 interview, Judy Faulkner explained that from day one, she designed the Epic system with the patient at the center.[106] Rather than building separate systems for different types of information, she structured all data around the patient. This approach allowed the system to grow and adapt as new types of data emerged, always anchored to the patient. This patient-centered architecture became a core principle of Epic's design and remains fundamental to how the company operates today. Faulkner also credits the company's success to the reliability of its computer code offered to customers, noting, "It's not perfect, but it's quite reliable."[107]

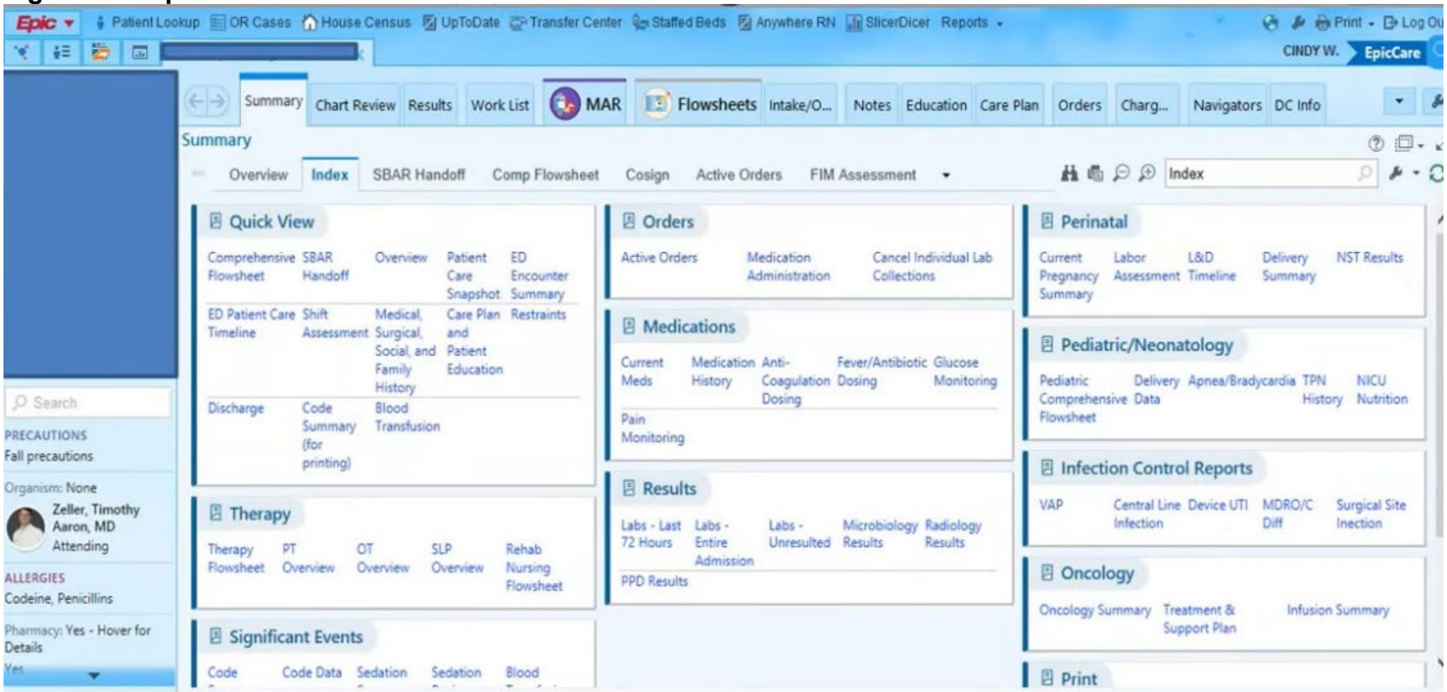
At its core, Epic is an integrated platform that helps healthcare providers manage nearly every aspect of a patient's journey. Like other electronic health record systems, it tracks patient histories, flags drug interactions, prompts physicians about underlying risks, and enables collaboration among multiple doctors treating the same patients. Beyond those, Epic also offers tools for scheduling, billing, revenue cycle management, administrative workflows, patient engagement, and advanced analytics. Today, Epic serves a wide range of healthcare providers, including academic medical centers, urgent care clinics, outpatient facilities, mental health institutions, and rehabilitation centers.[108] It powers some of the most prestigious names in American healthcare, including the Cleveland Clinic, Mayo Clinic, Johns Hopkins Health System, and Duke University Health System.[109]

Figure 2-1: Epic Software Matrix[110]



[106] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c
[107] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/
[108] About – Epic. https://www.epic.com/about/
[109] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html
[110] Our Software. Epic. https://www.epic.com/software/?searchText=

Figure 2-2: Epic Software Demo[111]



As of 2024, Epic reported $5.7 billion in revenue,[112] **representing an estimated CAGR of 25%, all organic, since 1985.**[113] Given the company's private and secretive culture,[114] it does not publicly disclose its financial details. While its business is primarily U.S.-based, Epic has expanded its footprint internationally, now operating in 16 countries including Australia, Belgium, Canada, Denmark, England, Singapore, and Saudi Arabia.[115]

According to Forbes estimate, the company has around 30% EBITDA margin.[116] **In addition, Epic has remained debt-free throughout its history. While it has occasionally taken on debt, such as mortgages for its campus constructions, these were typically repaid within a year or two.**[117] **<u>Perhaps more significantly, the company's</u>**

[111] Comprehensive Guide To The Epic EMR System. https://mhtestd.msu.ac.zw/dimos3/comprehensive-guide-to-the-epic-emr-system.html

[112] 2019 – 2023: Epic's Revenue over the Past 5 Years. https://www.beckershospitalreview.com/healthcare-information-technology/ehrs/epics-revenue-over-the-past-5-years/; 2024: Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[113] 1985 is the earliest year for which we found a public record of the company's revenue. The company has grown organically without ever raising venture capital or making an acquisition. Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81; 1985 – 2007: Epic Systems - An Epic Timeline. https://isthmus.com/news/cover-story/epic-systems-an-epic-timeline/

[114] Epic Systems has a reputation for being highly secretive, particularly regarding its proprietary practices, intellectual property, and internal operations. The company rarely talked to reporters and the CEO kept its image away from the limelight. When talking to reporters in 2015, the founder's one request was that her photo not be taken, so she could go to her favorite ice cream shop in Madison without having people notice her. Judy Faulkner stated that "being private allows us to avoid the tyranny of the quarter, and to focus on R&D." Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html; Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/
However, the company in recent years has been more open to reporters than it had been in the past.

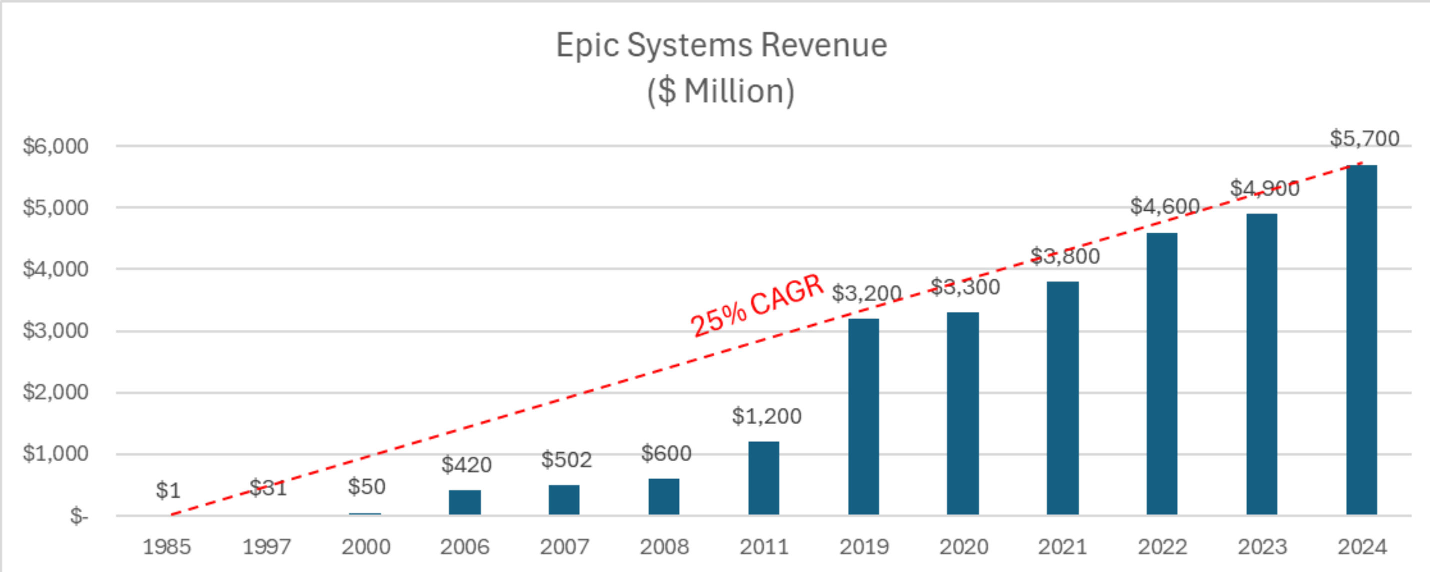
[115] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[116] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[117] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

<u>technology had a direct impact on patient safety. In 2024, Epic helped identify 175 million instances where physicians revised erroneous orders.</u>[118]

Figure 3: Epic Systems Revenue[119]



Notes:

1. **The company has grown organically without ever raising venture capital or making an acquisition.**[120]
2. Epic is a private company and does not publicly disclose its financial details. The earliest available revenue data we found dates back to 1985.[121]

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[118] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[119] 1985 – 2007: Epic Systems - An Epic Timeline. https://isthmus.com/news/cover-story/epic-systems-an-epic-timeline/; 2008: Wired Medicine's Silent Giant. https://web.archive.org/web/20100830224539/https://www.forbes.com/2009/10/08/epic-systems-business-healthcare-medical-tech-09-epic.html; 2011: Epic Systems' Tough Billionaire. https://web.archive.org/web/20241203005231/https://www.forbes.com/sites/zinamoukheiber/2012/04/18/epic-systems-tough-billionaire/; 2019 – 2023: Epic's Revenue over the Past 5 Years. https://www.beckershospitalreview.com/healthcare-information-technology/ehrs/epics-revenue-over-the-past-5-years/; 2024: Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[120] Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81

[121] Epic Systems - An Epic Timeline. https://isthmus.com/news/cover-story/epic-systems-an-epic-timeline/

Industry Overview

Since 1918, virtually every person in the United States who has received medical care has had a patient record. For decades, these records were paper-based, and often duplicated.[122] A 1991 report from the Institute of Medicine found that most individuals had multiple records, one for each provider they had seen. In large metropolitan hospitals, patient records had grown so extensively that some facilities held more than 4 million paper files. Stacked together, these records would stretch an estimated 200 to 400 meters[123] (656 to 1,312 feet). Although not all of these records were actively used at any one time, legal requirements mandated storage for up to 25 years, depending on the jurisdiction. This imposed significant costs on hospitals, not just in terms of physical storage, but also in handling, retrieving, and processing information. A 1970 study found that communication activities such as managing these records accounted for 35% to 39% of total hospital operating costs.[124] Moreover, a 1973 study estimated that physicians spent roughly 38% of their time writing up patient charts, while nurses spent as much as 50%. It was not uncommon for a single patient to have multiple records even within the same institution, further complicating care and administrative efficiency. With the volume of paper records growing rapidly, it became clear that a more efficient system was needed.

Figure 4: Paper Medical Records[125]

[122] Introduction. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459

[123] The average thickness of a regular copy paper ranges from 0.05 to 0.10 millimeters. Thickness of a Piece of Paper. https://web.archive.org/web/20250115091333/https://hypertextbook.com/facts/2001/JuliaSherlis.shtml

[124] Introduction. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459

[125] Medical Records Supporting San Francisco's Universal Care Add Millions to Official Cost. https://web.archive.org/web/20241102141053/https://www.sfpublicpress.org/medical-records-supporting-san-franciscos-universal-care-add-millions-to-official-cost/

The first move toward electronic health records began in the 1960s. One of the earliest clinical information systems was developed by Lockheed Corporation.[126] Around the same time, the University of Utah partnered with 3M to create one of the first clinical decision support systems, known as HELP (Health Evaluation through Logical Processing). In 1968, Massachusetts General Hospital's Laboratory of Computer Science introduced COSTAR (Computer Stored Ambulatory Record). The federal government joined the wave in the 1970s, with the Department of Veterans Affairs implementing the Decentralized Hospital Computer Program, an electronic record system used across its national network of hospitals and medical centers.

Despite these advances, the adoption of electronic health records faced significant challenges through the 1980s. High costs, data entry errors, skepticism from physicians, and a lack of financial incentives all slowed progress.[127] A 1991 Institute of Medicine report noted that computer-based patient record systems cost between $2 million and $6 million for a mid-sized hospital, with annual maintenance accounting for an additional 10% of that cost.[128] At the time, the cost per patient encounter was estimated to be 26% higher with electronic systems compared to manual ones. However, this came with a tradeoff – while manual systems failed to retrieve 18% of requested records on time, computer-based systems had a 100% success rate, highlighting their reliability and potential.[129]

Earlier surveys further underscored the steep investment required. A 1975 study of automated ambulatory care systems found development costs ranged from $100,000 to $10 million, with timelines from 1 to 7 years.[130] In 1977, the Congressional Office of Technology Assessment estimated it would take 10 years and $25 million to build a commercial medical information system.

At the time of Epic System's founding in the 1970s, the market for electronic health record systems was still in a very early stage. Computer applications were not well understood or widely accepted by healthcare providers, creating uncertainty about the size and viability of the industry.[131] Vendors were hesitant to invest heavily without clearer signals of demand. Many believed that support from government agencies or other change agents, such as legislative incentives, would be necessary to spur adoption and market growth.

The 1990s marked a turning point for software in general, including electronic health record systems.[132] Personal computers became more affordable, and the rise of the internet dramatically changed how information was accessed and shared. These developments paved the way for web-based electronic health records, making electronic health records more practical, scalable, and accessible.

The shift to electronic health records (EHRs) accelerated with a big push from Washington, D.C. In the final years of the George W. Bush administration, the Health Information Technology for Economic and Clinical Health (HITECH) Act received bipartisan support.[133] Signed into law by President Barack Obama in 2009 as part of the American Recovery and Reinvestment Act (ARRA) to aid the Financial Crisis, the legislation offered substantial financial incentives, around $27 billion, for hospitals and healthcare providers to adopt electronic medical records. **It was estimated that only 9% of hospitals at that time had any kind of electronic record system while others relied on paper.[134]** President Obama

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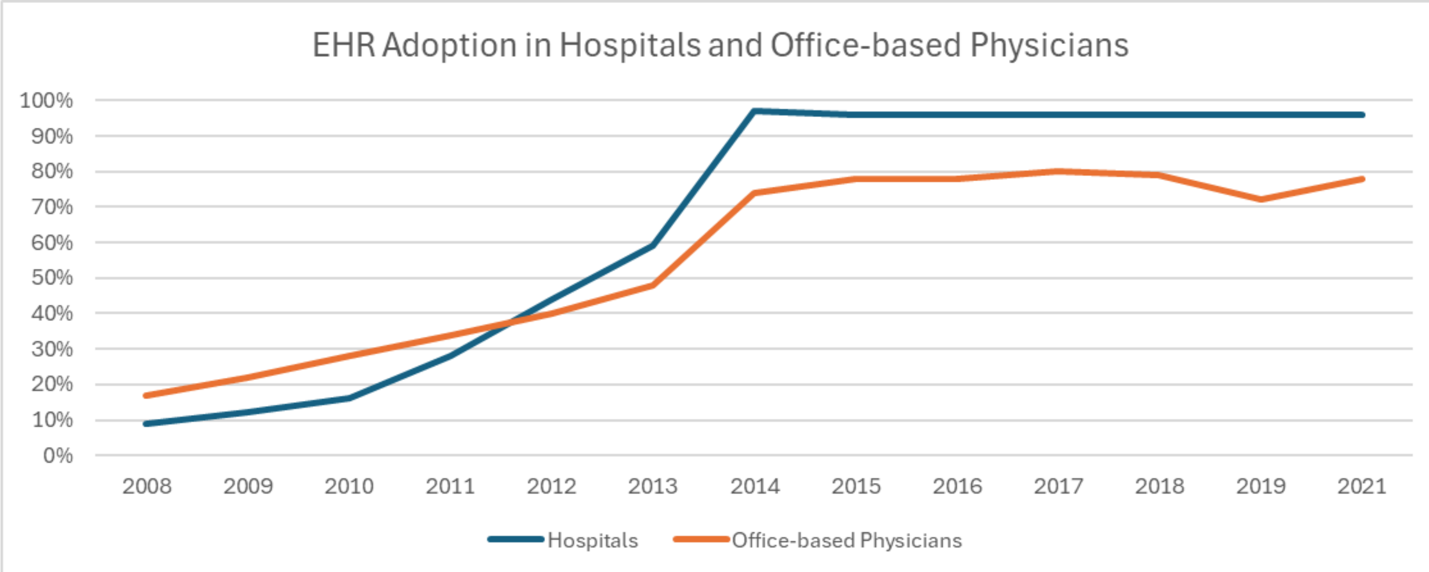
[126] Chapter 3. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459
[127] Electronic Health Records Then, Now, and in the Future. https://pmc.ncbi.nlm.nih.gov/articles/PMC5171496/
[128] Chapter 3. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459
[129] Chapter 4. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459
[130] Chapter 4. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459
[131] Chapter 4. Institute of Medicine. 1991. Computer-Based Patient Record: An Essential Technology for Health Care. Washington, DC: The National Academies Press. https://doi.org/10.17226/18459
[132] The Progress to 100% Electronic Medical Records. The University of Scranton. https://web.archive.org/web/20140806165114/http://elearning.scranton.edu/resource/health-human-services/emr_the-progress-to-100-percent-electronic-medical-records
[133] Passing the Baton - Health IT Buzz. https://www.healthit.gov/buzz-blog/from-the-astp-desk/passing-the-baton
[134] In 2008, only about 1.5% of U.S. hospitals had fully implemented digital systems, and 7.6% had a basic electronic system. Use of Electronic Health Records in U.S. Hospitals - New England Journal of Medicine. https://www.nejm.org/doi/10.1056/NEJMsa0900592; National Trends in Hospital and Physician Adoption of Electronic Health Records. https://web.archive.org/web/20250207234225/https://www.healthit.gov/data/quickstats/national-trends-hospital-and-physician-adoption-electronic-health-records

stated in 2009 that “within five years, all of America's medical records are computerized.”[135] **Since 2014, over 95% of U.S. hospitals have adopted electronic health record systems.[136]**

Figure 5: Electronic Health Record Adoption in Hospitals and Office-based Physicians[137]



The HITECH Act was designed to accelerate the adoption of electronic health record (EHR) systems in the U.S. healthcare system. Its goal was to streamline care, reduce errors, and ultimately improve patient outcomes by transitioning from paper-based to digital health records.[138] Electronic health record systems offer healthcare providers quick and easy access to patient information, enabling better-informed decisions and more personalized care. By tracking a patient’s medications, allergies, and medical history, electronic health records can help identify potential issues with newly prescribed medications, such as dangerous drug interactions or allergic reactions.[139] In emergency situations, this access becomes critical, emergency staff can view life-saving information such as allergy alerts or pre-existing conditions, even if the patient is unconscious. One of the most impactful benefits of electronic health records is their ability to improve patient safety. These systems alert healthcare providers to potential medication conflicts, dosage issues, or other safety risks, significantly reducing the chances of medical errors. In fact, medical errors cost the healthcare industry an estimated $20 billion annually, with communication breakdowns being a leading cause. By offering seamless, real-time access to accurate data, electronic health records help eliminate many of these preventable mistakes.

Beyond safety, electronic health record systems contribute to organizational efficiency. Automating processes such as scheduling and billing help prevent common administrative errors such as double bookings or billing discrepancies. Real-time scheduling updates allow providers to quickly reschedule appointments and send reminders to patients, reducing no-

[135] Address at George Mason University in Fairfax, Virginia. https://web.archive.org/web/20250208231734/https://www.presidency.ucsb.edu/documents/address-george-mason-university-fairfax-virginia

[136] National Trends in Hospital and Physician Adoption of Electronic Health Records. https://web.archive.org/web/20250207234225/https://www.healthit.gov/data/quickstats/national-trends-hospital-and-physician-adoption-electronic-health-records

[137] National Trends in Hospital and Physician Adoption of Electronic Health Records. https://web.archive.org/web/20250207234225/https://www.healthit.gov/data/quickstats/national-trends-hospital-and-physician-adoption-electronic-health-records

[138] What is the HITECH Act. The HIPPA Journal. https://web.archive.org/web/20250330133959/https://www.hipaajournal.com/what-is-the-hitech-act/; Trout KE, Chen LW, Wilson FA, Tak HJ, Palm D. The Impact of Meaningful Use and Electronic Health Records on Hospital Patient Safety. Int J Environ Res Public Health. 2022 Sep 30;19(19):12525. doi: 10.3390/ijerph191912525. PMID: 36231824; PMCID: PMC9564815.

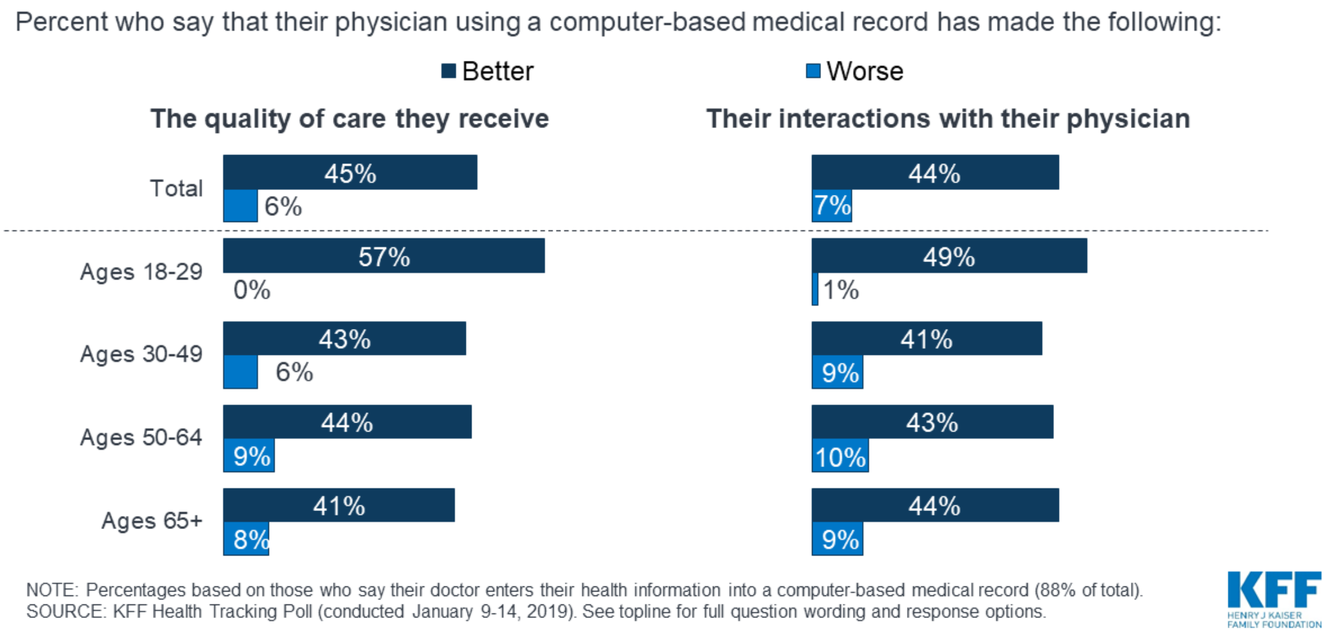
[139] 7 Key Benefits of EHR Systems. Northeastern University. https://web.archive.org/web/20250115060844/https://bouve.northeastern.edu/news/7-key-benefits-of-ehr-systems/

shows and improving time management. Electronic health records can also auto-generate bills, flag duplicate charges, and ensure accurate coding, helping to reduce delays in payments.[140]

From a patient's perspective, electronic health record (EHR) systems offer significant benefits by reducing costs and improving both accessibility and engagement. A 2014 study published in the American Journal of Managed Care, which analyzed data from over 5 million individuals across 550 U.S. hospitals, measured the amount that it cost the hospitals to provide services for an patient admission and found that patients treated in hospitals with advanced electronic health record systems incurred, on average, $731, or 9.66%, less in admission costs compared to those in hospitals without such systems, after adjusting for patient and hospital characteristics.[141]

According to the Kaiser Family Foundation, 45% of patients reported improved quality of care since the adoption of electronic health records, while only 6% noted a decline.[142] In addition, 44% felt their interactions with physicians improved, with just 7% reporting a negative impact. electronic health record systems also empower patients by giving them access to their medical records anytime, from any authorized device. Through secure messaging platforms, patients can communicate with their providers, ask questions, and get timely responses, sometimes without the need for an in-person visit. This increased accessibility encourages patients to take a more active role in managing their health. Jay Spitulnik, a professor at Northeastern University's Bouvé College of Health Sciences and Khoury College of Computer Sciences, highlighted this benefit, "When done right, [electronic health record systems] make information more accessible to patients…It allows patients and their caregivers to be directly involved in the decision-making about their care."[143]

Figure 6: Improved Quality of Care and Physician – Patient Interaction across Different Age Groups[144]



[140] 7 Key Benefits of EHR Systems. Northeastern University. https://web.archive.org/web/20250115060844/https://bouve.northeastern.edu/news/7-key-benefits-of-ehr-systems/

[141] Association of Electronic Health Records With Cost Savings in a National Sample. The American Journal of Managed Care. https://web.archive.org/web/20240313012614/https://www.ajmc.com/view/association-of-electronic-health-records-with-cost-savings-in-a-national-sample

[142] Public's Experiences With Electronic Health Records. https://web.archive.org/web/20230608091558/https://www.kff.org/other/poll-finding/data-note-publics-experiences-with-electronic-health-records/

[143] 7 Key Benefits of EHR Systems. Northeastern University. https://web.archive.org/web/20250115060844/https://bouve.northeastern.edu/news/7-key-benefits-of-ehr-systems/

[144] Public's Experiences With Electronic Health Records. https://web.archive.org/web/20230608091558/https://www.kff.org/other/poll-finding/data-note-publics-experiences-with-electronic-health-records/

While the upfront and ongoing costs of implementing electronic health record systems can be substantial, ranging from hundreds of millions to over a billion dollars depending on the size of the healthcare organization,[145] they save money over long-term.[146] For example, storing and transmitting diagnostic imaging such as MRIs or X-rays electronically is far more economical than using physical media such as CDs or DVDs. Electronic health records also reduce reliance on paper records, streamline administrative tasks, and minimize costly medical errors, all of which contribute to greater financial efficiency across the healthcare system. In addition to cost savings, EHR systems also offer advantages in data security. Unlike paper records, electronic health data is stored in encrypted formats and accessible only to authorized personnel. These systems perform regular backups and include recovery protocols, ensuring patient information remains secure and accessible, even during emergencies. Moreover, electronic health records enable secure data sharing among healthcare teams, improving collaboration while reducing the risk of data breaches.

A pilot study conducted between 2003 and 2005 by the University of Rochester Medical Center evaluated the financial and operational impact of implementing an electronic health record system across five ambulatory offices, comprising a total of 28 providers.[147] The study found that total annual savings amounted to $393,662, or $14,055 per provider. First-year expenses totaled $509,539 ($18,182 per provider), while ongoing annual costs in subsequent years were $114,016 ($4,072 per provider). As a result, the initial investment was recovered within 16 months, with ongoing annual savings of $9,983 per provider. The primary source of savings in the sampled clinics was a 96% reduction in chart pulls, instances in which paper charts were retrieved for patient visits, phone calls, prescription refills, test results, reports, and other administrative tasks. These reductions accounted for 63% of total savings. Additional savings stemmed from improved staffing efficiency, with salary reductions for non-provider support staff making up 23% of the total savings. Notably, the offices were able to eliminate 4.5 support positions despite adding 6 new providers over the course of the study, reflecting significant efficiency gains. From an operational perspective, the electronic health record implementation had a neutral effect on patient flow and billing. Metrics such as patient cycle time and days in accounts receivable showed slight improvements, though these were not statistically significant. Another 2014 study published in JMIR Medical Informatics supported these findings. It examined 17 primary care clinics and found that, on average, investments in electronic health record systems were recouped within 10 months (with a 95% confidence interval of 6.2 to 17.4 months). After implementing an electronic health record system, the sampled clinics saw a 27% increase in the active-patients-to-clinician (full-time-equivalent) ratio and a 10% increase in the active-patients-to-clinical-support-staff ratio, indicating improved capacity and efficiency.

To access the incentives outlined in the HITECH Act, providers had to meet "Meaningful Use" requirements, a set of standards jointly developed by the Centers for Medicare & Medicaid Services (CMS) and the Office of the National Coordinator for Health Information Technology (ONC). The program was divided into three stages, with each stage building upon the previous in terms of complexity and clinical integration. Stage 1, which healthcare providers must achieve in 2011 and 2012 in order to qualify for incentives outlined in HITECH,[148] focused on the basic functions of electronic health records, such as capturing patient data electronically and sharing information with patients or other healthcare professionals.[149] Stage 2 of Meaningful Use, implemented in 2014, introduced more rigorous standards aimed at advanced clinical processes. The new criteria emphasized health information exchange between healthcare providers and increased patient engagement, such as offering online access to personal health data. The stricter criteria and 2014 implementation date for Stage 2 prompted a significant push for electronic health record adoption among hospitals and providers. **Many moved quickly to adopt or upgrade their electronic health record systems to qualify for**

145 The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/; Northwell Earmarks $1B for Epic Switch. https://www.beckershospitalreview.com/healthcare-information-technology/ehrs/northwell-epic-install-to-cost-1-2b/

146 7 Key Benefits of EHR Systems. Northeastern University. https://web.archive.org/web/20250115060844/https://bouve.northeastern.edu/news/7-key-benefits-of-ehr-systems/

147 Grieger, Dara L. MDa,*; Cohen, Stephen H. MD, CPEb; Krusch, David A. MD, FACSa. A Pilot Study to Document the Return on Investment for Implementing an Ambulatory Electronic Health Record at an Academic Medical Center. Journal of the American College of Surgeons 205(1):p 89-96, July 2007. | DOI: 10.1016/j.jamcollsurg.2007.02.074.

148 CMS and ONC Final Regulations Define Meaningful Use and Set Standards for Electronic Health Record Incentive Program. https://www.cms.gov/newsroom/fact-sheets/cms-and-onc-final-regulations-define-meaningful-use-and-set-standards-electronic-health-record

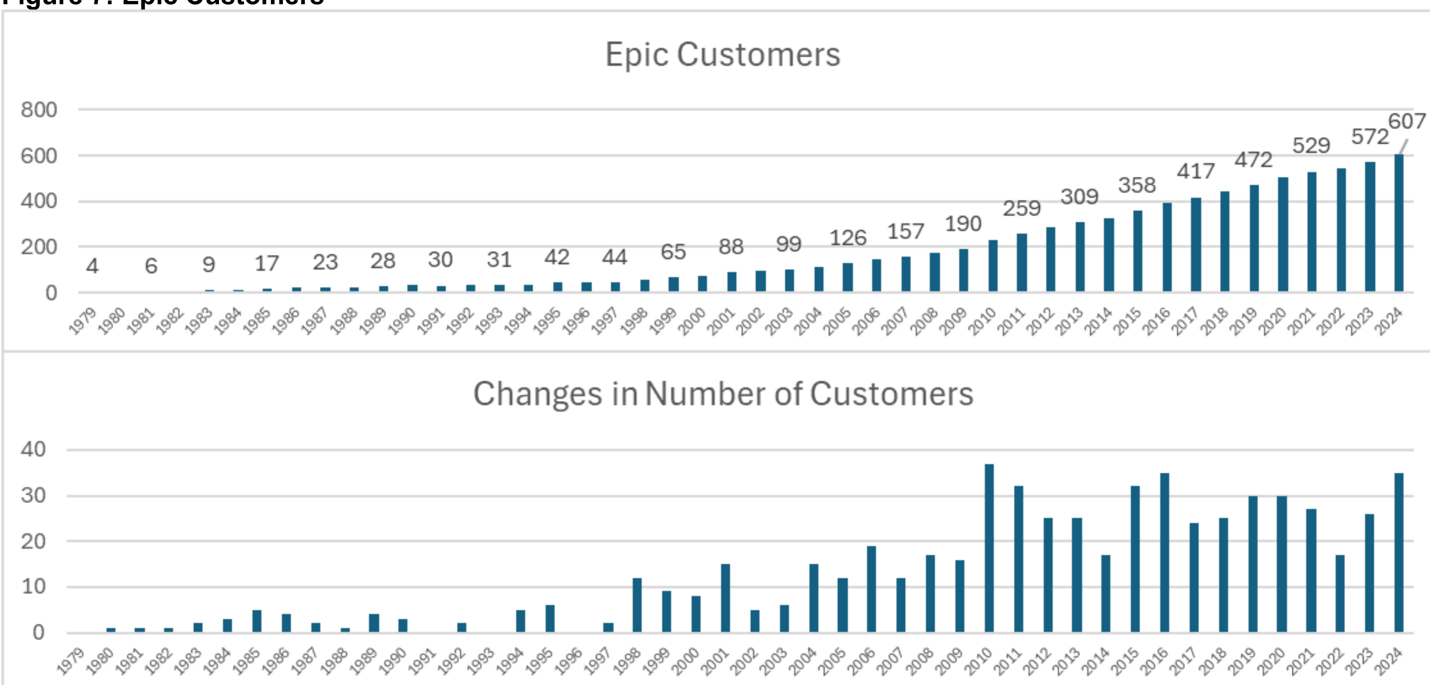
149 Meaningful Use Stage 2 for Eligible Professionals (EP) for the Medicare EHR Incentive Program. https://web.archive.org/web/20240919041506/https://www.clinfowiki.org/wiki/index.php/Meaningful_Use_Stage_2_for_Eligible_Professionals_(EP)_for_the_Medicare_EHR_Incentive_Program

incentives and avoid Medicare reimbursement penalties that were scheduled to begin in 2015 for non-compliance.[150]

Epic Systems was perfectly positioned to capitalize on this wave of change.[151] While many competitors struggled to adapt, Epic's comprehensive, all-in-one software offering proved compelling for hospitals and large medical groups facing the daunting task of digitizing their operations. A 2012 study published in Perspectives in Health Information Management found that, in response to the HITECH Act of 2009, larger and urban-based hospitals were significantly more likely to pursue federal incentives by meeting the "Meaningful Use" requirements for electronic health records. In contrast, rural hospitals were much less likely to do so.[152] **Epic's long-term focus is on academic medical centers and large health systems, which are considered the most sustainable and financially appealing segment in healthcare.[153] These organizations represent more than 60% of patient revenue in the U.S. and at least $813 billion in healthcare expenditures flowing through Epic Systems in 2023 alone, aligning neatly with the institutions most likely to lead in the adoption of electronic health records.** In contrast, Epic's closest competitor, Cerner, focused on smaller hospitals with fewer beds such as those in rural communities.[154]

From 1979 to 2024, Epic expanded from just 4 customers to 607. Of those, 190 had joined by 2009, with the remaining 417 added in the years that followed.[155] Although Epic has maintained that the "Meaningful Use" initiatives outlined in HITECH had little direct impact on its business, emphasizing strong organic interest from customers well before the policy, we observed a clear spike in new client growth in the years followed the introduction of HITECH. This trend potentially suggests that, while Epic's appeal was already strong, the regulatory environment may have provided an additional tailwind to the company's expansion.

Figure 7: Epic Customers[156]



[150] Medicare and Medicaid EHR Incentive Program Basics. https://web.archive.org/web/20120620212232/www.cms.gov/Regulations-and-Guidance/Legislation/EHRIncentivePrograms/Basics.html

[151] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[152] Diana ML, Kazley AS, Ford EW, Menachemi N. Hospital characteristics related to the intention to apply for meaningful use incentive payments. Perspect Health Inf Manag. 2012;9(Spring):1h.

[153] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[154] Interview with Former Senior Vice President of Cerner Corporation 11/10/2021.

[155] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[156] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

By 2014, just five years after the passage of HITECH, 75.5% of U.S. hospitals had at least a basic electronic health record system in place, a massive growth from the mere 1.5% in 2008 with fully implemented digital systems and then only 7.6% had a basic electronic system, according to a study published in the New England Journal of Medicine.[157] The federal incentives were widely seen as a catalyst, not only for broad electronic health record adoption but for Epic's rapid rise.

With this regulatory tailwind, Epic was well-positioned during the Obama administration, which signed HITECH Act into law in February 2009.[158] In July 2010, the Centers for Medicare & Medicaid Services (CMS) announced that beginning in 2011, providers would need to demonstrate "meaningful use"[159] of certified electronic health record (EHR) technology to qualify for federal incentives.[160]

Epic's founder, Judy Faulkner, was appointed in April 2009 to a federal advisory committee representing health IT vendors.[161] From 2009 to 2014, she played a role in the committee that oversaw how $19 billion in stimulus funding for health IT would be allocated.[162] While others with backgrounds from Epic's competitors also held roles in shaping healthcare policy during this period, their involvement drew less scrutiny and criticism than Epic did. For example, Nancy-Ann DeParle, who had served on Cerner's board, stepped down in 2009 to join the Obama administration and help the president with health reform agenda with Congress. The White House emphasized that DeParle would sever all ties to former clients and distance herself from any matters related to former clients or employees.[163] In contrast, Epic faced heightened political criticism while other vendors were not subjected to the same level of public attention.

A December 2013 transcript from the Health IT Policy Committee indicated that Faulkner was the only member representing an electronic health record vendor at the time.[164] It was not until 2014 when Judy Faulker left that Neal Patterson, the founder and the then CEO of Cerner, was appointed by the Government Accountability Office (GAO) as a member of the Health IT Policy Committee.[165] Faulkner's seat on the Health Information Technology Policy Committee as the representative of health IT vendors from 2009 to 2014[166] raised concerns of political favoritism. According to the Heritage Foundation, a think tank in Washington D.C., between 2006 and 2009, Epic employees contributed nearly $300,000 to Democrats, and Faulkner herself made donations to Democratic politicians both before and after Barack Obama was elected with various transactions and amounts.[167] Federal Election Commission data shows that between 2006 and 2016, she contributed more than $300,000 in total, including $57,000 to the Democratic National Committee Services in 2007 and 2008, over $110,000 to the Democratic Congressional Campaign Committee from 2009 to 2012,

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[157] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html; Use of Electronic Health Records in U.S. Hospitals - New England Journal of Medicine. https://www.nejm.org/doi/10.1056/NEJMsa0900592

[158] HITECH Act Enforcement Interim Final Rule. HHS.gov. https://www.hhs.gov/hipaa/for-professionals/special-topics/hitech-act-enforcement-interim-final-rule/index.html

[159] Stage 1, which healthcare providers must achieve in 2011 and 2012 in order to qualify for incentives outlined in HITECH, focused on the basic functions of electronic health records, such as capturing patient data electronically and sharing information with patients or other healthcare professionals.

[160] CMS and ONC Final Regulations Define Meaningful Use and Set Standards for Electronic Health Record Incentive Program. https://www.cms.gov/newsroom/fact-sheets/cms-and-onc-final-regulations-define-meaningful-use-and-set-standards-electronic-health-record

[161] GAO Announces Appointments to Health Information Technology Policy Committee. 4/3/2009. United States Government Accountability Office.

[162] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[163] Cerner Director is Obama's Health Czar. https://www.digitalhealth.net/2009/03/cerner-director-is-obamas-health-czar/

[164] HIT Policy Committee Transcript. 12/4/2013.

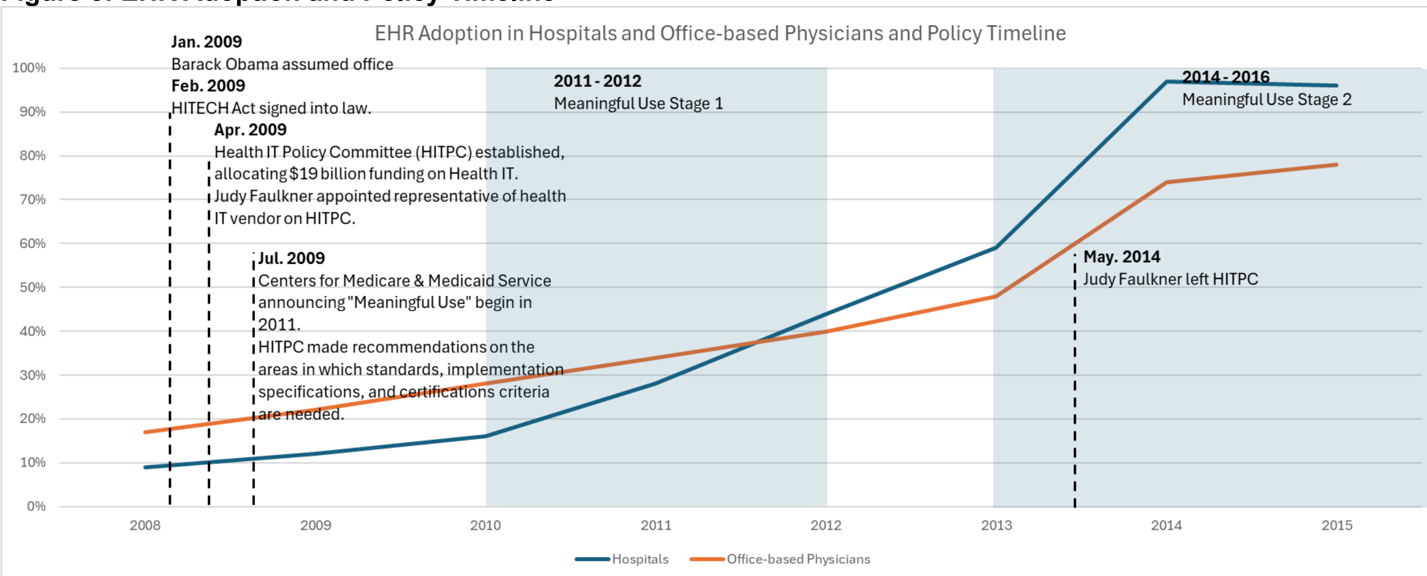
[165] GAO Makes Appointments to Health IT Policy Committee. https://web.archive.org/web/20250205081126/https://www.gao.gov/press-release/gao-makes-appointments-health-it-policy-committee

[166] 50 Things to Know about Epic and Judy Faulkner. https://www.beckershospitalreview.com/healthcare-information-technology/50-things-to-know-about-epic-and-judy-faulkner/; Health Information Technology Policy Committee Summary. 5/6/2014.

[167] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts; An Epic Conflict of Interest. https://dailycaller.com/2011/12/27/an-epic-conflict-of-interest/

and numerous smaller donations to Democratic affiliations across the country.[168] Between 2017 and 2024, her political contributions exceeded $600,000, including two donations of $100,000 each to Democratic presidential candidates in 2020 and 2024, as well as various other donations to the Democratic Party.[169] However, considering that successful presidential campaigns such as those of Barack Obama and Joe Biden, raised hundreds of millions to over a billion dollars,[170] it is unclear how, or if, Faulker's contributions meaningfully influenced or benefited her business.

Figure 8: EHR Adoption and Policy Timeline



Faulkner's appointment was particularly controversial because Epic opposed the Obama administration's goal of multivendor interoperability, a system that allowed different health IT platforms to exchange data, favoring instead a single-vendor model.[171] Despite her company's seemingly opposition to the Obama administration's tech vision, Faulkner was appointed to the committee through a process that the Government Accountability Office later admitted for lacking clear selection criteria. While Epic claimed to support interoperability, in practice, as many industry participants pointed out, its systems only worked effectively when all parties used Epic software. Faulkner argued that using multiple vendors' systems can compromise patient safety, a position that conveniently supports the company's preference for its own ecosystems. This directly contradicted President Obama's push for a flexible, cross-platform health IT infrastructure. Nonetheless, Epic was repeatedly held up as a model of health IT success by the administration. Obama praised Epic clients such as Kaiser Permanente and the Cleveland Clinic as "examples of how we can make the entire health care system more efficient."[172] The Cleveland Clinic, he noted, had "one of the best health information technology systems in the country."

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[168] Browse Individual Contributions. Federal Election Commission. https://www.fec.gov/data/receipts/individual-contributions/?contributor_name=judith+faulkner&two_year_transaction_period=2008&two_year_transaction_period=2010&two_year_transaction_period=2012&two_year_transaction_period=2014&two_year_transaction_period=2016

[169] Browse Individual Contributions. Federal Election Commission. https://www.fec.gov/data/receipts/individual-contributions/?contributor_name=judith+faulkner&two_year_transaction_period=2018&two_year_transaction_period=2020&two_year_transaction_period=2022&two_year_transaction_period=2024

[170] BIDEN, JOSEPH R JR – Candidate Overview. Federal Election Commission. https://www.fec.gov/data/candidate/P80000722/?cycle=2020&election_full=true; OBAMA, BARACK – Candidate Overview. Federal Election Commission. https://www.fec.gov/data/candidate/P80003338/?cycle=2008&election_full=true

[171] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[172] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

In 2014, Epic reportedly paid lobbyist Bradford Card, brother of George W. Bush's former chief of staff, over $130,000 to lobby members of Congress that the company supported interoperability. Card claimed that Epic had been the "subject of misinformation," arguing that "they're not interoperable, when in fact they are."[173]

During Obama's administration, Epic won a $14 million contract to provide software for the Coast Guard. It also won the Veterans Affairs $624 million contract for patient scheduling,[174] despite that Veterans Affairs stated preference for an open-source, interoperable solution. Meanwhile, several members of Wisconsin's congressional delegation, including some who received campaign contributions from Faulkner, lobbied Veterans Affairs in support of a single-vendor approach.[175]

A 2017 study published in the Journal of the American Medical Informatics Association analyzed data from 1,436 hospitals in 2014 and found that Epic was the leading electronic health record vendor among competitors such as Cerner, Meditech, and McKesson in supporting hospital performance on Stage 2 Meaningful Use criteria.[176] As previously mentioned, implemented in 2014, Stage 2 introduced more rigorous standards aimed at advanced clinical processes, including greater health information exchange between providers and increased patient engagement such as offering online access to personal health data. The stricter criteria and 2014 implementation date for Stage 2 prompted a significant push for electronic health record adoption among hospitals and providers. Hospitals had to quickly adopt or upgrade their electronic health record systems to qualify for incentives and avoid reimbursement penalties (1% increase each year and up to 5% of the Medicare reimbursement) that were scheduled to begin in 2015 for non-compliance.[177]

Across six core measured criteria in the 2017 study published in the Journal of the American Medical Informatics Association, hospitals using Epic outperformed those using other systems in five areas. These included: [178]

1. Medication computerized provider order entry (CPOE),[179] with Epic hospitals performing 10.33% better than peers, holding all other variables constant;

2. Patients' ability to view, download, and transmit (VDT) their health information, 8.34% higher;

3. Actual patients' usage of view, download, and transmit (VDT) functionality, 24.62% higher;

4. Medication reconciliation,[180] 3.09% higher;

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[173] We've Spent Billions to Fix Our Medical Records, and They're Still a Mess. Here's Why. https://web.archive.org/web/20250226035013/https://www.motherjones.com/politics/2015/10/epic-systems-judith-faulkner-hitech-ehr-interoperability/

[174] The deal was later halted in 2016 as the Veterans Affairs reportedly tested its own systems. Epic Grabs VA Software Contract. https://www.healthcareitnews.com/news/epic-grabs-va-software-contract; Epic Systems' VA Deal Suspended. https://web.archive.org/web/20181104201741/https://www.politico.com/tipsheets/morning-ehealth/2016/04/epic-systems-va-deal-suspended-213759

[175] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[176] Holmgren AJ, Adler-Milstein J, McCullough J. Are all certified EHRs created equal? Assessing the relationship between EHR vendor and hospital meaningful use performance. J Am Med Inform Assoc. 2018;25(6):654-660. doi:10.1093/jamia/ocx135

[177] Medicare and Medicaid EHR Incentive Program Basics. https://web.archive.org/web/20120620212232/www.cms.gov/Regulations-and-Guidance/Legislation/EHRIncentivePrograms/Basics.html

[178] Holmgren AJ, Adler-Milstein J, McCullough J. Are all certified EHRs created equal? Assessing the relationship between EHR vendor and hospital meaningful use performance. J Am Med Inform Assoc. 2018;25(6):654-660. doi:10.1093/jamia/ocx135

[179] "Computerized provider order entry (CPOE) refers to the process of providers entering and sending treatment instructions – including medication, laboratory, and radiology orders – via a computer application rather than paper, fax, or telephone." What is Computerized Provider Order Entry. https://web.archive.org/web/20241219054714/https://www.healthit.gov/faq/what-computerized-provider-order-entry

[180] "Medication reconciliation is the process of comparing a patient's medication orders to all of the medications that the patient has been taking. This reconciliation is done to avoid medication errors such as omissions, duplications, dosing errors, or drug interactions. It should be done at every transition of care in which new medications are ordered or existing orders are rewritten." Barnsteiner JH. Medication Reconciliation. In: Hughes RG, editor. Patient Safety and Quality: An Evidence-Based Handbook for Nurses. Rockville (MD): Agency for Healthcare Research and Quality (US); 2008 Apr. Chapter 38. Available from: https://www.ncbi.nlm.nih.gov/books/NBK2648/

5. Summary of care records sent electronically, 10.61% higher.

In 2025, over 34 million hospital admissions occurred across 6,093 U.S. hospitals, averaging 5,650 admissions per hospital per year, according to the American Hospital Association.[181] As the above findings show, while differences in EHR vendor performance on meaningful use criteria may appear small in some criteria, these are statistically significant, meaning they have real impact. For safety-related metrics such as computerized provider order entry (CPOE) and medication reconciliation, a 3% to 10% performance advantage could translate to 170 to 565 more patients per hospital per year receiving safer care, potentially preventing that many medication errors or care coordination failures. Across thousands of hospitals in the U.S., this adds up to millions of safer patient experiences, a powerful reminder that electronic health record vendor choice is not just an IT decision but a patient safety decision.

In addition, all three hospitals that ranked in the top quartile across all six criteria used Epic. Epic was also the most common electronic health record vendor among hospitals ranking in the top quartile for five, four, and three criteria. In contrast, among the 355 hospitals that did not place in the top quartile for any criteria, just 6.8% used Epic, the lowest share among major vendors.[182]

While Epic's customers typically do not disclose the financial impact of using its systems, Epic highlights that its technology helped GBMC Healthcare reduce surgical site infections by 50%, saving $1 million annually, and enabled Hawaii Pacific Health to save $103 million over five years,[183] though it provides no further details.

Cleveland-based University Hospitals, a health system comprising of 18 hospitals as of the end of 2023, planned to invest $400 million in Epic with an expected payback period of less than five years.[184] The health system expected that, once fully implemented, the new platform was projected to generate annual financial benefits exceeding $100 million.

As a result, Epic's growth after the passage of HITECH and since Obama's administration has been remarkable. As Figure 9-1 shows, in 2012, Epic held an 11.4% market share of U.S. hospitals, trailing Meditech's 22.2% and Cerner's 11.8% and followed by McKesson's 10.1%, and CPSI's 9.9%. **But by 2021, Epic's share had surged to 32.8%, overtaking all competitors.** Cerner followed with 23.2%, Meditech with 16.4%, and CPSI (now known as TruBridge as of 2024[185]) at 6.7%.[186] A 2023 study from KLAS Research, a healthcare data company, suggested that as of 2022, Epic Systems had a 35.9% market share of U.S. hospitals, followed by Oracle's Cerner's 24.9%, Meditech's 16.3%, CPSI's 8.2%, Altera Digital Health's 3.7%.[187]

Several key factors have driven Epic's rise, which we will delve into in the following section – its pioneering approach to interoperability among Epic systems, a strong reputation for reliable, comprehensive, all-in-one IT solutions for healthcare systems. These offerings cover everything from electronic health records to core administrative functions important to hospitals such as billing and scheduling. In addition, Epic's strategic focus on large healthcare systems and academic medical centers has embedded its platform in the training environments of future healthcare professionals, further solidifying its long-term presence in the industry.

When measured by number of hospital beds, in 2021, Epic had a market share of 46.5%, growing from 20.6% in 2012, followed by Cerner's 25.3%, growing from 17.7% in 2012.[188] In 2022, as shown in KLAS Research's study published in 2023, Epic System's accounted for 47.6% of the total number of beds in the U.S., followed by Oracle Cerner's 25.8%, Meditech 14%, Altera Digital Health's 4.1%, and CPSI's 2.5%.[189] Judy Faulkner explained that Epic Systems holds a

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[181] Fast Facts on U.S. Hospitals, 2025. https://web.archive.org/web/20250203222531/https://www.aha.org/statistics/fast-facts-us-hospitals

[182] Holmgren AJ, Adler-Milstein J, McCullough J. Are all certified EHRs created equal? Assessing the relationship between EHR vendor and hospital meaningful use performance. J Am Med Inform Assoc. 2018;25(6):654-660. doi:10.1093/jamia/ocx135

[183] Epic Health System Community. https://www.epic.com/community/

[184] University Hospitals' Epic Install to Cost $400M. https://www.beckershospitalreview.com/ehrs/university-hospitals-epic-installation-to-cost-400m/

[185] CPSI to Become TruBridge. https://web.archive.org/web/20250207150137/https://trubridge.com/resources/cpsi-to-rebrand-as-trubridge-inc/

[186] Holmgren AJ, Apathy NC. Trends in US Hospital Electronic Health Record Vendor Market Concentration, 2012-2021. J Gen Intern Med. 2023 May;38(7):1765-1767. doi: 10.1007/s11606-022-07917-3. Epub 2022 Nov 8. PMID: 36348217; PMCID: PMC10212829.

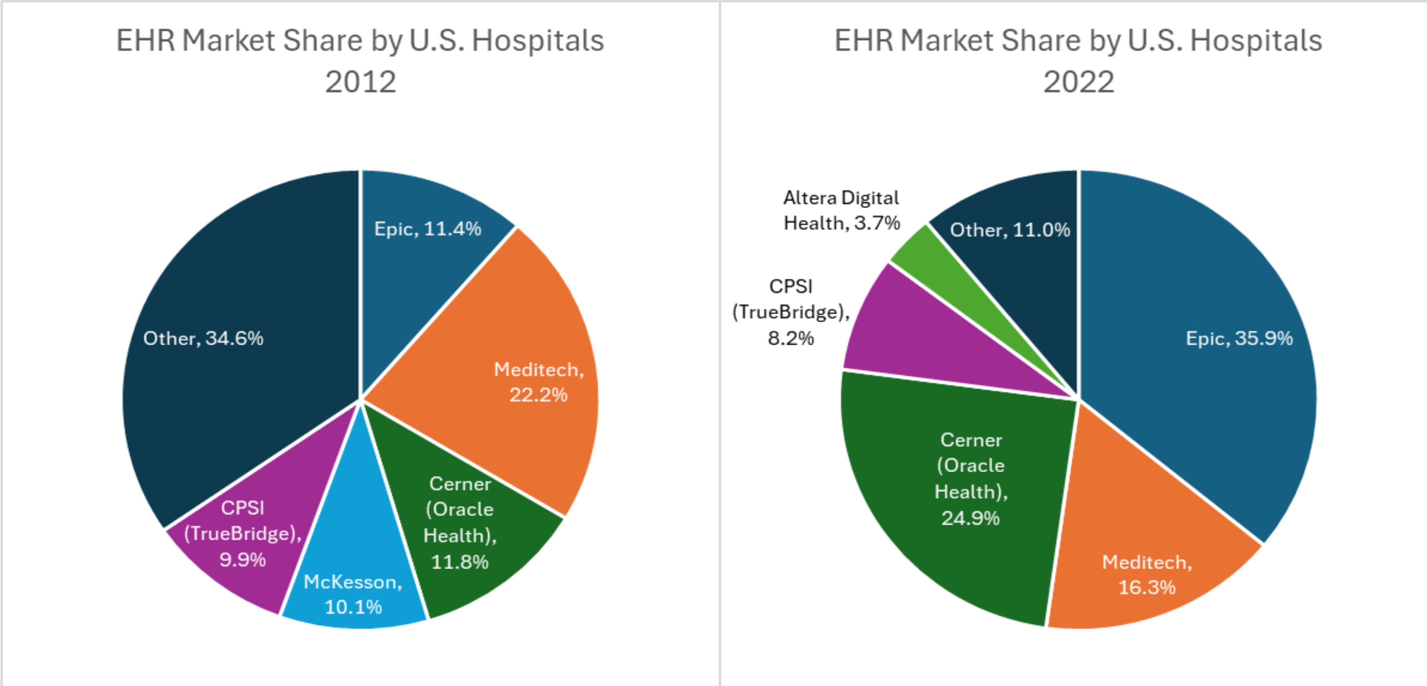
[187] EHR Vendor Market Share in the US. https://www.beckershospitalreview.com/ehrs/ehr-vendor-market-share-in-the-us/

[188] Holmgren AJ, Apathy NC. Trends in US Hospital Electronic Health Record Vendor Market Concentration, 2012-2021. J Gen Intern Med. 2023 May;38(7):1765-1767. doi: 10.1007/s11606-022-07917-3. Epub 2022 Nov 8. PMID: 36348217; PMCID: PMC10212829.

[189] EHR Vendor Market Share in the US. https://www.beckershospitalreview.com/ehrs/ehr-vendor-market-share-in-the-us/

larger market share measured by hospital beds because the company tends to work with larger organizations[190] and chooses not to play with small ambulatory practices.[191] In contrast, Cerner has more footprints in smaller to community-based hospitals.[192]

Figure 9-1: Electronic Health Record Market Share by U.S. Hospitals 2012 vs. 2022[193]



[190] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c
[191] Interview with Former Quality Manager at Epic Systems. 12/20/2023.
[192] Interview with Former Sales Leader & Business Development and Strategic Partnership Expert at Cerner. 1/20/2023
[193] Holmgren AJ, Apathy NC. Trends in US Hospital Electronic Health Record Vendor Market Concentration, 2012-2021. J Gen Intern Med. 2023 May;38(7):1765-1767. doi: 10.1007/s11606-022-07917-3. Epub 2022 Nov 8. PMID: 36348217; PMCID: PMC10212829; EHR Vendor Market Share in the US. https://www.beckershospitalreview.com/ehrs/ehr-vendor-market-share-in-the-us/

Figure 9-2: Electronic Health Record Market Share by U.S. Hospitals 2012 vs. 2022[194]

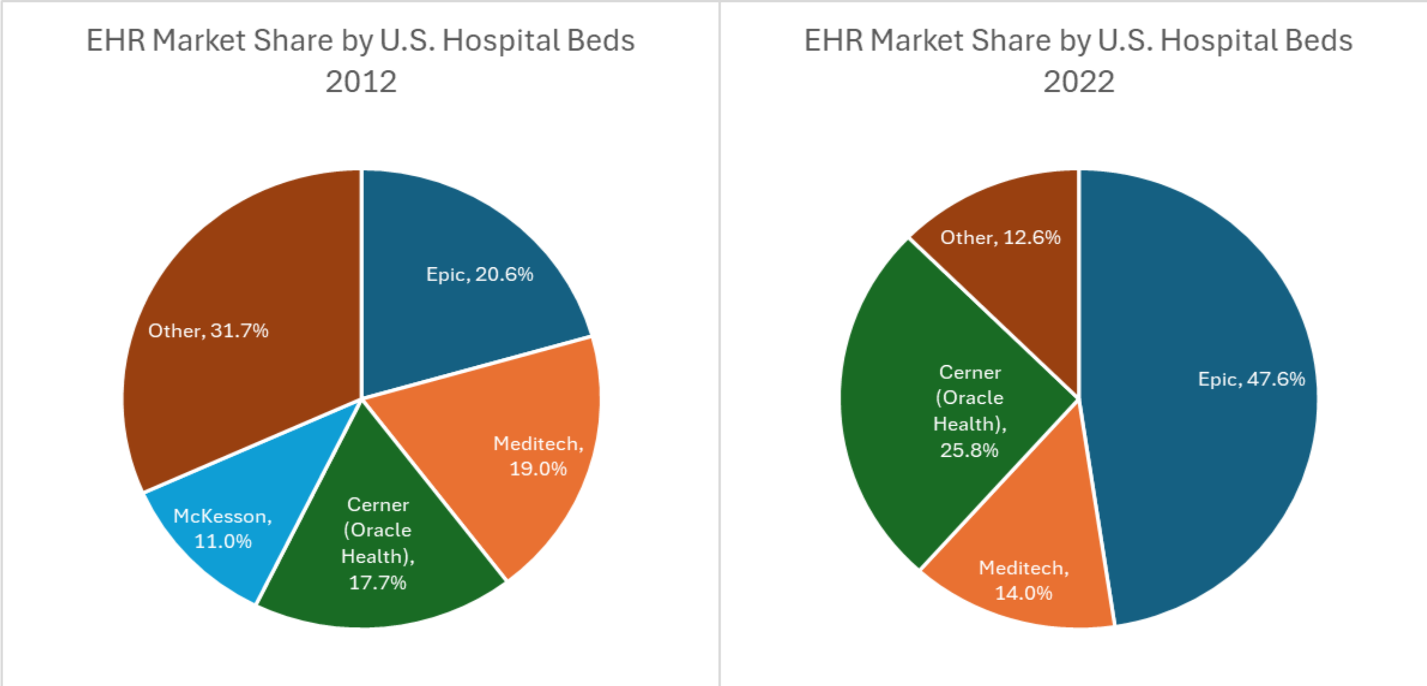
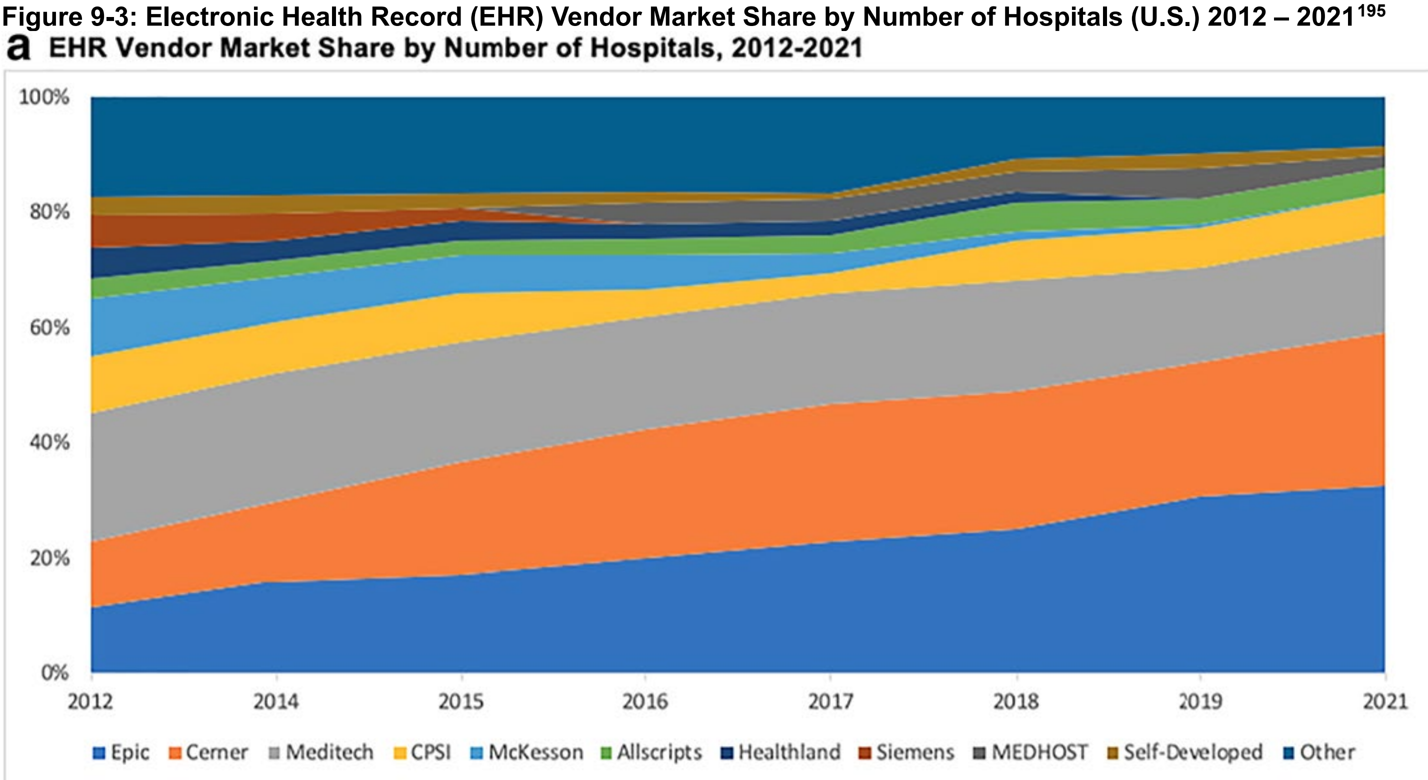


Figure 9-3: Electronic Health Record (EHR) Vendor Market Share by Number of Hospitals (U.S.) 2012 – 2021[195]



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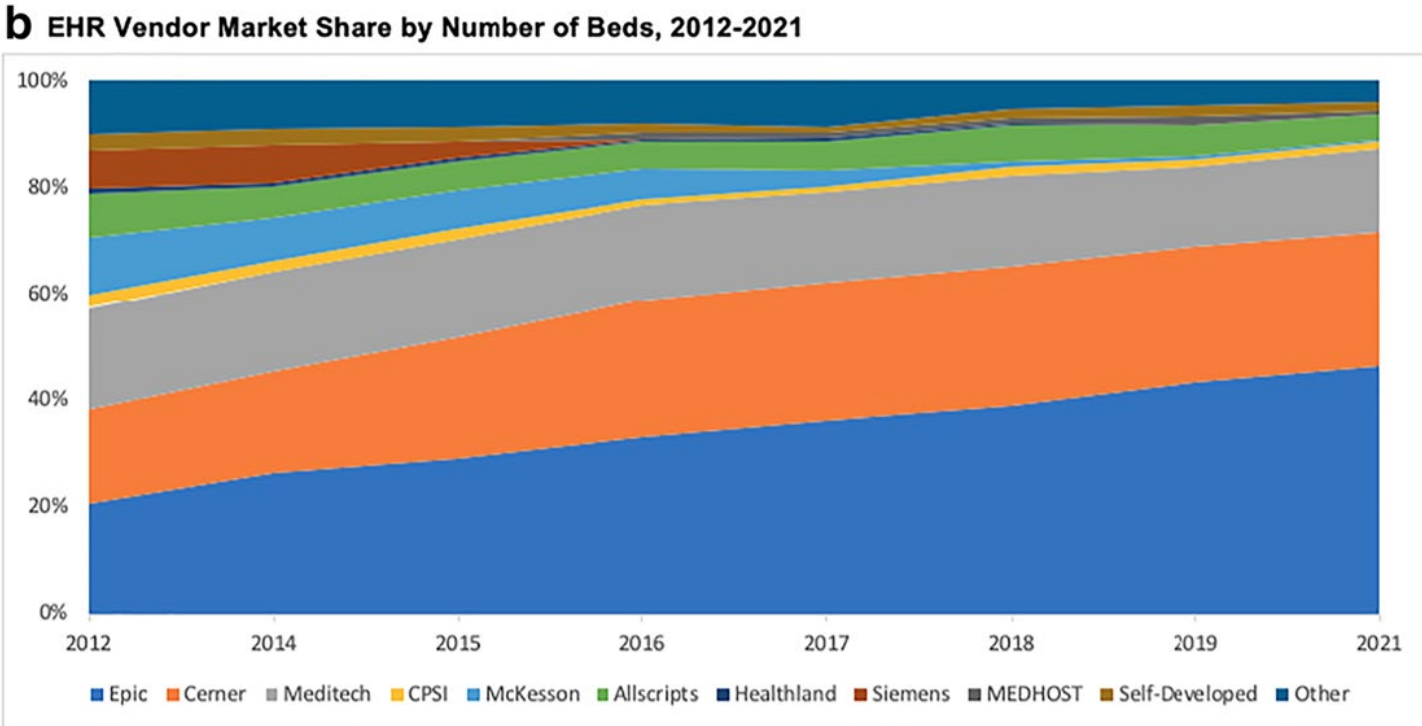
[194] Holmgren AJ, Apathy NC. Trends in US Hospital Electronic Health Record Vendor Market Concentration, 2012-2021. J Gen Intern Med. 2023 May;38(7):1765-1767. doi: 10.1007/s11606-022-07917-3. Epub 2022 Nov 8. PMID: 36348217; PMCID: PMC10212829; EHR Vendor Market Share in the US. https://www.beckershospitalreview.com/ehrs/ehr-vendor-market-share-in-the-us/

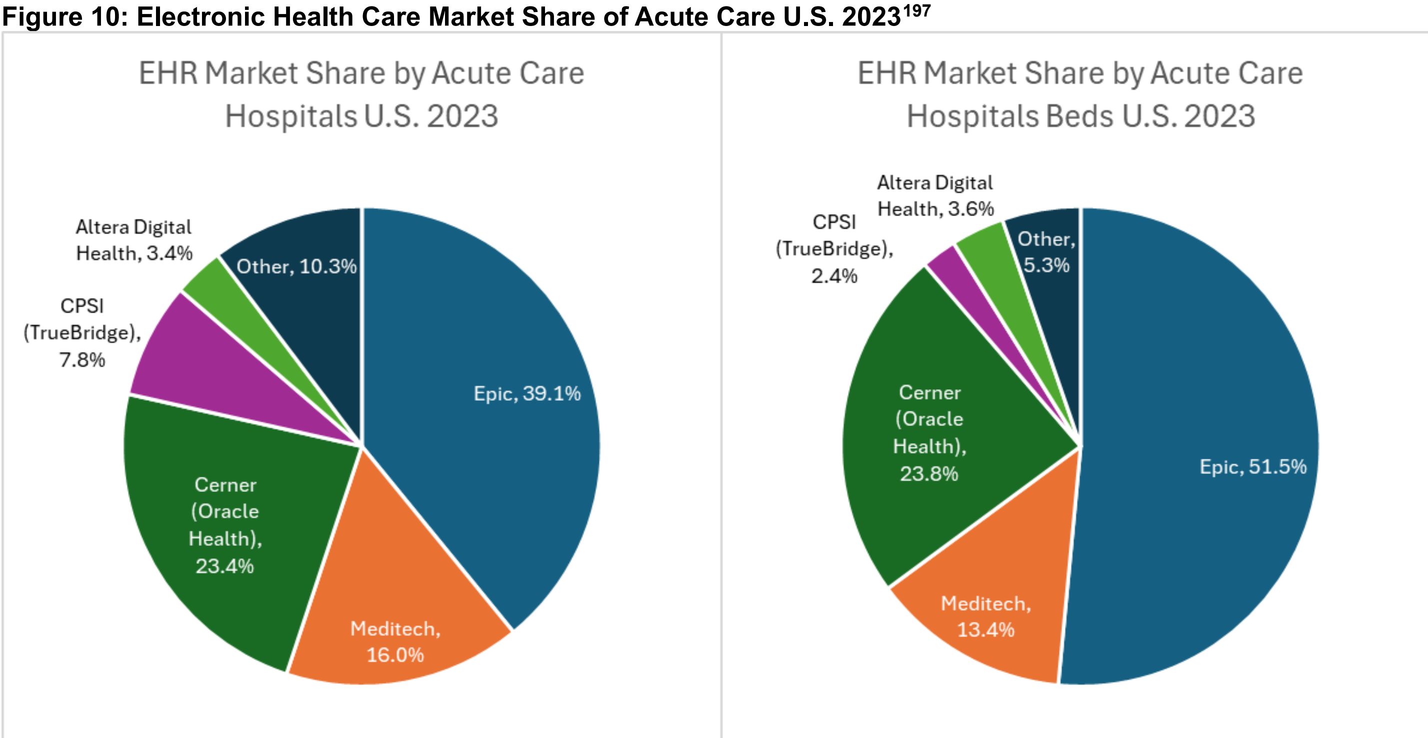
[195] Holmgren AJ, Apathy NC. Trends in US Hospital Electronic Health Record Vendor Market Concentration, 2012-2021. J Gen Intern Med. 2023 May;38(7):1765-1767. doi: 10.1007/s11606-022-07917-3. Epub 2022 Nov 8. PMID: 36348217; PMCID: PMC10212829.

Figure 9-4: Electronic Health Record (EHR) Vendor Market Share by Number of Beds (U.S.) 2012 – 2021



In the acute care hospital market specifically, Epic held 39.1% of hospitals and 51.5% of beds in 2023. Its nearest competitor, Oracle Health, trailed with 23.4% of hospitals and 23.8% of beds. Meditech accounted for 16% of hospitals and 13.4% of beds, while TruBridge held 7.8% of hospitals and 2.4% of beds, and Altera Digital Health accounted for 3.4% of hospitals and 3.6% of beds.[196]

Figure 10: Electronic Health Care Market Share of Acute Care U.S. 2023[197]



[196] Epic Increases Hospital Market Share Lead. https://www.beckershospitalreview.com/ehrs/epic-increases-hospital-market-share-lead/

[197] Epic Increases Hospital Market Share Lead. https://www.beckershospitalreview.com/ehrs/epic-increases-hospital-market-share-lead/

How Did Epic Systems Win versus Competitors?

Epic Systems rose to dominate the electronic health record market by executing a long-term strategy built on deep product integration with healthcare systems, including hospitals and academic medical centers, driven by 1) reliable products; 2) intensive R&D incorporating user feedback extensively, data availability, and data analytics; 3) a uniquely advantageous position during a major federal policy shift; 4) strategic customer targeting in large health systems, strengthened by a sales culture described as being a "BFF" ("Best Friend Forever") to customers, and powerful network effects; and 5) helping clients improve and expand their use of the software by benchmarking their performance against peers, further reinforcing customer loyalty. While many rivals struggled with fragmented systems to serve large institutions, Epic stood out by offering a reliable, all-in-one platform tailored to the complex needs of top-tier healthcare organizations.

1. **Epic offers reliable IT solutions to hospitals, which are critical as the healthcare industry operates under a conservative ethos given the industry's nature.** As one former Cerner executive put it, "You can't tell a doctor it's okay to fail… It's not okay to fail. That's death."[198] This risk aversion makes vendor selection a complex decision, driven by regulatory compliance and operational reliability. This cautious approach reflects the culture of healthcare itself, grounded in the guiding principle: "First, do no harm."[199]

   A 2017 study published in the Journal of the American Medical Informatics Association found that Hospitals using Epic statistically outperform those on rival platforms in critical metrics such as computerized provider order entry (CPOE),[200] with Epic hospitals performing 10.33% better than peers, holding all other variables constant, and medication reconciliation,[201] which was 3.09% higher than hospitals using peer software. CPOE and medication reconciliation both critical functions where failure is not an option because lives are at stake.[202]

   For 15 consecutive years, Epic has topped independent rankings by KLAS Research, which surveys thousands of healthcare providers annually. The rating criteria include metrics such as products performing as promoted, ease of use, implementation quality, functionalities needed, etc. In the 2025 "Best in KLAS" report, Epic earned a performance score of 89.4 out of 100, far ahead of Meditech (76.2) and Oracle Health (64.7),[203] demonstrating Epic's reliability over competitors.

   While companies such as Cerner (now Oracle Health) and Meditech disappointed users in some areas, Epic consistently delivered reliable and satisfactory performance. For example, Florida-based AdventHealth first implemented Cerner's system in 2002. In 2020, Florida-based AdventHealth announced it would transition from Cerner to Epic.[204] Although AdventHealth did not publicly comment on the reasons for the switch, industry news pointed to frustration with Cerner's ambulatory and revenue cycle issues. Customer dissatisfaction with Cerner's RevWorks revenue cycle outsourcing services likely played a role as well. A 2019 KLAS market report

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[198] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[199] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[200] "Computerized provider order entry (CPOE) refers to the process of providers entering and sending treatment instructions – including medication, laboratory, and radiology orders – via a computer application rather than paper, fax, or telephone." What is Computerized Provider Order Entry. https://web.archive.org/web/20241219054714/https://www.healthit.gov/faq/what-computerized-provider-order-entry

[201] "Medication reconciliation is the process of comparing a patient's medication orders to all of the medications that the patient has been taking. This reconciliation is done to avoid medication errors such as omissions, duplications, dosing errors, or drug interactions. It should be done at every transition of care in which new medications are ordered or existing orders are rewritten." Barnsteiner JH. Medication Reconciliation. In: Hughes RG, editor. Patient Safety and Quality: An Evidence-Based Handbook for Nurses. Rockville (MD): Agency for Healthcare Research and Quality (US); 2008 Apr. Chapter 38. Available from: https://www.ncbi.nlm.nih.gov/books/NBK2648/

[202] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[203] Best In KLAS – Software & Services 2025

[204] AdventHealth Switches from Cerner EHR to Epic. https://www.beckershospitalreview.com/ehrs/adventhealth-switches-from-cerner-ehr-to-epic-6-notes/

found that 70% of surveyed healthcare providers using RevWorks and related services would not choose to purchase again.[205] Common complaints included overselling of services, inexpert personnel, and slow to work on outstanding claims, reflecting a lack of reliability in a system that plays a critical role in managing healthcare finances. Ultimately, these operational challenges and widespread dissatisfaction led AdventHealth to drop both Cerner's electronic health record and revenue cycle management services in favor of Epic.

It is Epic's reliability, not necessarily its speed of innovation, that has solidified its position as the default choice for many healthcare providers. With a 45-year track record and endorsements from major healthcare systems and academic medical centers, Epic continues to dominate through trust and incumbency.

2. **Epic frequently gathers feedback from users including doctors, nurses, and other healthcare professionals, and reportedly outpaced its competitors in R&D investment as a percentage of operating expenses, while offering unique and vast datasets and analytics for their large academic institution clients.**

Epic collaborates closely with its users, including doctors and nurses. The company actively gathers feedback through direct conversations, emails, and committees made of specialists. In addition, Epic's founder, Judy Faulkner, has even taken calls with clients and jotted down notes on suggestion, comments, and complaints in a notebook.[206] **A key part of Epic's innovation process involves "immersion trips," where software developers are required to spend time in clinical settings like operating rooms to directly observe workflows, identify inefficiencies, and understand user needs.** This hands-on experience helps developers create more practical and impactful solutions, ensuring a continuous feedback loop that drives practical, user-focused improvements. Many system enhancements originate from these interactions, [207] reflecting Epic's commitment to evolving its software in response to the day-to-day realities of healthcare providers and patients.

During a 2016 interview, Judy Faulkner stated that 50% of its operating expenses were allocated to R&D, significantly more than its health IT competitors. For example, Allscripts spent 34% of its operating expenses on R&D, Cerner 19%, and athenahealth just 10%.[208] This level of investment even surpassed traditional tech giants such as Google, Apple, and Amazon when measured as a percentage of operating expenses, 45%, 36%, and 18%, respectively.

Two notable examples demonstrate Epic's innovations. First, Epic stated that it was the first electronic health record company to enable hospitals to electronically share patient records across different systems, successfully doing so in 2008 between two hospitals in Long Beach, California[209] – years before interoperability became a regulatory requirement under the 21st Century Cures Act, passed in 2016.[210] This has made transferring patient data among Epic users seamlessly easy.[211]

The ability to share medical records across hospitals, especially those using Epic, has been an important factor in attracting new customers, particularly large health systems. Data sharing is an important feature to large health care systems, especially academic medical centers, which have been Epic's main focus of customers,

[205] Cerner Sells Revenue Cycle Management Outsourcing Arm. https://web.archive.org/web/20241114191108/https://www.techtarget.com/revcyclemanagement/news/366601834/Cerner-Sells-Revenue-Cycle-Management-Outsourcing-Arm
[206] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html
[207] Interview with Former Senior Program Manager at Epic Systems. 12/19/2023
[208] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors
[209] Health Records Firm Epic Raises Profile. https://web.archive.org/web/20220815052700/https://www.politico.com/story/2014/10/epic-systems-digital-health-care-system-112288
[210] Information Blocking. https://web.archive.org/web/20250313205304/https://www.healthit.gov/topic/information-blocking
[211] Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

as they depend heavily on specialty referrals.[212] For example, Mount Sinai, one of the largest hospitals in the U.S., has cited the ability to exchange clinical information across organizations, the familiarity of clinical teams with Epic at other institutions, and the system's overall sophistication as reasons for adopting the platform.[213] In addition, **as it continues to grow and hold more patient records than any competitor, Epic facilitates record-sharing with non-Epic hospitals and federal agencies; this capability serves as both a selling point and a perceived public service, strengthening its competitive moat and market dominance.[214]**

Second, Epic's Cosmos database and its public-facing site, Epicresearch.org leverage Epic's large-scale healthcare data for actionable clinical insights and improved patient outcomes. **As of 2022, the database contained data from 2.2 billion provider visits and approximately 140 million patients (15.3 billion encounters, 7.4 billion face-to-face visits, and 296 million patients in 2025[215]). This de-identified data, shared by Epic's customers, forms the basis for high-impact clinical research that is being published in hundreds of medical journals across the country.** Epic's competitors lack comparable offerings, giving customers few alternatives and making Epic the only option for health systems seeking to leverage large-scale clinical data.[216]

3. **Policy tailwinds, particularly from the federal government's push for electronic health records, potentially helped position the company as a favored choice among large healthcare systems.**

Epic was better positioned than competitors to take the opportunity in 2009 when the HITECH Act passed. Its comprehensive, fully integrated system helped hospitals meet the government's "Meaningful Use" requirements with minimal risk, giving it a clear edge over competitors.

A 2012 study in Perspectives in Health Information Management found that, in response to the HITECH Act of 2009, larger and urban-based hospitals were significantly more likely to adopt electronic health records whereas rural hospitals were much less likely to do so.[217] **Epic's long-term focus is on academic medical centers and large health systems, which are considered the most sustainable and financially appealing segment in healthcare.[218] These organizations represent more than 60% of patient revenue in the U.S. and at least $813 billion in healthcare expenditures flowing through Epic Systems in 2023 alone, aligning neatly with the institutions most likely to lead in the adoption of electronic health records.** In contrast, Epic's main competitor, Cerner, focused on smaller, rural hospitals,[219] which had fewer beds and fewer resources, and which were less likely to be early adopters of electronic health records. [220]

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[212] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[213] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[214] 1,000 Epic Hospital Customers, 22,000 Clinics Now Live on TEFCA. https://www.fiercehealthcare.com/health-tech/epic-says-1000-hospital-customers-have-transitioned-tefca-industry-mulls-future-medical; Health Records Giant Epic Hit with Antitrust Suit. https://www.axios.com/2024/09/24/antitrust-lawsuit-filed-ehr-giant-epic

[215] About Epic Cosmos. https://cosmos.epic.com/about/

[216] Interview with Former Quality Manager at Epic Systems. 12/20/2023.

[217] Diana ML, Kazley AS, Ford EW, Menachemi N. Hospital characteristics related to the intention to apply for meaningful use incentive payments. Perspect Health Inf Manag. 2012;9(Spring):1h.

[218] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[219] Interview with Former Senior Vice President of Cerner Corporation 11/10/2021.

[220] Diana ML, Kazley AS, Ford EW, Menachemi N. Hospital characteristics related to the intention to apply for meaningful use incentive payments. Perspect Health Inf Manag. 2012;9(Spring):1h.

Judy Faulkner served on the federal Health IT Policy Committee from 2009 to 2014.[221] As the representative for health IT vendors during the Obama administration's push for nationwide adoption of electronic health records, Faulkner had a direct voice in shaping the standards that Epic was already well prepared to meet.[222]

4. **Epic has a unique approach of managing long-term customer relationships and has a long-term focus on academic medical centers and large health systems, which are considered the most sustainable and financially appealing segment in healthcare,[223] representing more than 60% of patient revenue in the U.S. and at least $813 billion in healthcare expenditures flowing through Epic Systems in 2023 alone.**

   A key strategy of Epic is its unique approach to managing customer relationships. Instead of using traditional account executives, each client is assigned a contact person known as a "BFF" (Best Friend Forever).[224] While the name might come across as embarrassing to some, Epic uses it intentionally to highlight the close, personal bond between their salespersons and customers, much more than just an account manager.[225] **It is a bi-lateral matching process aimed at finding the right fit for each organization. This role is designed to build long-term, meaningful relationships with customers, based on the belief that once a client joins Epic, they will never leave. Likewise, the same BFF remains committed to that customer forever on a 1-on-1 basis, as long as the person stays with Epic.[226] With an average customer relationship of ten years, Epic has never lost a client, except in rare cases where physicians from small clinics moved to different systems following acquisitions.[227]**

   What sets Epic apart is how deeply involved BFFs are in their relationship with customers from the very start. Each BFF, as well as software developers, begins their relationship with an "immersion trip", spending time onsite at outpatient or inpatient customers to understand how the clients operate. Unlike typical software vendors where salespeople and installers are separate teams, at Epic, BFFs themselves handle the installation process.[228] This hands-on approach means they take full responsibility for the customer journey from sales through implementation. Epic believes that if a BFF sells the wrong product upfront, it will cause problems down the line. By being directly involved, BFFs gain a deep understanding of what they are selling and how it fits the client's needs, which is far more effective than managing multiple accounts from a distance.

   Supporting each BFF is a dedicated team of technical specialists tailored to the size of their customers, with some larger clients having over 100 tech support staff backing their BFF.[229] **Unlike other vendors who route customer calls through a 1-800 number, Epic customers can call Epic 24/7 and request specific individuals who have been onsite and know their systems personally. Epic offers unlimited technical support at no additional cost, a stark contrast to other companies that start charging after a certain level of service.** Furthermore, the software developers who work on a client's system stay involved throughout the entire lifecycle, from immersion trips to development, testing, and debugging, ensuring the highest quality

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[221] In 2014, Neal Patterson, the founder and the then CEO of Cerner, was appointed by the Government Accountability Office (GAO) as a member of the Health IT Policy Committee. 50 Things to Know about Epic and Judy Faulkner. https://www.beckershospitalreview.com/healthcare-information-technology/50-things-to-know-about-epic-and-judy-faulkner/; Health Information Technology Policy Committee Summary. 5/6/2014; GAO Makes Appointments to Health IT Policy Committee. https://web.archive.org/web/20250205081126/https://www.gao.gov/press-release/gao-makes-appointments-health-it-policy-committee

[222] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[223] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[224] Interview with Former Implementation Director at Epic Systems. 12/19/2023

[225] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[226] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[227] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[228] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[229] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

product and quick fixes when issues arise. This continuity contrasts sharply with many vendors, where programming, testing, and debugging could be handled by different teams.

The BFF is typically paired with a senior executive at the client organization, such as a CIO or CEO, and is responsible for maintaining close communication and staying informed about their needs. Internally, BFFs are given talking points on new features of products that they roll out. Epic has been very focused on large healthcare providers, where executives already know how to initiate contact with Epic when they are ready.[230] As a result, Epic does not rely on outbound sales.

Epic also targets large academic medical centers and research hospitals, embedding itself into the institutions that train future doctors and nurses. **As of 2022, over 90% of medical students and residents now train on Epic systems, giving the company a unique advantage in embedding its software deeply into the next generation of healthcare professionals' workflows.[231]** This created a powerful flywheel – as more doctors trained on Epic, more hospitals adopted it to accommodate new staff, reinforcing and building upon the company's market dominance.[232]

With the company's long-term focus on large healthcare organizations and its widely recognized reputation among the industry, the resulting network effect plays a significant role in attracting new customers to join the Epic network. One of Epic's most defining, yet controversial, strategies has been its "closed system" approach. While the company has stated that it is the inventor of and promotes interoperability, in practice, Epic software works best when everyone in the network also uses Epic. Data sharing between hospitals that use Epic is smooth and seamless. But when it comes to exchanging information with non-Epic platforms, the process can be cumbersome and handled on a case-by-case basis by design. As Epic has become widely adopted across U.S. health systems, this design has evolved into a significant competitive advantage. It not only makes it harder for existing customers to leave the Epic ecosystem but also attracts others to join. Over time, hospitals found it increasingly advantageous, even necessary, especially for academic medical centers that depend heavily on specialty referrals, to switch to Epic simply to collaborate efficiently with their peers.[233]

The more institutions that joined Epic, the more valuable it became to be part of that network. Kristin Myers of Mount Sinai noted how the ability to easily exchange clinical information within the Epic community led to widespread adoption. Being "inside" the Epic network meant smoother referrals, faster access to records, and reduced administrative friction,[234] benefits that no other vendor could match. For many hospitals, Epic became the safest, most dependable choice, and one that no executive ever got fired for choosing.[235]

5. **Epic takes a uniquely collaborative approach to customer success, in addition to having BFFs personally handle installations and assigning dedicated technical teams to each client. Unlike typical vendors, Epic works with clients in a consolidated, data-driven way, benchmarking each organization against its peers using analytics from their Epic system usage.[236] This allows clients to identify areas for improvement and learn from the best performing organizations. Epic not only provides the software but also actively helps customers succeed, tailoring programs that enable them to replicate their peers' success. This fosters a shared sense of ownership, with Epic deeply involved in helping clients achieve their objectives.**

One of the key initiatives supporting this effort is Epic's Gold Star Program, a 10-star system that evaluates how effectively clients are using Epic's most salient, and more underutilized, features. Reaching level 10 is

[230] Interview with Former Implementation Director at Epic Systems. 12/19/2023
[231] How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/
[232] How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/
[233] Why Big Health Systems Keep Switching to Epic. https://www.beckershospitalreview.com/ehrs/why-big-health-systems-keep-switching-to-epic/; Worldly Partners' Discussion with a Doctor. 3/30/2025.
[234] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/
[235] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/
[236] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

challenging, there are hundreds of features to consider, and few organizations use them all to their full potential. The program highlights key features that peers widely adopt, helping clients prioritize what to implement next. It serves as both a guide and a motivator.

The Gold Star rankings are featured each year at Epic UGM (User Group Meeting), a major annual event that celebrates client achievements. Organizations that reach the top levels are publicly recognized, their names projected on slides and called out in front of the audience. This recognition creates a healthy sense of customer pride and competition, driving customers' adoption of new features and increasing their engagement with Epic software. This approach also potentially creates an environment of peer pressure such that no one wants to fall behind on rankings when their peers are making the most of the software.

In addition to recognition, Epic offers financial incentives to customers who score highly on the Gold Star evaluation, meet objectives, and make Epic's maintenance easier. In 2024, Epic awarded approximately $27 million in credits to customers through this program. Those who received the credits on average saw a saving of $600,000 to $800,000 per year, depending on organization size, with some achieving up to 7% reduction in operating expenses.[237]

In addition, Epic also has a strong presence in the academic medical center market, controlling nearly 60% as of 2022.[238] **Over 90% of medical students and residents now train on Epic systems, giving the company a unique advantage in embedding its software deeply into the next generation of healthcare professionals' workflows.** A 2016 report underscored Epic's footprint in research institutions as well. All 15 hospitals receiving the most funding from the National Institutes of Health at the time were Epic clients.[239] With most academic medical centers relying on Epic, the software often becomes the default standard in medical education, reinforcing its dominance. In 2023, Epic also launch Lyceum, an educational version of EHR software for medical/nursing students.[240] A pre-med student at Johns Hopkins University shared his positive experience using Epic,[241] noting that he has used the platform both for stroke research and charting as part of Hopkins Community Connection, a student organization focused on addressing patients' essential needs through universal social needs screenings and referrals to community resources and benefit programs.[242]

Epic has won over academic medical centers through a combination of strategic product development, integration across care settings, and a strong reputation for reliability and scalability. One of the most compelling reasons for its dominance is its integrated platform, which unifies inpatient and outpatient care.[243] Christopher Sharp, the chief medical information officer of Stanford Health Care, noted that Epic initially gained traction because of "its integrated platform across ambulatory and inpatient care," adding that Stanford's children's hospital switched from Cerner to Epic largely due to Epic's "more robust ambulatory offering." This comprehensive integration was crucial for academic centers seeking seamless data sharing and operational coherence. Moreover, Epic's track record of consistent and successful implementation reassured major institutions about the value of their investment. Jeff Gautney, the chief information officer of Rush University System for Health, pointed out, "You get what you pay for 100% of the time," despite Epic being "not cheap." The reliability of Epic's implementation, combined with its ability to scale with large, complex systems, positioned it as a safer bet in a high-stakes environment. Michael Restuccia, the chief information officer of Penn Medicine, emphasized the value of integration over piecemeal interoperability, saying:

> "Within ambulatory, if you remember back, every specialty had their own EMR… We have 30-plus specialties. So we had at least 30-plus niche EMRs supporting them, because sometimes we had multiple EMRs for the same specialty. Just think through this: That's 30-plus contracts, 30-plus maintenance agreements, 30-plus vendor representatives that you have to keep track of 30-plus interfaces."

Using Epic, Penn Medicine only has one vendor to manage.

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237 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
238 How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/
239 Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html
240 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
241 Worldly Partners' Discussion with a Pre-Med Student at John Hopkins. 3/30/2025.
242 Hopkins Community Connection. https://imagine.jhu.edu/organizations/hopkins-community-connection/
243 How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

Epic also benefitted from a growing network effect. As more academic institutions adopted Epic, clinical teams became more familiar with its interface and workflows, making it easier to onboard new staff and share data across organizations. Kristin Myers, the chief digital and information officer of Mount Sinai Health System, explained, “The ability to exchange clinical information between organizations, the [number] of clinical teams that have used Epic at other institutions, and the sophistication of the product will lead to other transitions.”[244] This momentum created a tipping point where institutions found it increasingly advantageous, and eventually necessary, to join the Epic community. In addition, seamless record exchange via Epic’s Care Everywhere is crucial, especially for academic medical centers that depend heavily on specialty referrals.

A founder of a patient revenue platform recalled a conversation with a prospective client in Albany, New York. The client explained they were switching to Epic because both hospitals in the area were already using it.[245] Choosing Epic made sense as it allowed their medical records to be connected, enabling better visibility into patient care across the community. The founder noted that Epic’s success is not just about selling software, it is about promoting the concept of having Epic connect electronic medical records to deliver more coordinated, efficient care within a healthcare community.

Epic’s strategic approach to upgrades and feature enhancements helped it retain customers and continue evolving. Dr. Sharp noted that Epic stayed ahead by “continually developing integrated solutions, staying engaged with clients, and cleverly writing contracts to incentivize upgrades and adding features.” Beyond product functionality, Epic created platforms like Cosmos, which aggregates data from over 217 million patient records, according to a 2023 report,[246] offering academic institutions a powerful tool for research and benchmarking. As Dr. Sharp put it, “Where else can you get on a platform that has 210 million lives of data? This is kind of extraordinary.”

Finally, the sheer scale and financial commitment involved in switching electronic health record systems reinforces Epic’s stronghold. Institutions that invest hundreds of millions or billions into Epic are unlikely to abandon the system easily. Restuccia underscored this point:

> “To change your electronic health record at this point, it’s literally hundreds of millions of dollars, if not billions, and then all the change management that goes with it. So once systems like this are in place, it takes a lot to remove them...I don’t know what the factor would be that would cause an institution to remove their Epic EHR at this point.”[247]

As a result, Epic’s early lead and consistent performance have helped it lock in its position, making it the default choice for academic medical centers and solidifying its dominance in the U.S. healthcare landscape.

In a 2024 statement, founder Judy Faulkner revealed that Epic Cosmos, one of Epic’s databases, holds over 270 million patient records from more than 13 billion clinical encounters.[248] This dataset represents patients in all 50 U.S. states and covers roughly 79% of the U.S. population.[249]

According to Forbes, from 2017 to 2022, Epic added nearly 95,000 hospital beds to its installed base, while none of its competitors achieved a net gain during that period.[250] In fact, Epic captured 79% of all reported net new hospital electronic health record deals during those five years. Hospitals and health systems consistently cite Epic’s extensive functionality, reliability, and integration capabilities as key reasons for choosing the software.

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244 How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

245 Interview with Chief Strategy Officer and Co-Founder at Clearwave Corp. 2/28/2024

246 How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

247 How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

248 Epic Touts New Software Features 'Turbocharged with AI'. https://web.archive.org/web/20250223123250/https://www.fiercehealthcare.com/ai-and-machine-learning/epic-touts-new-ai-applications-streamline-charting-and-bring-research

249 Population Clock. Census Bureau. https://www.census.gov/popclock/

250 Epic’s Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

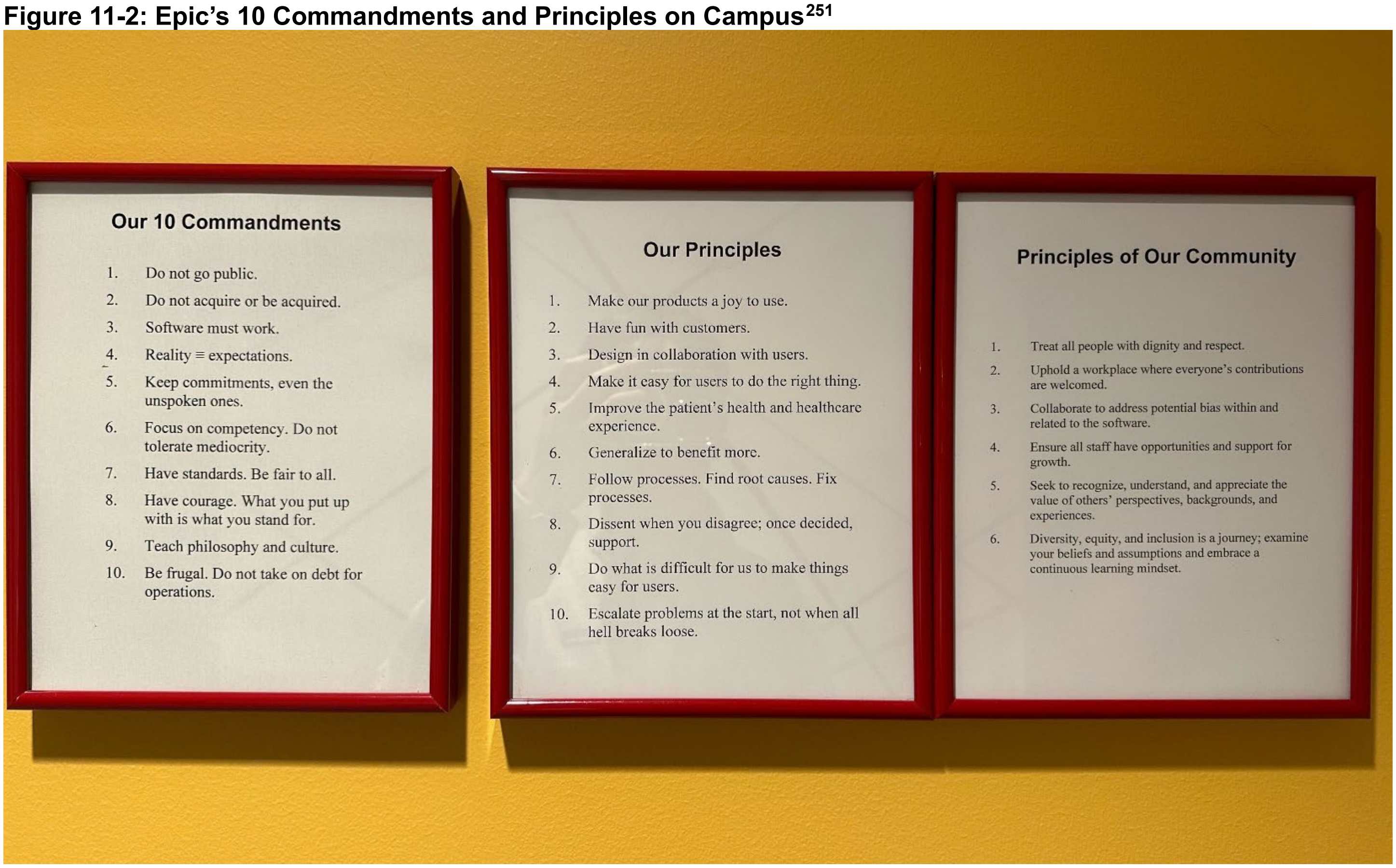
Business Model, Value Proposition

Epic Systems operates according to its ten commandments, a set of guiding principles displayed throughout its campus, including in bathrooms, so employees can see them easily and regularly. These commandments are accompanied by the company's broader community and business principles, creating a framework for how Epic runs and interacts both internally and externally.

Figure 11-1: Epic's 10 Commandments and Principles

Our 10 Commandments	Our Principles	Principles of Our Community
1. Do not go public. 2. Do not be acquired. 3. Software must work. 4. Reality ≡ expectations. 5. Keep commitments. 6. Focus on competency. Do not tolerate mediocrity. 7. Have standards. Be fair to all. 8. Have courage. What you put up with is what you stand for. 9. Teach philosophy and culture. 10. Be frugal. Do not take on debt for operations.	1. Make our products a joy to use. 2. Have fun with customers. 3. Design in collaboration with users. 4. Make it easy for users to do the right thing. 5. Improve the patient's health and healthcare experience. 6. Generalize to benefit more. 7. Follow processes. Find root causes. Fix processes. 8. Dissent when you disagree; once decided, support. 9. Do what is difficult for us to make things easy for users. 10. Escalate problems at the start, not when all hell breaks loose.	1. Treat all people with dignity and respect. 2. Uphold a workplace where everyone's contributions are welcomed. 3. Collaborate to address potential bias within and related to the software. 4. Ensure all staff have opportunities and support for growth. 5. Seek to recognize, understand, and appreciate the value of others' perspective, backgrounds, and experiences. 6. Diversity, equity, and inclusion is a journey; examine your beliefs and assumptions and embrace a continuous learning mindset.

Figure 11-2: Epic's 10 Commandments and Principles on Campus[251]



[251] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Epic Systems refers to itself as a "software factory". The company has never made an acquisition and is known for developing all of its software in-house, reflecting its disciplined, engineering-driven approach to product development. As of 2025, Epic's website states that it invests 35% of its operating expenses into research and development.[252] In contrast, Cerner's R&D spending, approximated by its software development costs, accounted for about 20% of operating expenses, according to its 2021 annual report, prior to its acquisition by Oracle Health.[253] Epic estimates that, in general, competitors invest around 15% of their operating expenses in R&D.[254]

In 2016, Judy Faulkner, the founder of Epic, revealed in an interview that the company allocated 50% of its operating expenses to R&D, significantly outpacing its health IT competitors. For comparison, Allscripts spent 34% of its operating expenses on R&D, Cerner 19%, and athenahealth just 10%.[255] This level of investment even surpassed traditional tech giants such as Google, Apple, and Amazon when measured as a percentage of operating expenses, 45%, 36%, and 18%, respectively.

Faulkner explained that Epic's high R&D spending is driven by its focus on building entire systems from scratch. Rather than acquiring companies or technologies and dealing with integration challenges, Epic invests directly in in-house development. This approach allows the company to dedicate its resources fully to innovation without diluting efforts on mergers or system compatibility issues. Faulkner said "It's totally about building new things…We don't have to spend a chunk of our R&D money trying to incorporate other stuff."[256]

In contrast, competitors could face distractions from mergers and acquisitions, which can divert attention and resources away from improving core products. For instance, after Oracle acquired Cerner, founder Larry Ellison admitted the company was "basically rewriting that software a piece at a time."[257] The Chief Information Officer at Integris Health, a former Cerner executive, echoed this sentiment, noting that Epic has made a deliberate effort to prioritize interoperability, social determinants of health, and a strong financial platform, all key to a health system's vitality. "As long as Epic continues to focus on aligning caregivers and patients and transforming care, while Oracle remains focused on integrating Cerner into their portfolio, Epic will continue to pull away," he said.[258]

Sumit Rana, Epic's senior vice president of R&D, highlighted the creation of the MyChart patient portal, which is used by over 190 million patients today,[259] as a prime example of how this investment pays off. Introduced in 1999, MyChart was a pioneering tool that gave patients direct access to their medical records, test results, and appointments, something that "many doctors viewed that information as theirs rather than belonging to patients".[260] This innovation reflects Epic's commitment to not only developing new technology but also challenging established norms in healthcare IT.

Inside Epic's conference rooms, the culture of excellence is reinforced through a series of framed quotes personally selected by founder Judy Faulkner. They include phrases such as, "Don't be a champion of the mediocre," "If you cannot do great things, do small things in a great way," and "Be an enabler, not an inhibitor."[261] Customers know that they can get

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[252] About – Epic. https://www.epic.com/about/

[253] Cerner Annual Report 2021.

[254] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[255] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[256] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[257] Why Big Health Systems Keep Switching to Epic. https://www.beckershospitalreview.com/ehrs/why-big-health-systems-keep-switching-to-epic/

[258] Why Big Health Systems Keep Switching to Epic. https://www.beckershospitalreview.com/ehrs/why-big-health-systems-keep-switching-to-epic/

[259] MyChart is Epic. https://www.mychart.org/

[260] Epic Reveals R&D Spending Outstrips Apple, Google and Its Competitors. https://web.archive.org/web/20221127141913/https://www.healthcareitnews.com/news/epic-reveals-rd-spending-outstrips-apple-google-and-its-competitors

[261] Epic CEO Judy Faulkner Opens Up About Why She's Talking to Reporters These Days. https://www.healthcareitnews.com/news/inside-EHR-interoperability-epic-judy-faulkner-opens-about-why-she%27s-talking-reporters-these-days

from Epic reliability, security, collaboration, and a long-term partner that, while sometimes slow to innovate, is steady and predictable.

In a 2020 interview, Judy Faulkner explained that from day one, she designed the Epic system with the patient at the center.[262] Rather than building separate systems for different types of information, she structured all data around the patient. This approach allowed the system to grow and adapt as new types of data emerged, always anchored to the patient. This patient-centered architecture became a core principle of Epic's design and remains fundamental to how the company operates today.

For its first two decades, Epic grew slowly but steadily, adding a handful of customers each year as its product suite gradually expanded. The turning point came in 2004 when the company landed its biggest deal yet: a $4 billion, three-year project with Kaiser Permanente. Epic's portion was around $400 million. This project later was praised by President Obama as an example of "how we can make the entire health care system more efficient."[263] At the time, Kaiser's CEO explained the decision that "Epic brought that safety factor that if you chose them, they were actually going to deliver on implementation and they were going to do it on time…That's huge."[264]

When the HITECH Act passed in 2009, marking a major push to digitize U.S. hospitals under the Obama administration, Epic was one of the few all-in-one software vendors,[265] an important feature to large healthcare institutions such as academic medical centers.[266] Its suite included Cadence for scheduling, Haiku for mobile integration, ASAP for emergency room management, Stork for prenatal care and deliveries, and MyChart, a patient-facing portal to access personal health records. Taken together, Epic functioned like the Microsoft Office of healthcare IT, more comprehensive than any of its competitors, even if an individual module might not always be the best. A health IT researcher at the University of Michigan stated that "what you hear is that, if you were to buy the best of breed – the best cardiology system, or the best chemotherapy system – no one would ever choose Epic", but it is easier to go with Epic than to piece together better software from different vendors. A neurologist at Massachusetts General Hospital and Brigham and Women's Hospital also highlighted that "every [electronic medical record] has its little red tape, hurdles, things that are annoying that, as you're using it day-to-day, you start to notice. I do think Epic, among the [electronic medical records] I've worked with, is probably the best."[267]

Epic has been recognized for 15 consecutive years by independent firm KLAS Research, winning a variety of "Best in KLAS" awards, including #1 Overall Software Suite, based on the feedback of thousands of healthcare providers annually on various categories.[268] Under "Culture," KLAS evaluates whether vendors deliver on promises, offer proactive service, and provide products that perform as promoted. The "Loyalty" category measures factors such as overall satisfaction, likelihood to recommend, and willingness to repurchase. "Operations" looks at ease of use, implementation quality, and training effectiveness. The "Product" category examines overall product quality, functionalities needed, and delivery of new technology. "Relationship" gauges the quality of customer support, whether by phone or online. "Value" assesses whether customers feel they are getting their money's worth, avoiding little charging, and achieving measurable results.

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[262] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[263] Democrat Donor Gets Federal Health Policy Slot Despite Conflicts of Interest. https://web.archive.org/web/20250226043642/https://www.heritage.org/political-process/commentary/democrat-donor-gets-federal-health-policy-slot-despite-conflicts

[264] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[265] We've Spent Billions to Fix Our Medical Records, and They're Still a Mess. https://web.archive.org/web/20250226035013/https://www.motherjones.com/politics/2015/10/epic-systems-judith-faulkner-hitech-ehr-interoperability/

[266] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[267] Neurologist at Massachusetts General Hospital and Brigham and Women's Hospital. 1/9/2025

[268] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/; Best in KLAS 2025 Sees Industry Progress and Vendor Momentum. https://web.archive.org/web/20250315172125/https://www.healthcareitnews.com/news/best-klas-2025-sees-industry-progress-and-vendor-momentum

The 2025 Best in KLAS reported that Epic received an overall performance score of 89.4 out of 100, followed by Meditech's 76.2 and Oracle Health's (Cerner) 64.7.[269]

As a software company, innovation is at the heart of Epic Systems' business. **The company listens to and addresses customers' (doctors and hospitals) feedback directly, including writing responses to customers' questions.** In 2016, when Judy Faulkner, the founder of Epic Systems, was 72, she still regularly had regular calls with customers so that she could get direct feedback on the company's software. She was known for carrying a notebook in which she would jot down suggestions, complaints, and comments from customers, as well as what needed to be done and by when.[270]

Epic Systems drives innovation by focusing on real-world problems and gathering ideas from a wide range of sources, including users who share feedback via conversations, emails, and steering committees made up of specialists.[271] **A key part of Epic's innovation process involves "immersion trips," where software developers, as well as employees in other roles such as sales, are required to spend time in clinical settings like operating rooms to directly observe workflows, identify inefficiencies, and understand user needs.** New programmers at Epic are required to travel around the world to visit customer sites, giving them a chance to walk in the shoes of their users. Epic believes that developers should not rely on intermediaries to explain what needs to be built. Instead, they should witness the work themselves. These immersion experiences are more than technical training. They are about not only developing deep understanding of the use case of their software, but also allowing developers to see how their software directly impacts patients, families, and healthcare providers, helping them connect the company's mission to real lives in meaningful ways.[272] **This hands-on experience helps developers create more practical and impactful solutions, ensuring a continuous feedback loop that drives practical, user-focused improvements.** According to a former senior program manager at Epic, many of the company's system improvements stem from these developers on-site, where observing customers' workflows helps identify ways to enhance core functionality.[273] In addition, ongoing maintenance and support efforts place Epic's developers on the frontlines with users, prompting questions such as: "My customer needs X to work like Y. Can we improve this feature in this way? Can we update the code in that way?" These interactions highlight Epic's ongoing commitment to refining its products in response to customer needs and to constantly evolving its systems based on the feedback from hospital providers and patients.[274]

Figure 12: Epic Software Developer with Nurses[275]

[269] Best In KLAS – Software & Services 2025

[270] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[271] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[272] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[273] Interview with Former Senior Program Manager at Epic Systems. 12/19/2023

[274] Neurologist at Massachusetts General Hospital and Brigham and Women's Hospital. 1/9/2025

[275] Immersion Trips are Part of User-Centered Design. https://web.archive.org/web/20210305100524/https://www.epic.com/epic/post/immersion-trips-part-user-centered-design/

A great example of Epic's innovation is in the area of electronic health record interoperability, something Judy Faulkner believed that Epic invented. In a 2022 interview, Judy Faulkner began by sharing a personal story that underscores the critical need for interoperability in healthcare.[276] Her husband, a pediatrician, lost a patient who went to the wrong emergency department[277] while in another city, where doctors lacked access to the patient's medical records.[278] This tragedy underscored the need for better interoperability in healthcare systems. In response, Epic began developing its own solution for health information exchange. When industry organizations like the Healthcare Information and Management Systems Society (HIMSS) indicated that standardization was not forthcoming, Faulkner took action. "We can't exchange [data] with others yet until it's standardized," she said, "but at least we can do it for Epic."[279] With that, Epic chose to move forward independently. **Around 2004 and 2005, Epic built Care Everywhere, a tool to facilitate patients' medical data exchange.** Initially met with resistance from customers due to legal and compliance concerns, adoption eventually gained traction as early users saw value in its functionality. The first information shared by Epic took place in 2008. Interestingly, one of the first customers to accept the new software unknowingly agreed to the interoperability feature. He later admitted he would have declined had he realized it was included. Faulkner described it as "pure luck" that Epic was able to move ahead.[280] Epic then made it mandatory for all clients, retrofitting older versions of its software to support Care Everywhere so that every Epic customer in the U.S. had it and could share with each other. Epic later also helped the U.S. federal government establish Trusted Exchange Framework and Common Agreement, allowing individuals to share their own health data to apps of their choice.[281]

As mentioned above, Epic stated that it was the first electronic health record company to enable hospitals to electronically share patient records across different systems, successfully doing so in 2008 between two hospitals in Long Beach, California[282] – years before interoperability became a regulatory requirement under the 21st Century Cures Act, passed in 2016.[283] This regulatory requirement was intended to make sharing electronic health information a norm within the healthcare system and authorized the Secretary of Health and Human Services (HHS) to identify "reasonable and necessary activities that do not constitute information blocking."[284] Although enforcement of information-blocking penalties under the Cures Act only began in 2023 when the HHS posted its final rule implementing information blocking penalties,[285] Epic had already positioned itself as a pioneer in interoperability. **Holding more patient records than any competitor, Epic facilitates record-sharing with non-Epic hospitals and federal agencies; this capability serves as both a selling point and a perceived public service, strengthening its competitive moat and market dominance.[286]**

Epic has faced longstanding criticism for being a "closed system" and for limited interoperability with other electronic health record platforms. Judy Faulkner countered this criticism by pointing out that about 50% of Epic's current data exchanges, at the time of the 2022 interview, were with non-Epic systems, totaling about 9 million patient

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276 Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

277 Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

278 Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

279 Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

280 Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

281 Epic Systems Will Support the Government's TEFCA Program for Health Records. https://web.archive.org/web/20241004160743/https://www.cnbc.com/2024/08/01/epic-systems-will-support-the-governments-tefca-program-for-health-records.html

282 Health Records Firm Epic Raises Profile. https://web.archive.org/web/20220815052700/https://www.politico.com/story/2014/10/epic-systems-digital-health-care-system-112288

283 Information Blocking. https://web.archive.org/web/20250313205304/https://www.healthit.gov/topic/information-blocking

284 "Information blocking is a practice by an "actor" that is likely to interfere with the access, exchange, or use of electronic health information (EHI), except as required by law or specified in an information blocking exception." Information Blocking. https://web.archive.org/web/20250313205304/https://www.healthit.gov/topic/information-blocking

285 Information Blocking. U.S. Department of Health and Human Services. https://web.archive.org/web/20250206220204/https://oig.hhs.gov/reports/featured/information-blocking/

286 1,000 Epic Hospital Customers, 22,000 Clinics Now Live on TEFCA. https://www.fiercehealthcare.com/health-tech/epic-says-1000-hospital-customers-have-transitioned-tefca-industry-mulls-future-medical; Health Records Giant Epic Hit with Antitrust Suit. https://www.axios.com/2024/09/24/antitrust-lawsuit-filed-ehr-giant-epic

record exchanges daily.[287] She asserted that interoperability across Epic systems is seamless, unlike with some competitors whose systems struggle to connect even internally. Faulkner recalled that a customer once told her that Epic software could communicate with any other Epic users in the world while Cerner could not.

During a conversation on June 3, 2025, Faulkner reaffirmed that 100% of Epic's data is technically interoperable.[288] She explained that while roughly 50% of Epic's data exchanges are currently with non-Epic systems, the remainder is limited not by Epic, but by other vendors' lack of interoperability. In her view, Epic is ready and able to share data, it is other platforms that are not capable of receiving it. She also pointed out that some vendors charge extra for interoperability features, further hindering the seamless exchange of patients' information. **As of now, she estimates that 70% to 75% of the broader EHR industry is still not fully interoperable, which prevents 25% to 30% of Epic's data from being shared effectively.** Epic also emphasized that it does not own or control the data but users, namely healthcare providers, retain full ownership and responsibility for how their data is used. Moreover, Epic does not monetize their data in any way.[289]

In addition to Care Everywhere, Epic also created Share Everywhere, allowing access to patients' records globally, even at locations with no electronic health record system, via access codes, as long as there is the internet.[290] However, some industry insiders stated that while it is technically possible to achieve cross-platform interoperability, doing so often requires expensive middleware, large IT teams, and highly customized solutions. These barriers disproportionately affect smaller providers and startups, making Epic less accessible as a platform for third-party innovation.

Judy Faulkner also argued that Epic does, in fact, share data, but prioritizes patient privacy above all else.[291] By design, hospitals using Epic can reportedly share patient records with each other quite easily, but data exchange with other vendors' systems is handled case-by-case basis. That design, favoring internal connectivity (intra-operability), potentially helped Epic build a powerful network effect, especially during the company's early stage as previously mentioned. As more academic institutions adopted Epic, clinical teams became more familiar with its interface and workflows, making it easier to onboard new staff and share data across organizations. Kristin Myers, the chief digital and information officer of Mount Sinai Health System, explained, "The ability to exchange clinical information between organizations, the [number] of clinical teams that have used Epic at other institutions, and the sophistication of the product will lead to other transitions."[292]

Prior to 2015, Epic charged $0.20 per message for data sharing, and patients using a non-Epic system paid $2.35 annually for unlimited incoming messages.[293] Under pressure from customers and the government, the fee was eliminated in 2015. Shortly before Epic dropped the charges, the Office of the National Coordinator for Health Information Technology submitted a report to Congress, accusing "some healthcare providers and health IT developers" of "knowingly interfering with the exchange or use of electronic health information in ways that limit its availability." Meanwhile, in 2013, Epic's competitors, including Cerner, McKesson, and Allscripts, launched the CommonWell Health Alliance to promote cross-vendor data sharing.[294] In 2014, Cerner announced it would cover participation costs for its customers. As of 2025, Epic is not a member of the CommonWell Health Alliance.

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287 Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

288 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

289 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

290 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

291 The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

292 How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

293 Epic to Remove Data Sharing Fee. https://web.archive.org/web/20220517234113/https://www.healthcaredive.com/news/himss15-epic-to-remove-data-sharing-fee/387480/; We've Spent Billions to Fix Our Medical Records, and They're Still a Mess. Here's Why. https://web.archive.org/web/20250226035013/https://www.motherjones.com/politics/2015/10/epic-systems-judith-faulkner-hitech-ehr-interoperability/

294 Cerner, McKesson, Allscripts, athenahealth, Greenway and RelayHealth Announce Ground Breaking Alliance to Enable Integrated Health Care. https://web.archive.org/web/20240618022243/https://www.commonwellalliance.org/news-center/commonwell-

Epic stated that CommonWell was initially formed as a marketing move by Cerner, which was preparing a bid for a major government contract at the time.[295] According to Epic, the alliance was designed to group together Cerner and other competitors while intentionally excluding Epic. While the CEO of McKesson claimed in a 2013 Forbes article that the entire industry had been invited to join CommonWell, Epic countered that it had not been asked to participate and only learned of the alliance after it had already formed.[296] In response, Epic later helped establish an alternative framework called Carequality, which aims to standardize health information exchange across vendors and healthcare providers. Through Carequality, Epic has enabled data sharing with peers such as Athenahealth and others.

Furthermore, not all feedback from the medical community has been positive. **Some doctors have expressed frustration to the media, saying that Epic demands too much of their time.[297]** Given the substantial investments hospitals make in Epic, physicians are often expected to adapt to the system, whether or not it fits their workflow. Many clinicians report having suggestions for how to make Epic more physician-friendly, but some claim their ideas are ignored. **Epic has pushed back on these criticisms, stating that it systematically solicits physician feedback and offers flexibility for hospitals to customize how the software is used.[298]** According to the company, users (hospitals) have the ultimate control of how to customize and utilize the system.

The company's response echoed our conversation with a practicing physician, who expressed a generally positive view of Epic. He emphasized that the system is highly dynamic and customizable, with its usability largely dependent on how hospitals implement and configure it based on users' feedback.[299] For example, at the University of Michigan, "power users" played a crucial role in facilitating this customization by gathering input from physicians and helping incorporate their feedback into future iterations of the software. This model allowed for a more iterative, collaborative approach to improving the system over time.

However, the physician also highlights a critical limitation that echoes broader concerns about Epic's accessibility and flexibility for smaller institutions. At his current hospital, which uses an Epic system configured for its parent organization, local feedback is rarely prioritized. This results in a less tailored experience, as community hospitals often have different clinical workflows and patient care needs than larger care centers. Because the parent organization drives most of the changes, the local staff at subsidiary hospitals, for example, experience Epic as more rigid and less responsive to their unique challenges. This reinforces the concern that Epic's powerful customization tools are only as effective as the institution's willingness and capacity to implement them, something smaller hospitals might struggle with due to resource constraints or organizational hierarchy. This reinforces the point that, according to the company, while Epic offers customization, it is ultimately up to the users (hospitals) to decide how these tools are utilized.[300]

Epic trains its users in a hierarchical, top-down structure. The company starts by training key users such as chief physicians and nurses, who become "superusers" or "smart users" within their organizations.[301] These individuals then guide broader adoption and use within their organizations. Epic also monitors backend usage data to spot trouble areas, enabling it to offer targeted support and identify users who might benefit from additional training. In some cases, struggling users are connected with more fluent peer users to foster knowledge sharing and improve proficiency in using the software. Epic has said it invests heavily in improving usability and remains focused on making its software enjoyable to use. **As one spokesperson put it, the company's goal is "to make the software a joy to use."[302]**

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news/cerner-mckesson-allscripts-athenahealth-greenway-relayhealth-announce-ground-breaking-alliance-enable-integrated-health-care/

[295] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[296] Epic Systems Says Alliance Between Electronic Health Records Vendors Caught It By Surprise. Forbes. https://www.forbes.com/sites/zinamoukheiber/2013/03/05/epic-systems-says-alliance-between-electronic-health-records-vendors-caught-it-by-surprise/

[297] Partners HealthCare's New Computer System Challenges Some Doctors, Nurses. https://web.archive.org/web/20160725071402/https://www.bostonglobe.com/business/2016/05/16/partners-healthcare-new-computer-challenges-some-doctors-nurses/1I4QsWGjCJ97xFmUbcDbaJ/story.html; Boston Hospital Staff are Frustrated with Epic Systems Software. https://captimes.com/business/technology/report-boston-hospital-staff-are-frustrated-with-epic-systems-software/article_5e04a4d0-a707-5930-b23c-e6603dbac282.html; An Open Letter to Epic Systems. https://vascularspecialistonline.com/an-open-letter-to-epic-systems/.

[298] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[299] Worldly Partners' Discussion with a Doctor. 3/30/2025.

[300] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[301] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[302] Partners HealthCare's New Computer System Challenges Some Doctors, Nurses. https://web.archive.org/web/20160725071402/https://www.bostonglobe.com/business/2016/05/16/partners-healthcare-new-

Despite its limitations, the doctor praises Epic for incorporating tools aimed at improving physician efficiency and reducing documentation burden. Features such as Dragon Dictation that integrate artificial intelligence for auto-generating past medical and surgical histories have significantly reduced time spent on typing. While some of this automation may introduce superfluous information, particularly for billing purposes, physicians still retain manual control to revise the content. He also points to the usefulness of "dot phrases," which allow for quick insertion of standard text among patients with similar conditions, and the mobile application, which streamlines rounding by making patient data easily accessible at the bedside instead of printing out daily labs and to-do lists. These enhancements, in his view, help physicians spend less time interacting with electronic health records and more time focused on patient care, provided they are adept at navigating the system's complexity.

Importantly, these frustrations are not unique to Epic. **A systematic review examined 23 research studies to understand how the use of electronic health records impacts the time efficiency of physicians and nurses during clinical documentation.[303] The study found that electronic health records had a generally positive impact on the time efficiency of nurses, especially when documentation was evaluated over the course of an entire work shift. <u>In particular, bedside terminals reduced documentation time by an average of 24.5%, while central station desktops offered a similar reduction of 23.5%.</u>** However, when documentation time was measured per patient, the results were more mixed, and in some instances, time actually increased. **One notable example was the use of handheld devices such as personal digital assistants (PDAs), which significantly increased documentation time for nurses, by as much as 128.4%.** For physicians, the use of electronic health records was largely associated with increased documentation time. Bedside or point-of-care systems led to an average increase of 17.5%, while central station desktops added about 8.2% more time. The most dramatic inefficiencies were seen with Computerized Provider Order Entry (CPOE) systems, which increased physicians' documentation time by an average of 238.4%. Only a few studies showed time savings for physicians, but they tend to have a small sample size.

As aforementioned, as of 2022, Epic's software has approximately 35.9% market share of U.S. hospitals and 47.6% share of the total number of beds.[304] Epic controlled nearly 60% of the academic medical center market in 2022, with over 90% of medical students and residents now train on Epic systems.[305] The system's interoperability and its wide adoption within medical systems reinforce each other positively, further driving its appeal. As the Chief Digital and Information Officer of Mount Sinai Health System, which adopted Epic in 2006, noted:

> "I would expect more academic medical centers to move to Epic…The ability to exchange clinical information between organizations, the [number] of clinical teams that have used Epic at other institutions, and the sophistication of the product will lead to other transitions."[306]

The Chief Information Officer at Tampa General Hospital stated in 2023 that large health systems have been moving to Epic because "the scale and interoperability available with Epic make it attractive to big systems that may struggle with those elements. Exchanging information between Epic sites is remarkably easy."[307]

Our conversation with a physician reinforced this point. Epic has significantly improved access to patient records across different health systems.[308] As more hospitals and clinics adopt the platform, doctors can easily view notes, imaging, and other critical information from outside institutions, something that previously relied heavily on faxed documents.

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computer-challenges-some-doctors-nurses/1I4QsWGjCJ97xFmUbcDbaJ/story.html; Boston Hospital Staff are Frustrated with Epic Systems Software. https://captimes.com/business/technology/report-boston-hospital-staff-are-frustrated-with-epic-systems-software/article_5e04a4d0-a707-5930-b23c-e6603dbac282.html.

[303] Poissant L, Pereira J, Tamblyn R, Kawasumi Y. The impact of electronic health records on time efficiency of physicians and nurses: a systematic review. J Am Med Inform Assoc. 2005;12(5):505-516. doi:10.1197/jamia.M1700

[304] EHR Vendor Market Share in the US. https://www.beckershospitalreview.com/ehrs/ehr-vendor-market-share-in-the-us/

[305] How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[306] How Epic Won Over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[307] Why Big Health Systems Keep Switching to Epic. https://www.beckershospitalreview.com/ehrs/why-big-health-systems-keep-switching-to-epic/

[308] Worldly Partners' Discussion with a Doctor. 3/30/2025.

This network effect has created what many see as an almost insurmountable competitive moat. **The phrase "Nobody ever got fired for buying Epic" has become conventional wisdom in U.S. healthcare.[309]** Hospital executives, tasked with making high-stakes decisions while managing complex vendor ecosystems, find Epic's all-in-one solution incredibly appealing.

In a sector filled with VC-backed startups, Epic's sheer scale and established reputation often discourage hospital executives from taking risks on newer entrants. **Unlike Silicon Valley startups that embrace a "move fast and break things" mentality, the healthcare industry operates under a far more conservative ethos.** As one former Cerner executive put it, "You can't tell a doctor it's okay to fail… It's not okay to fail. That's death."[310] This risk aversion makes vendor selection a complex decision, driven by regulatory compliance and operational reliability. Even when Epic's products are delayed or still under development, hospital leaders often choose to wait rather than gamble on an unproven alternative. This cautious approach reflects the culture of healthcare itself, grounded in the guiding principle: "First, do no harm."[311]

A director at TigerConnect, a cloud-based healthcare IT communication company, echoed this sentiment and noted, "Word of mouth is the best. Healthcare in the U.S. is ancestral… but people are like afraid to do anything that is new. So what they always do is they look around. What are those guys over there doing? What are those guys over there doing? Oh, they're using Epic. Then if we get Epic and it doesn't work, at least I can say, well, hold on, everyone else is using Epic, it can't be Epic's fault. It's our fault."[312] **Ultimately, it is Epic's reliability, not necessarily its speed of innovation, that has solidified its position as the default choice for many healthcare providers. With a 45-year track record and endorsements from major healthcare systems and academic medical centers, Epic continues to dominate through trust and incumbency.**

Success Stories of Epic Users[313]

1. VHC Health increased block utilization by 13 percentage points using Epic analytics to reduce unused block time.
2. Baptist Memorial, on average, reduced overtime by 367 hours and increased volume by 182 cases per month.
3. Centura lowered supply costs by an average of 13% per procedure with preference card standardization.
4. Rush University saves ~3.5 minutes per account, 27,000+ hours per year, with simple visit coding.
5. Vanderbilt University increased patient estimate creation 25x after enabling Epic automation.
6. Ochsner and Humana completed 53% of prior authorizations instantly using Payer Platform.
7. NYU Langone patients schedule over 2 million appointments online per year, saving an estimated $5-$9 per appointment, by using Epic's MyChart and Welcome to let patients self-check-in, saving over $15M per year in staff time.
8. Texas Children's patients self-schedule 25% of the time and self check-in 30% of the time, saving over 50 full-time-employees of work.
9. New York Consortium saw ~15% of real-time balance notification in MyChart were paid in full within 3 days.
10. Houston Methodist collected 64% of self-pay balance prior to service using MyChart.

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309 Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

310 The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

311 Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

312 Interview with Director of Enterprise Sales at TigerConnect. 7/14/2023

313 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

11. Mercy reduced Post-Anesthesia Care Unit boarding time by 30%, reduced ED to IP turnaround by 30 minutes, and reduced Environmental Services (EVS) turnaround time by 65% with a centralized capacity management center.

12. Essentia saved $2.7 million and 3,000+ bed days by loading balancing from a trauma center to outlying hospitals.

13. Parkview gain 42 minutes of lead time on bed requests with the "ED Likely to Admit" predictive model.

14. Lehigh Valley eliminated ED diversion with capacity planning and i9mproved discharges by 84 minutes with virtual nurses.

15. The Ohio State Wexner saved an estimated $7.7M with an antimicrobial stewardship program.

16. UCSF saved $2.5M per year with automated dose rounding, using nearly 3,000 fewer vials.

17. Stanford Children's saved $2M with IV to PO (Intravenous to Oral) transitions and dose rounding of specific medications.

18. Bayhealth reduced In Basket messages by 25%, eliminating 12 hours of work per provider per year.

19. Wellstar improved flowsheet documentation times by 85% with Rover.

20. UCHealth reduced 64,800 hours of nursing time in Epic per year with documentation cleanup.

21. Cincinnati Children's reduced admission documentation 64%.

22. The Christ Hospital saved nearly 300 hours of nursing time per year by having patients complete their own education in MyChart.

23. LCMC Health increased revenue by over $M by moving ECGs to the Epic imaging workflow.

Epic consistently performs at a high level and enables large healthcare systems to consolidate their IT infrastructure, an important priority for many providers looking to reduce the number of vendors they manage.[314] **As one hospital executive put it, managing over 800 vendors with a staff of 160 is unsustainable. Epic reduces the complexity of managing vendor relationships.** The Chief Information Officer at Weill Cornell Medicine summarized the sentiment: "In the U.S., Epic is especially compelling in large systems… It simply solves more problems and scales better… Epic's strict implementation practices mean you will end up with a functional system, even if it isn't fabulous."[315] **In 2023 alone, more than $813 billion in U.S. healthcare expenditures were processed through Epic Systems, representing over 60% of total hospital net patient revenue.**

Michael Restuccia, the chief information officer of Penn Medicine, also echoed the value of integration over piecemeal interoperability, saying, "Within ambulatory, if you remember back, every specialty had their own EMR… We have 30-plus specialties. So we had at least 30-plus niche EMRs supporting them, because sometimes we had multiple EMRs for the same specialty. Just think through this: That's 30-plus contracts, 30-plus maintenance agreements, 30-plus vendor representatives that you have to keep track of 30-plus interfaces." Now Penn Medicine only has one: Epic.[316]

Epic also has the potential to lower hospitals' operating costs over time. In 2020, Florida-based AdventHealth announced it would transition from Cerner to Epic, including 37 hospitals along with numerous acute care centers, physician practices, and urgent care facilities.[317] AdventHealth first implemented Cerner's system in 2002. The move to Epic

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[314] Epic Continued to Outstrip EHR Competitors in 2023. https://web.archive.org/web/20240619135013/https://www.healthcaredive.com/news/epic-oracle-health-meditech-ehr-market-share-klas-research/716513/

[315] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

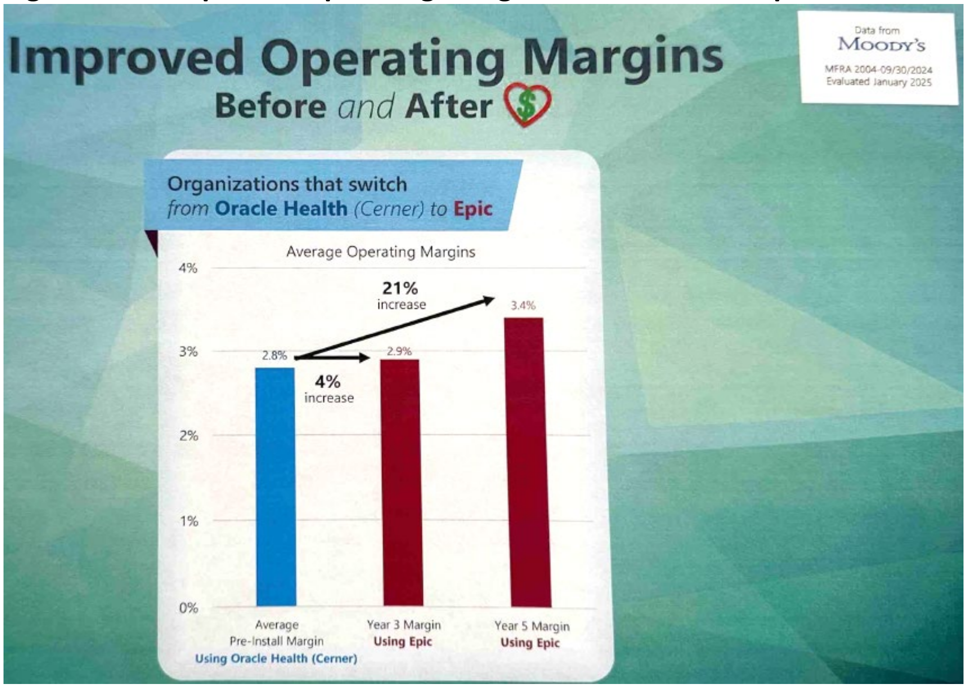
[316] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[317] AdventHealth Switches from Cerner EHR to Epic. https://www.beckershospitalreview.com/ehrs/adventhealth-switches-from-cerner-ehr-to-epic-6-notes/

included both its electronic health record software and revenue cycle management system, unifying operations on a single integrated platform. Although AdventHealth did not publicly comment on the reasons for the switch, industry news pointed to frustration with Cerner's ambulatory and revenue cycle issues. Notably, the cost of consolidating AdventHealth's various Cerner products into a unified system reportedly came close to the price of fully implementing Epic, an option preferred by its physicians.[318]

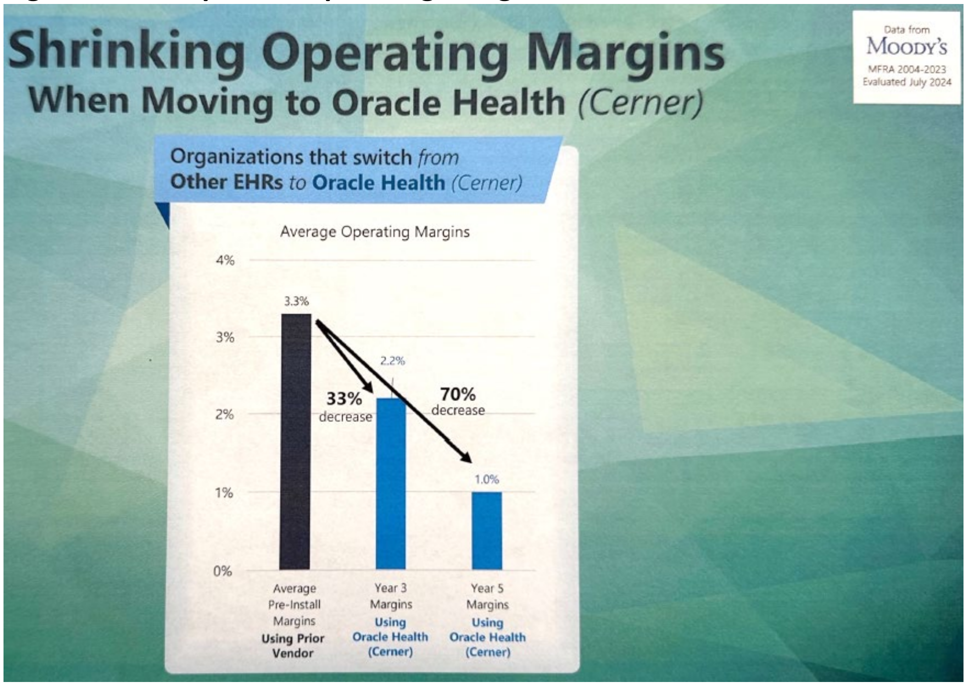
Epic has stated that its clients typically see financial gains after switching. On average, organizations that move from Cerner to Epic see their operating margins rise from 2.8% to 2.9% by year three, and to 3.4% by year five. In contrast, those switching from non-Epic vendors to Cerner see margins decline, from 3.3% to 2.2% in year three and further to 1.0% by year five.[319]

Figure 13-1: Improved Opearting Margin Before vs. After Epic[320]



[318] AdventHealth Will Replace Cerner with Epic. https://web.archive.org/web/20220706101349/https://histalk2.com/2020/02/11/adventhealth-will-replace-cerner-with-epic/
[319] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[320] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Figure 13-2: Improved Opearting Margin Before vs. After Cerner



Customer dissatisfaction with Cerner's RevWorks revenue cycle outsourcing services likely played a role as well. A 2019 KLAS market report found that 70% of surveyed healthcare providers using RevWorks and related services would not choose to purchase again.[321] Common complaints included overselling of services, inexpert personnel, and slow to work on outstanding claims. These issues highlighted a lack of reliability in a system that plays a critical role in managing healthcare finances. Ultimately, these operational challenges and widespread dissatisfaction led AdventHealth to drop both Cerner's electronic health record and revenue cycle management services in favor of Epic. That same year, Cerner exited the RevWorks business, selling it to R1 RCM. **A former salesperson at Cerner concurred that "Epic has the best story and the most predictable revenue cycle solution on the market. That is something that these hospitals would consider if they [were] deciding to move."[322]**

The transition to Epic was initially projected to take three years, and the transition was eventually completed in early 2024.[323] Despite the $650 million contract being expensive upfront, AdventHealth's CEO expressed confidence that Epic would reduce long-term operating expenses, without providing further details. "Epic's system has tentacles that reach through amazing networks…You can actually help a person get the care they need, wherever they need to get it."[324]

In 2016, the Mayo Clinic began transitioning from Cerner and General Electric systems to Epic, projecting the project would cost $1.5 billion over five years.[325] While the clinic didn't specify exact reasons for the switch, it stated simply that "the consensus is that Epic best meets Mayo's needs now and into the future."[326] According to the hospital, just six months after implementation, Epic was already streamlining workflows, reducing redundancy, and helping providers focus more on patient care.

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[321] Cerner Sells Revenue Cycle Management Outsourcing Arm. https://web.archive.org/web/20241114191108/https://www.techtarget.com/revcyclemanagement/news/366601834/Cerner-Sells-Revenue-Cycle-Management-Outsourcing-Arm

[322] Interview with Former Sales Leader & Business Development and Strategic Partnership Expert at Cerner. 1/20/2023

[323] AdventHealth Completes $660M Epic Rollout. https://www.beckershospitalreview.com/ehrs/adventhealth-completes-660m-epic-rollout/

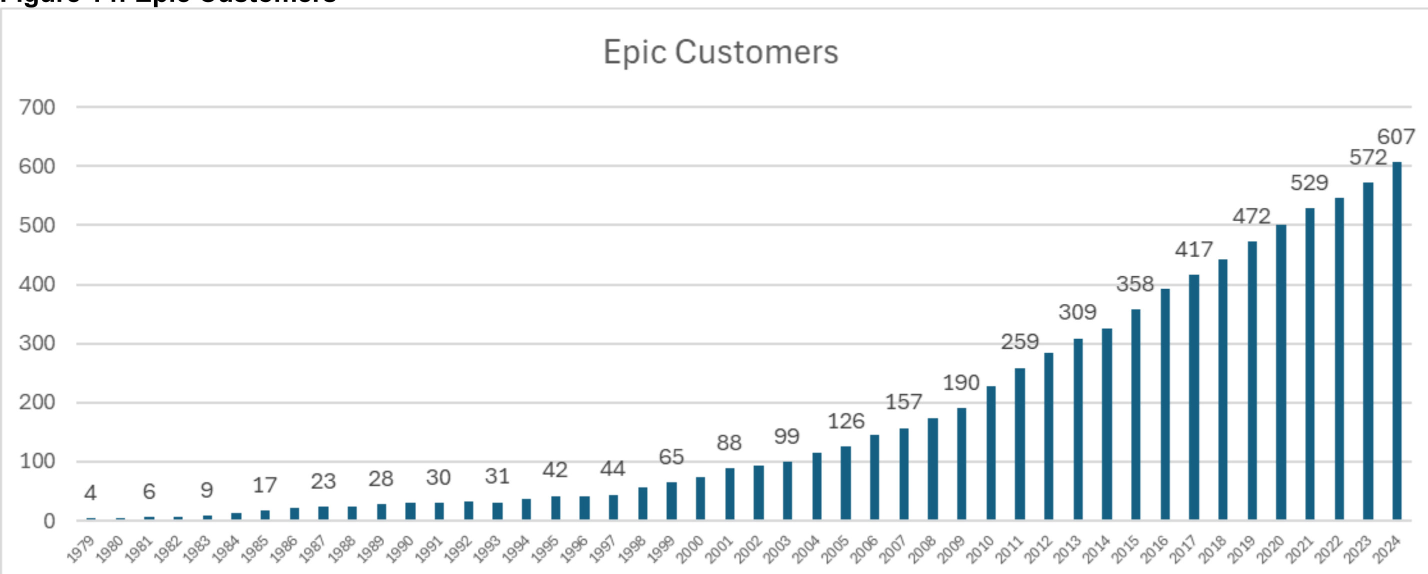
[324] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[325] Mayo's Epic Implementation Will Cost Upwards of $1B over 5 Years. https://www.beckershospitalreview.com/healthcare-information-technology/mayo-s-epic-implementation-will-cost-upwards-of-1b-over-5-years/

[326] Epic Streamlines Patient Care at Mayo Clinic. https://web.archive.org/web/20250125015234/https://www.hcplive.com/view/epic-streamlines-patient-care-at-mayo-clinic

Switching to Epic's electronic health record systems comes with high costs, both explicit and implicit, especially for large health systems. For example, as mentioned above, in 2020, Florida-based AdventHealth announced it would implement Epic's electronic health record system across 37 hospitals.[327] The full deployment was projected to take over three years and cost approximately $650 million, not including ongoing maintenance, which adds millions more annually. **Hence, once a health system adopts Epic, switching becomes exceedingly difficult.** The platform supports the entire patient journey, from appointment scheduling to clinical documentation, billing, and follow-up, resulting in a deeply embedded infrastructure. Although commonly referred to as an electronic health record system, Epic's offerings extend far beyond that, encompassing revenue cycle management, customer engagement tools, and advanced data analytics. **In 2020, Epic founder Judy Faulkner noted that the average customer had been using the software for ten years,[328] reflecting a 90% customer retention rate. Remarkably, Epic has never lost a client, except in rare cases where physicians from small clinics moved to different systems following acquisitions.[329]** The company has also never sued or been sued by a customer, underscoring the strength of its long-term relationships.[330] This high retention rate aligns with a 2023 third-party survey, which found that Epic was the only vendor to see a positive net gain in both hospital market share and number of beds.[331]

Figure 14: Epic Customers[332]



Comparing prices across electronic health record vendors is difficult due to the wide range of variables involved, such as the number of hospitals, beds, users, the system's complexity, and the extent of customization. Neither Epic nor its clients publicly disclose contract terms or bidding details. Epic has said that, in general, its pricing is similar to that of Cerner, both of which are high in price.[333] **Although broad public data for direct price comparisons is limited, one example from 2018 shows that, when both companies competed for the same customer, Cerner submitted a bid of $60.5 million,**

[327] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[328] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[329] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[330] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[331] How Epic, Cerner, Meditech Compare in Overall Performance. Becker's Hospital Review. https://www.beckershospitalreview.com/ehrs/how-epic-cerner-meditech-compare-in-overall-performance/

[332] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[333] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

while Epic's bid was at $62 million.[334] A former Epic project manager noted that implementation costs can range from the low millions for smaller organizations to close to a hundred million for large health systems with 10 to 20 hospitals.[335] Another former director of implementation at Epic stated that "a large academic health system would probably spend $250 million to $350 million on their [total cost of ownership] for all functions of delivering."

Occasionally, such information is reported by the media based on sources within hospitals, though often without much detail. For example, in 2024, both Lake Charles Memorial Health System in Louisiana and Sarasota Memorial Health Care System in Florida implemented Epic. The Lake Charles Memorial Health System, with nearly 400 beds,[336] including the 314-bed Lake Charles Memorial Hospital, reportedly invested $40 million in its Epic deployment.[337] Sarasota Memorial, with more than 900 beds,[338] 897 of which are at the Sarasota Memorial Hospital, more than twice the size of Lake Charles Memorial, was said to spend $160 million to replace numerous standalone and auxiliary systems.[339]

A pricing dispute occurred in 2018 when Cerner protested after losing a contract with the University of Illinois Hospital & Health System. Cerner's bid was $60.5 million, slightly lower than Epic's $62 million.[340] Epic countered that the total implementation cost for Cerner's system was projected at $154 million, compared to $151 million for Epic. Despite close bids in that case, **however, according to a former Cerner salesperson, Epic is widely regarded as the most expensive option, followed by Cerner, Meditech, and others.[341] In the hospital market, Epic was estimated to cost about 50% more than Meditech.[342]** <u>Jeff Gautney, the chief information officer of Rush University System for Health, pointed out, "you get what you pay for 100% of the time," despite Epic being "not cheap."</u> The reliability of Epic's implementation, combined with its ability to scale with large, complex systems, positioned it as a safer bet in a high-stakes environment.[343]

When addressing why its bids sometimes appear higher than Cerner's, Epic emphasizes transparency. While its products may seem more expensive upfront in some cases, Epic aims to ensure that health systems understand the full scope of their investment at the beginning.[344] <u>The company is firm on pricing and does not negotiate simply to win a deal. If a prospective customer says they can't afford Epic's price and asks for a discount, Epic's response is straightforward: "Don't buy something you can't afford." Epic presents to customers a transparent, comprehensive estimate, outlining exactly what customers can expect to spend.</u> In contrast, according to Epic, competitors such as Cerner may initially present a lower price by omitting certain elements, only to add them back in later as additional charges. Epic also pointed out that it has not raised its prices since 2000, except in cases when new products are added or there are meaningful increases in maintenance costs.

In a 2020 interview, Judy Faulkner shared that Epic Systems started to expand its focus beyond large hospital systems to include mid-sized and smaller hospitals.[345] To better support these smaller organizations, Epic introduced a shared system model called Garden Plot. This model allows multiple hospitals or ambulatory care groups to lower costs by sharing infrastructure and resources.

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[334] Epic Defends UI Health Contract amid Cerner Dispute. https://web.archive.org/web/20240303063942/https://www.healthcaredive.com/news/epic-defends-ui-health-contract-amid-cerner-dispute/524248/

[335] Interview with Former Project Manager at Epic. 12/14/2023

[336] About Us. Lake Charles Memorial Health System. https://web.archive.org/web/20250403231331/https://www.lcmh.com/about-us/

[337] Why a Louisiana Health System Made a $40M EHR Investment. https://www.beckershospitalreview.com/ehrs/why-a-louisiana-health-system-made-a-40m-ehr-investment/

[338] About Sarasota Memorial Health Care System. https://web.archive.org/web/20241007235149/https://www.smh.com/about

[339] Florida Health System to Invest $160M in Epic. https://www.beckershospitalreview.com/ehrs/florida-health-system-to-invest-160m-in-epic/

[340] Epic Defends UI Health Contract amid Cerner Dispute. https://web.archive.org/web/20240303063942/https://www.healthcaredive.com/news/epic-defends-ui-health-contract-amid-cerner-dispute/524248/

[341] Interview with Former Sales Leader & Business Development and Strategic Partnership Expert at Cerner. 1/20/2023

[342] Interview with Chief Strategy Officer and Co-Founder at Clearwave Corp. 2/28/2024

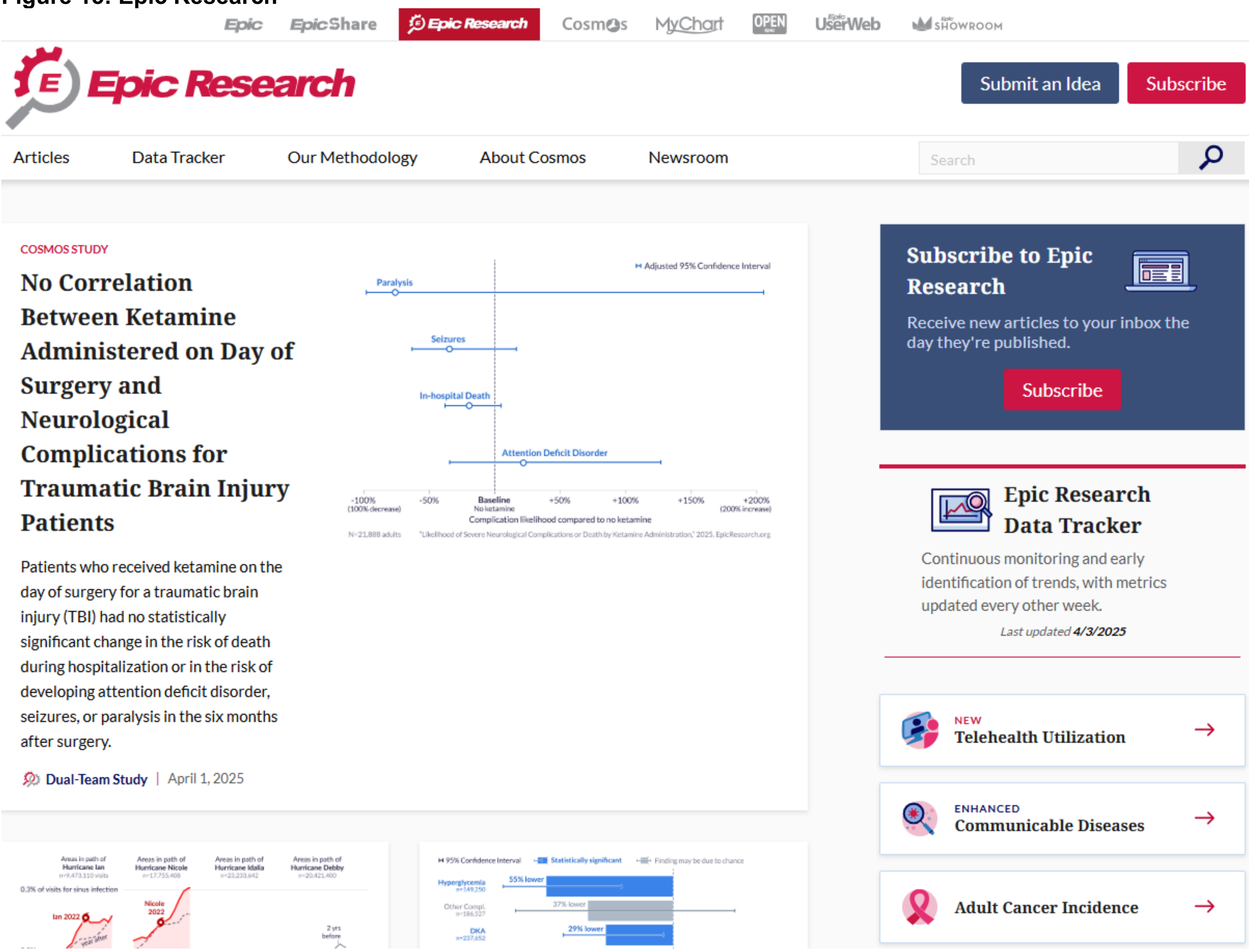
[343] How Epic Won over Academic Medical Centers. https://www.beckershospitalreview.com/ehrs/how-epic-won-over-academic-medical-centers/

[344] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[345] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

Another good example of how Epic attracts and retains customers is its growing data ecosystem, particularly through the Cosmos data science platform, initiated in 2019 and launched in 2022, and its public-facing site, Epicresearch.org.[346] They leverage Epic's large-scale healthcare data for actionable clinical insights and improved patient outcomes. Epicresearch.org serves as a public-facing platform that showcases the power of data aggregation across Epic's network. Epicresearch.org highlights the value of data aggregation across Epic's vast network. **As of 2022, it contained data from 2.2 billion provider visits and approximately 140 million patients (15.3 billion encounters, 7.4 billion face-to-face visits, and 296 million patients in 2025[347]). This de-identified data, shared by Epic's customers, forms the basis for high-impact clinical research that is being published in hundreds of medical journals across the country.** Epic's competitors lack comparable offerings, giving customers few alternatives and making Epic the only option for health systems seeking to leverage large-scale clinical data.[348]

Figure 15: Epic Research[349]



One study on the reduction of cancer screenings, for example, originated from Epic's database. In May 2020, data from Epic's database revealed a sharp decline in routine cancer screenings as the COVID-19 pandemic disrupted healthcare services. Breast and cervical cancer screenings dropped by 94%, while colon cancer screenings declined by 86%.[350] A follow-up study in July 2020 showed that while weekly screening rates for these cancers were beginning to rebound, they

[346] Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

[347] About Epic Cosmos. https://cosmos.epic.com/about/; Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

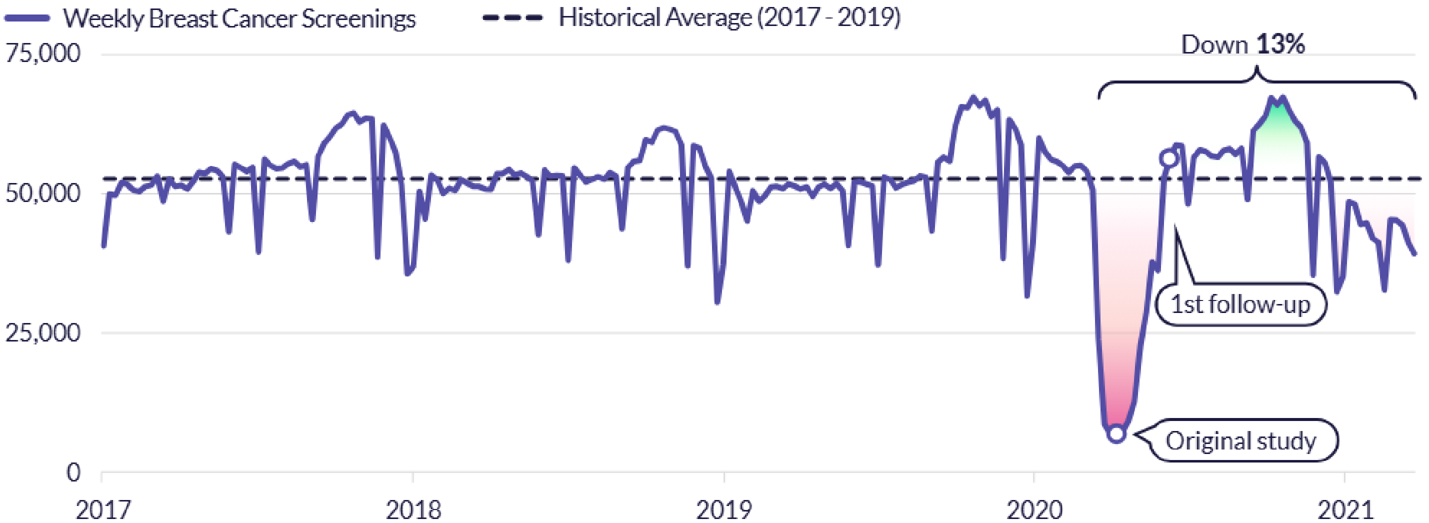
[348] Interview with Former Quality Manager at Epic Systems. 12/20/2023.

[349] Epic Research. https://www.epicresearch.org/

[350] Cancer Screenings Are Still Lagging. https://www.epicresearch.org/articles/cancer-screenings-are-still-lagging

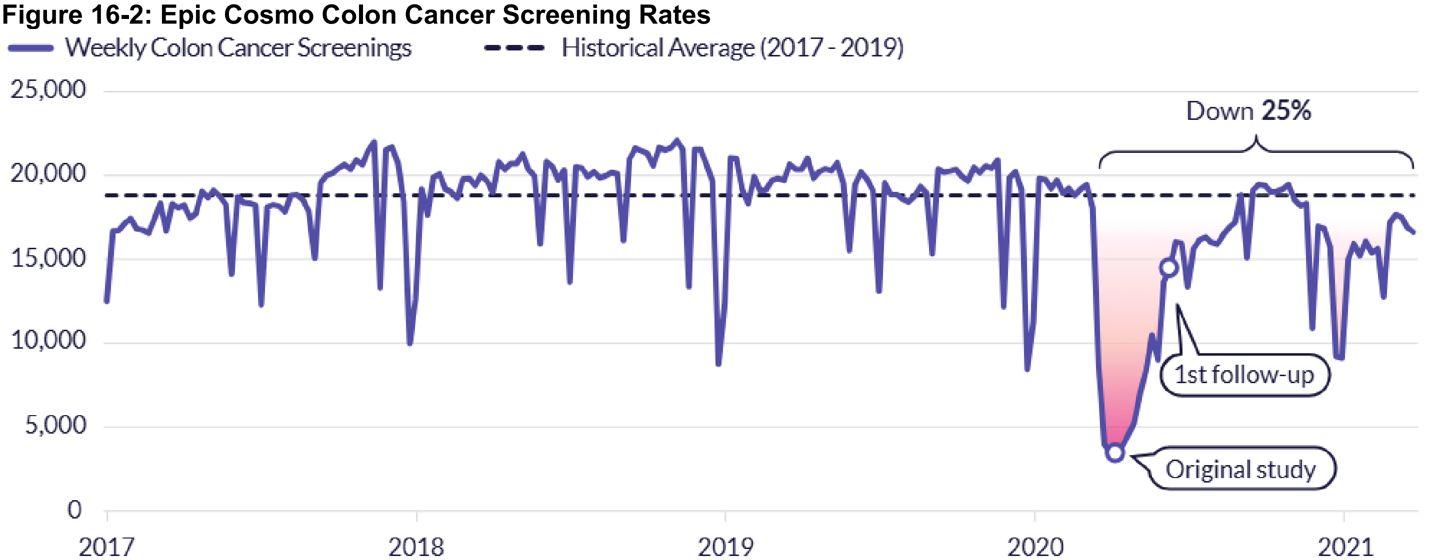
were still 29% to 36% below pre-pandemic levels. This significant number of missed screenings was concerning as delayed detection may lead to an increase in late-stage cancer diagnoses and potentially worse outcomes. Since then, many healthcare organizations have made efforts to encourage patients to reschedule missed screenings and prioritize preventive care.

Figure 16-1: Epic Cosmo Breast Cancer Screening Rates



"Breast Cancer Screening Rates" 2021. Epic Health Research Network (EHRN.org)

Figure 16-2: Epic Cosmo Colon Cancer Screening Rates



"Colon Cancer Screening Rates" 2021. Epic Health Research Network (EHRN.org)

Epic's data was also instrumental in informing early treatment decisions during the pandemic in 2020. An analysis of 48 health systems, representing 333 hospitals across 22 states and 42 million active patients through Epic's Cosmos database, revealed that the likelihood of death for COVID-19 patients on ventilators increased with age.[351] This insight prompted clinicians to be more cautious with ventilator use only when necessary, potentially saving tens of thousands of lives during the early stages of the pandemic.[352] In another example, Epic researchers found that fentanyl were included in just 5% of toxicology screenings for overdose cases in emergency departments.[353] Yet when fentanyl was tested, more than 40% of results came back positive, making it the number one leading cause of overdose deaths in Americans ages

[351] Mortality of COVID-19 Admitted Patients on Mechanical Ventilators. https://www.epicresearch.org/articles/mortality-of-covid-19-admitted-patients-on-mechanical-ventilators

[352] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[353] Only 5% of Overdose Patients Tested for Fentanyl, #1 Killer of Americans 18-45. https://www.epicresearch.org/articles/only-5-of-overdose-patients-tested-for-fentanyl-1-killer-of-americans-18-45.

18 to 45.[354] In response to these findings, several healthcare organizations began incorporating fentanyl testing into their standard toxicology panels. In addition, states such as California, Maryland, and Pennsylvania have passed legislation requiring fentanyl testing in overdose cases.[355]

At the core of this capability is **Cosmos, the massive database that powers much of Epic's data-driven efforts.** Cosmos compiles anonymized patient data from across Epic's ecosystem into a continuously expanding clinical resource. Its strength lies in the ability to analyze millions of patient records to identify patterns, evaluate treatment outcomes, and support evidence-based care. Instead of relying solely on anecdotal experience, clinicians can now access real-world data at the point of care, helping them make more informed, personalized treatment decisions.[356] **The Diagnosis Advisor tool within Cosmos assists physicians when a patient presents with a new or hard-to-diagnose condition. By analyzing symptom patterns across the entire database, it can suggest possible diagnoses, significantly reducing the time it might take to identify complex conditions such as Lyme disease, lupus, or other autoimmune disorders.[357] Endometriosis, for example, often takes an average of six years to diagnose; Cosmos has the potential to drastically shorten that timeline. Look-Alikes, another feature powered by Cosmos, helps physicians identify the best treatments by finding similar patient cases and examining how those cases were managed, not only informing clinical decisions but also giving providers a clearer picture of potential outcomes.[358]**

Cosmos is a key differentiator for Epic, bringing the power of data science directly into the hands of providers. It is important to note that access to Cosmos is limited to customers who contribute their data, ensuring a collaborative,[359] closed-loop model of shared insights.

Epic Systems does not market itself like traditional companies. The company does not have a marketing department. It has built its business without advertising, cold calls, or knocking on the doors, waiting passively for customers and relying instead on word of mouth.[360] Judy Faulkner took advice from doctors she worked with at the University of Wisconsin before founding Epic. They told her not to advertise because they did not believe in it. As a result, Epic has remained largely reactive. Customers only call Epic when they are interested. In a 2020 interview, Faulkner noted that despite having over 11,000 employees, the company employed just seven salespeople worldwide.

Epic also takes a unique approach to managing customer relationships. Instead of using traditional account executives, each client is assigned a contact person known as a "BFF" (Best Friend Forever).[361] Epic uses it intentionally to highlight the close, personal bond between their salespersons and customers, much more than just an account manager.[362] **It is a bi-lateral matching process aimed at finding the right fit for each organization. As one Epic employee noted, "A BFF might be working with the healthcare provider from his or her hometown, or share a specific interest in pediatric healthcare, or simply match the personality of that organization. It's a really personal relationship…The BFF role is unique. They're not salespeople, this is a person who knows the organization and loves them, and is invested in their success. I haven't seen anything like it in the industry."[363] This role is designed to build long-term, meaningful relationships with customers, based on the belief that once a client joins Epic, they will never leave. Likewise, the same BFF remains committed to that customer forever on a 1-on-1 basis, as long as the**

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[354] Opioid Crisis. Office of the Attorney General. https://www.texasattorneygeneral.gov/initiatives/opioid-crisis

[355] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; New Hospital Drug-Testing Law will Save Lives in Pennsylvania - Senator Mastriano. https://senatormastriano.com/2024/01/05/new-hospital-drug-testing-law-will-save-lives-in-pennsylvania/; Fentanyl Toxicology Screenings for Overdoses on the Rise. https://www.epicresearch.org/articles/field-note-fentanyl-toxicology-screenings-for-overdoses-on-the-rise

[356] Epic CEO in Exclusive Sit-Down at ViVE. https://medcitynews.com/2022/03/epic-ceo-at-exclusive-sit-down-at-vive-we-are-now-interoperable-with-the-world/

[357] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[358] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[359] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[360] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[361] Interview with Former Implementation Director at Epic Systems. 12/19/2023

[362] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[363] Why We Do What We Do - The Power of Relationships. https://www.epic.com/epic/post/why-we-do-what-we-do-the-power-of-relationships/

person stays with Epic.[364] In fact, according to Faulkner, Epic has never lost a client, except in rare cases where physicians from small clinics moved to different systems following acquisitions.[365]

What sets Epic apart is how deeply involved BFFs are in their relationship with customers from the very start. Each BFF, as well as software developers, begins their relationship with an "immersion trip", spending time onsite at outpatient or inpatient customers to understand how the clients operate. Unlike typical software vendors where salespeople and installers are separate teams, at Epic, BFFs themselves handle the installation process.[366] This hands-on approach means they take full responsibility for the customer journey from sales through implementation. Epic believes that if a BFF sells the wrong product upfront, it will cause problems down the line. By being directly involved, BFFs gain a deep understanding of what they are selling and how it fits the client's needs, which is far more effective than managing multiple accounts from a distance.

Supporting each BFF is a dedicated team of technical specialists tailored to the size of their customers, with some larger clients having over 100 tech support staff backing their BFF.[367] Unlike other vendors who route customer calls through a 1-800 number, Epic customers can call Epic 24/7 and request specific individuals who have been onsite and know their systems personally. Epic offers unlimited technical support at no additional cost, a stark contrast to other companies that start charging after a certain level of service. Furthermore, the software developers who work on a client's system stay involved throughout the entire lifecycle, from immersion trips to development, testing, and debugging, ensuring the highest quality product and quick fixes when issues arise. This continuity contrasts sharply with many vendors, where programming, testing, and debugging could be handled by different teams.

The BFF is typically paired with a senior executive at the client organization, such as a CIO or CEO, and is responsible for maintaining close communication and staying informed about their needs. Internally, BFFs are given talking points on new features of products that they roll out. BFFs are encouraged to discuss these with their counterparts to spark interest and offer demonstrations when appropriate. If a client shows interest in lower-level offerings, the BFF can draft and send a term sheet. For larger or more complex deals, Epic brings in its sales leaders to guide negotiations and manage the sales process.

Epic's approach is highly strategic to focus on executives. It rarely engages with individuals below the C-suite level. Epic has been very focused on large healthcare providers, where executives already know how to initiate contact with Epic when they are ready.[368] With a strong reputation and market presence, Epic does not rely on outbound sales. Instead, most customer interactions are initiated by healthcare executives who already know what they want and who to call.

Industry experts stated that Epic Systems has been using strategic marketing tactics designed to consolidate customer products, especially in the slow-moving B2B healthcare IT space, by promoting both existing and future product offerings. For instance, Epic distributes a document titled "Products You Can Replace with Epic" among its customers. The document outlines 21 functional categories and lists 323 competitor products Epic claims its software can replace, including 16 that are still "under development." Customers are encouraged to reach out to Epic to evaluate which of their existing systems can be eliminated.[369]

However, this does not mean Epic aggressively pushes its newer or less mature products. For instance, when the company introduced its Lumen module for endoscopy, Epic advised customers not to switch if they were already using Provation, an advanced product in space, because Lumen was still in its early stages.[370] Typically, Epic launches a minimum viable product based on what it believes that can reasonably deliver for some customers, and then gradually iterates and improves the product until it becomes a competitive option.

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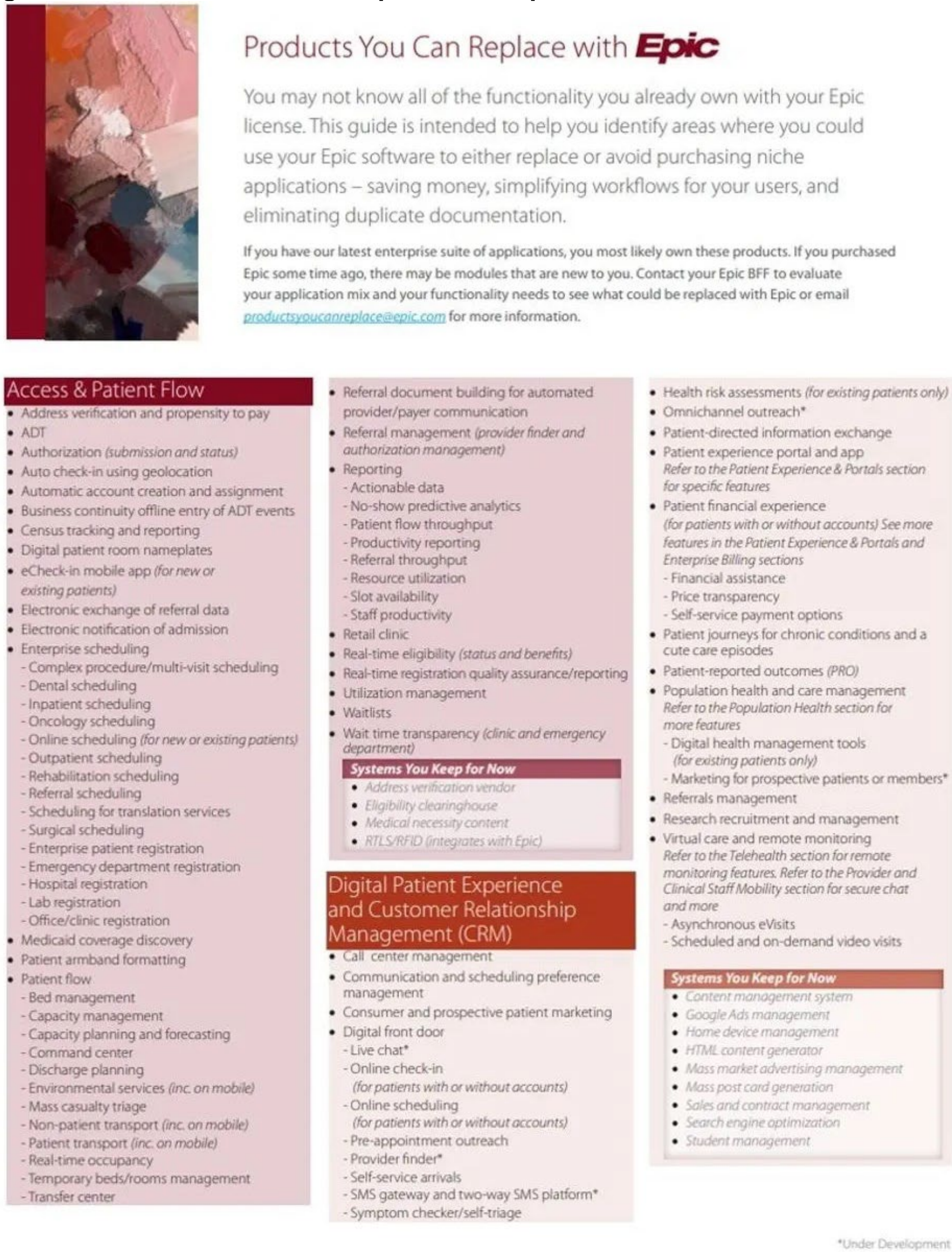
[364] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[365] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025; The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/
[366] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[367] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[368] Interview with Former Implementation Director at Epic Systems. 12/19/2023
[369] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/
[370] Interview with Former Senior Program Manager at Epic Systems. 12/19/2023

Figure 17: Products You Can Replace with Epic[371]



Products You Can Replace with Epic

You may not know all of the functionality you already own with your Epic license. This guide is intended to help you identify areas where you could use your Epic software to either replace or avoid purchasing niche applications – saving money, simplifying workflows for your users, and eliminating duplicate documentation.

If you have our latest enterprise suite of applications, you most likely own these products. If you purchased Epic some time ago, there may be modules that are new to you. Contact your Epic BFF to evaluate your application mix and your functionality needs to see what could be replaced with Epic or email productsyoucanreplace@epic.com for more information.

Access & Patient Flow

- Address verification and propensity to pay
- ADT
- Authorization *(submission and status)*
- Auto check-in using geolocation
- Automatic account creation and assignment
- Business continuity offline entry of ADT events
- Census tracking and reporting
- Digital patient room nameplates
- eCheck-in mobile app *(for new or existing patients)*
- Electronic exchange of referral data
- Electronic notification of admission
- Enterprise scheduling
  - Complex procedure/multi-visit scheduling
  - Dental scheduling
  - Inpatient scheduling
  - Oncology scheduling
  - Online scheduling *(for new or existing patients)*
  - Outpatient scheduling
  - Rehabilitation scheduling
  - Referral scheduling
  - Scheduling for translation services
  - Surgical scheduling
  - Enterprise patient registration
  - Emergency department registration
  - Hospital registration
  - Lab registration
  - Office/clinic registration
- Medicaid coverage discovery
- Patient armband formatting
- Patient flow
  - Bed management
  - Capacity management
  - Capacity planning and forecasting
  - Command center
  - Discharge planning
  - Environmental services *(inc. on mobile)*
  - Mass casualty triage
  - Non-patient transport *(inc. on mobile)*
  - Patient transport *(inc. on mobile)*
  - Real-time occupancy
  - Temporary beds/rooms management
  - Transfer center
- Referral document building for automated provider/payer communication
- Referral management *(provider finder and authorization management)*
- Reporting
  - Actionable data
  - No-show predictive analytics
  - Patient flow throughput
  - Productivity reporting
  - Referral throughput
  - Resource utilization
  - Slot availability
  - Staff productivity
- Retail clinic
- Real-time eligibility *(status and benefits)*
- Real-time registration quality assurance/reporting
- Utilization management
- Waitlists
- Wait time transparency *(clinic and emergency department)*

Systems You Keep for Now

- *Address verification vendor*
- *Eligibility clearinghouse*
- *Medical necessity content*
- *RTLS/RFID (integrates with Epic)*

Digital Patient Experience and Customer Relationship Management (CRM)

- Call center management
- Communication and scheduling preference management
- Consumer and prospective patient marketing
- Digital front door
  - Live chat*
  - Online check-in *(for patients with or without accounts)*
  - Online scheduling *(for patients with or without accounts)*
  - Pre-appointment outreach
  - Provider finder*
  - Self-service arrivals
  - SMS gateway and two-way SMS platform*
  - Symptom checker/self-triage
- Health risk assessments *(for existing patients only)*
- Omnichannel outreach*
- Patient-directed information exchange
- Patient experience portal and app *Refer to the Patient Experience & Portals section for specific features*
- Patient financial experience *(for patients with or without accounts) See more features in the Patient Experience & Portals and Enterprise Billing sections*
  - Financial assistance
  - Price transparency
  - Self-service payment options
- Patient journeys for chronic conditions and a cute care episodes
- Patient-reported outcomes *(PRO)*
- Population health and care management *Refer to the Population Health section for more features*
  - Digital health management tools *(for existing patients only)*
  - Marketing for prospective patients or members*
- Referrals management
- Research recruitment and management
- Virtual care and remote monitoring *Refer to the Telehealth section for remote monitoring features. Refer to the Provider and Clinical Staff Mobility section for secure chat and more*
  - Asynchronous eVisits
  - Scheduled and on-demand video visits

Systems You Keep for Now

- *Content management system*
- *Google Ads management*
- *Home device management*
- *HTML content generator*
- *Mass market advertising management*
- *Mass post card generation*
- *Sales and contract management*
- *Search engine optimization*
- *Student management*

*Under Development

Furthermore, some critics argue that Epic serves the financial and regulatory goals of hospital administrators more than the clinical needs of physicians.[372] **A study published in Annals of Family Medicine found that primary care doctors spend nearly two hours on electronic health record tasks for every hour of direct patient care when using Epic, fueling concerns that documentation has overtaken medicine.[373]** But again, it is important to note that these issues are not unique to Epic but are common across electronic health record systems.[374] During our conversation with Epic,

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[371] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[372] The Electronic Health Record Problem. https://www.commonwealthfund.org/blog/2018/electronic-health-record-problem; EHRs Still Burden Physicians. https://www.fortherecordmag.com/archives/ND18p18.shtml

[373] Arndt BG, Beasley JW, Watkinson MD, Temte JL, Tuan WJ, Sinsky CA, Gilchrist VJ. Tethered to the EHR: Primary Care Physician Workload Assessment Using EHR Event Log Data and Time-Motion Observations. Ann Fam Med. 2017 Sep;15(5):419-426. doi: 10.1370/afm.2121. PMID: 28893811; PMCID: PMC5593724.

[374] Poissant L, Pereira J, Tamblyn R, Kawasumi Y. The impact of electronic health records on time efficiency of physicians and nurses: a systematic review. J Am Med Inform Assoc. 2005;12(5):505-516. doi:10.1197/jamia.M1700

Judy Faulkner pointed to regulatory complexity as a major factor.[375] She noted that American doctors are often burdened by layers of documentation requirements from both government regulations and their internal compliance officers. In contrast, she explained, Epic provides the exact same software to Dutch customers, yet doctors there spend significantly less time on documentation. The difference, she articulated, lies not in the software, but in the system around it.

In addition, some have also argued that electronic health records generally facilitate aggressive billing practices, especially through "upcoding." Government officials warned that electronic health records were being misused for "cloning" documentation and upcoding to inflate Medicare and Medicaid payments.[376] (**It is important to note that given Epic's market share, may criticisms of the EHR industry as a whole are blamed solely onto Epic, even when the issues reflect broader industry problems.)** A 2012 report by the Center for Public Integrity found that providers often billed for more expensive services than they actually delivered, taking advantage of Medicare billing codes that vary based on the level of care and time involved. This issue was particularly pronounced in hospital emergency rooms, where outpatient billing rules differ and Medicare audits are infrequent. Critics have warned that the problem has worsened due to lax government oversight and the widespread adoption of EHR systems, which can make it easier to manipulate billing.[377]

What's Next?[378]

While Epic's core database, Chronicles, has been in continuous development since 1979, the company has fully rewritten its codebase over the past decade, eliminating all legacy code and transitioning to a modern, web-based platform. This foundation sets the stage for Epic's next major focus, artificial intelligence.

Epic has heard feedback from users that its products can sometimes feel clunky or repetitive. In response, the company has made, and continues to make, investments in improving user experience. This includes expanding features such as pre-populate and autofill to minimize redundant data entry and reduce duplicative work for healthcare providers. These enhancements are designed to streamline workflows and make the system more efficient for everyday use.

Epic is also actively integrating AI to help physicians reclaim time and reduce administrative burden. Generative AI tools, for example, are already assisting with charting and patient communication. **Epic expects these AI tools to save doctors 1 to 1.5 hours per day. For messaging, GenAI can save about 30 seconds per response by drafting empathetic replies, more so than messages drafted by humans, though physicians still review the messages before sending. The company is also working on voice transcription tools that capture and process doctor-patient conversations in real time. These tools aim to identify key clinical details and organize them for efficient review, helping streamline the documenting process.**

With the rise of AI, Epic is extending its Care Team, a feature used to manage patients' care and treatment teams, by introducing virtual agents. These AI-powered assistants help identify potential actions to improve outcomes while boosting provider efficiency.

Beyond clinical settings, Epic is also developing agentic AI tools to support its own engineers and third-party developers. These tools help accelerate the creation of apps that run on the Epic platform, reinforcing Epic's commitment to a robust developer ecosystem.

With the broadest catalog of healthcare data across the industry, Epic supports a broad spectrum of clinical and operational workflows. Its investment in AI is aimed not only at automating tasks and enhancing care delivery but also at improving physician well-being, including prescriptive guidance tools designed to potentially reduce burnout and promote wellness among care teams.

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[375] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[376] AHA, AAHC React to Sebelius Warning about EHRs, Upcoding, and Fraud. https://www.healthcareitnews.com/news/aha-aahc-react-sebelius-warning-about-ehrs-upcoding-and-fraud;
[377] Growth of Electronic Medical Records Eases Path to Inflated Bills. https://publicintegrity.org/health/growth-of-electronic-medical-records-eases-path-to-inflated-bills/
[378] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Company Culture

As mentioned earlier, Epic Systems operates according to its Ten Commandments and broader business principles. Maintaining a distinct company culture is so paramount to the organization that it is reflected in employees' daily lives from the moment they step onto the Epic campus.

Figure 18: Epic's 10 Commandments and Principles

Our 10 Commandments	Our Principles	Principles of Our Community
11. Do not go public. 12. Do not be acquired. 13. Software must work. 14. Reality ≡ expectations. 15. Keep commitments. 16. Focus on competency. Do not tolerate mediocrity. 17. Have standards. Be fair to all. 18. Have courage. What you put up with is what you stand for. 19. Teach philosophy and culture. 20. Be frugal. Do not take on debt for operations.	11. Make our products a joy to use. 12. Have fun with customers. 13. Design in collaboration with users. 14. Make it easy for users to do the right thing. 15. Improve the patient's health and healthcare experience. 16. Generalize to benefit more. 17. Follow processes. Find root causes. Fix processes. 18. Dissent when you disagree; once decided, support. 19. Do what is difficult for us to make things easy for users. 20. Escalate problems at the start, not when all hell breaks loose.	7. Treat all people with dignity and respect. 8. Uphold a workplace where everyone's contributions are welcomed. 9. Collaborate to address potential bias within and related to the software. 10. Ensure all staff have opportunities and support for growth. 11. Seek to recognize, understand, and appreciate the value of others' perspective, backgrounds, and experiences. 12. Diversity, equity, and inclusion is a journey; examine your beliefs and assumptions and embrace a continuous learning mindset.

Epic Systems is anything but a traditional corporate environment. The company operates with a minimal hierarchy, downplays job titles, and gives employees a lot of responsibilities early on.[379] Internally, formal titles are not used. When attending external events such as conferences, employees are free to make up titles as needed to facilitate conversations.[380] As one vice president who joined the company in 1997 put it, "It's not a situation where you have to climb up this perpetual ladder."[381] A former employee said that "we're working with people who are very driven [and] who want to get things done…You can knock on people's doors. It's very easy to find people who are able to help you. There's a lot of structure around [collaboration] as you're working through these complex situations."[382]

Judy Faulkner emphasized that one of the key drivers of Epic's success is the strong sense of ownership among employees. Each person is expected to fully take responsibility for their work, whether it is a piece of the scheduling system or any other component.[383] She also highlighted the importance of helping staff understand the critical impact of their work in healthcare, where customers place immense trust in Epic to support patient care and the success of their organizations. Rather than focusing on money, Epic focuses on honoring commitments to its customers, and this mission-driven approach gives employees a deep sense of purpose and responsibility.

Epic's culture is quirky, creative, and offbeat, and that spirit is evident throughout the company, consisting of a young team of employees, whose median age is 26. Every employee, whether a software developer or part of another function, even a dishwasher, is required to take and pass assessment tests before even being invited to interviews. Once offered a position, new hires are encouraged to visit the campus and can bring two guests, typically their parents, to help

[379] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[380] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[381] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[382] Former Epic Systems Employees Discuss Company Culture, Work-Life Balance. https://www.dailycardinal.com/article/2023/03/the-work-really-never-ends-former-epic-systems-employees-discuss-company-culture-work-life-balance

[383] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

them get a feel for the environment before making a decision. No one at Epic has been hired without first passing these tests.[384] **In 2024, Epic received around 375,000 applications and offered to just about 1% of them.**[385]

Employees are required to live within a 45-minute drive of Epic's headquarters in Verona, Wisconsin, except for the nearly 2,000 employees based in its overseas offices, out of a global workforce of approximately 14,000.[386] This policy is designed to foster close collaboration and ensure quick responsiveness to customer needs. **Since the pandemic, Epic has maintained a strict in-office policy, remote work is only allowed during overtime hours or on weekends, underscoring its emphasis on collaborations.** Interestingly, there are no formal job descriptions or annual performance reviews. Instead, employees typically have weekly one-on-one meetings, not mandatory for everyone, focused on tracking project progress. In these check-ins, employees are expected to specify what they will complete, not just what they will continue working on. Sometimes, these meetings are simply used to build rapport among team members.

Epic Systems takes an unconventional approach to employee motivation. The company does not set sales quotas or offer monetary incentives or commissions, even to its sales team.[387] Instead, Epic invests deeply in employee well-being to attract and retain top talent. It pays attention to employees' happiness, encourages people to take on new challenges, and promotes a sense of ownership over their work. Epic strives to make employees happier each year than the last, an effort to avoid stagnation and complacency as the company grows. **This philosophy has led to low employee turnover, with overall churn at about 8% to 9% and voluntary departures accounting for just 3%.**[388] Epic also does not lay off employees, letting people go only for poor performance. The company held to this commitment even during the COVID-19 pandemic and has no plans for layoffs in response to advances in AI.

Each year, all new employees are gathered together for an orientation led personally by founder Judy Faulkner. These sessions, which can last up to five hours, are designed to introduce new employees to Epic's philosophy, mission, and culture, ensuring everyone understands the company's values and feels aligned with its vision. In addition to orientations, Epic also holds monthly staff meetings in its underground auditorium, Deep Space, a venue inspired by Tolkien's MiddleEarth that can seat over 10,000 audiences.[389] These meetings, also hosted by Faulkner, are mandatory for all employees, including those based overseas who join remotely. The meetings cover a wide range of topics, including the company's current situation, strategic decisions, campus safety, and other key updates, as well as miscellaneous ones. The goal is to keep everyone informed, engaged, and maintain the company's culture.[390]

Epic's famous headquarters in Verona, Wisconsin, reflects its commitment to happiness, productivity, and creativity. The campus has become a signature landmark in the small town of Verona, where it employs over 12,000 people, nearly as many as the town's total population of just around 16,000.[391] The company maintains a strong and ongoing relationship with the University of Wisconsin – Madison, and consistently ranks among the top employers of University of Wisconsin graduates.

As of May 2025, the Epic campus spans approximately 1,670 acres, including 410 acres of developed space and 750 acres of active farmland with living animals. It resembles a fantastic tech village more than a traditional corporate office park. The campus includes 89 buildings, with 28 office spaces, 27 farm structures, 14 utility buildings that support sustainable energy sources such as solar, geothermal, and wind power, 8 maintenance buildings, 5 parking ramps, 3 food service buildings, 2 learning campuses, a greenhouse, and even a treehouse.[392] The company has reportedly invested at least $1 billion into developing the site.[393] Epic's six public-facing campus areas, Prairie, Central Park, Farm, Learning, Wizards Academy, and Storybook, each have their own distinct theme. Visitors can walk through buildings inspired by works such as Alice in Wonderland and Harry Potter. Employees travel around the campus using cow-themed bikes, carts, and vans.

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384 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
385 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
386 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
387 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
388 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
389 Deep Space. Epic. https://www.epic.com/epic/post/deep-space/
390 How Epic Conducts Monthly Staff Meetings with 13,000 Employees. https://www.beckershospitalreview.com/healthcare-information-technology/ehrs/how-epic-conducts-monthly-staff-meetings-with-13-000-employees/
391 QuickFacts Verona city, Wisconsin. U.S. Census Bureau. https://www.census.gov/quickfacts/fact/table/veronacitywisconsin/SEX255223
392 Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
393 Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

Office buildings at Epic are deliberately designed to foster community and collaboration. The architect believed that a true sense of community is best maintained with no more than 300 to 400 people per building.[394] Beyond that, the connection between coworkers tends to fade. To foster collaboration, teams working on the same projects are grouped together in the same buildings. The buildings are deliberately kept to three stories or fewer to encourage spontaneous interactions and make it easier for employees to connect.[395] In keeping with Epic's emphasis on productivity and individual work styles, employees are also allowed to choose their own offices.

Epic's unconventional culture is also exemplified at its annual user conference, which blends serious tech discussions with the feel of an elaborate festival. These gatherings feature hundreds of seminars alongside themed experiences inspired by everything from Harry Potter to outer space. While the productions are whimsical and theatrical, Judy Faulkner's message remains grounded: "While you are here, learn a lot, have fun, make a plan, and when you go home, take action."[396]

Figure 19-1: Epic Campus[397]

[394] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[395] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[396] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[397] Visiting – Epic. https://www.epic.com/visiting/SS

Figure 19-2: Cow-Themed Bikes and Carts[398]

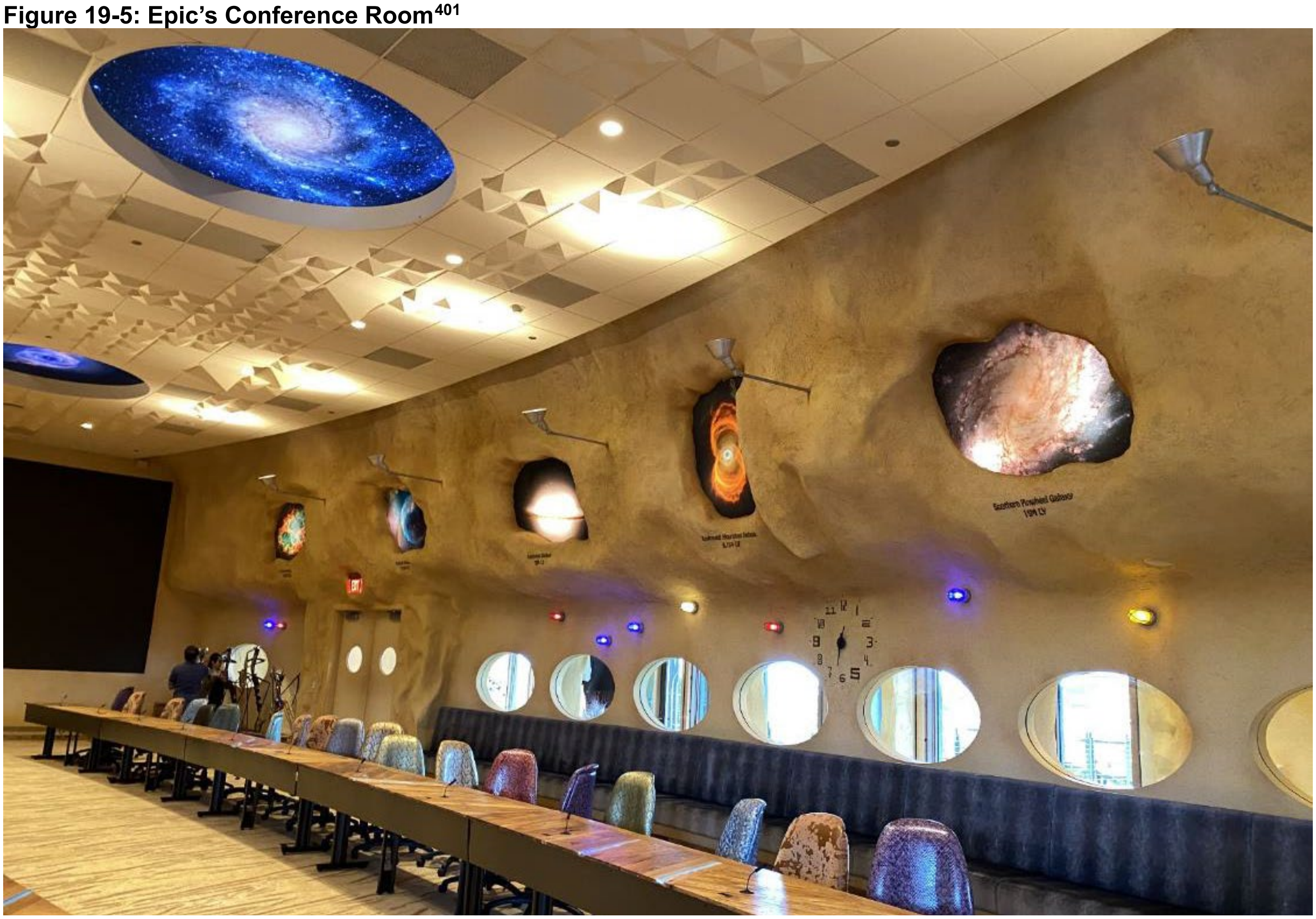
Figure 19-3: Epic Office Building[399]

[398] The Cow Bike Wheels are Spinning. https://www.epic.com/epic/post/cow-bike-wheels-spinning/; Putting the Cow Carts in the Barn. https://www.epic.com/epic/post/putting-cow-carts-barn/

[399] This Wisconsin Campus was Built to Look Just Like Hogwarts. https://web.archive.org/web/20250125032014/https://www.wiproud.com/news/local-news/this-wisconsin-campus-was-built-to-look-just-like-hogwarts/

Figure 19-4: Epic Office Building[400]

Figure 19-5: Epic's Conference Room[401]



[400] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[401] The Epic Intergalactic Headquarters Art Collection. https://healthexec.com/topics/health-it/medical-records/photo-gallery-epic-intergalactic-headquarters-art-collection

Figure 19-6: Epic Deep Space Auditorium[402]

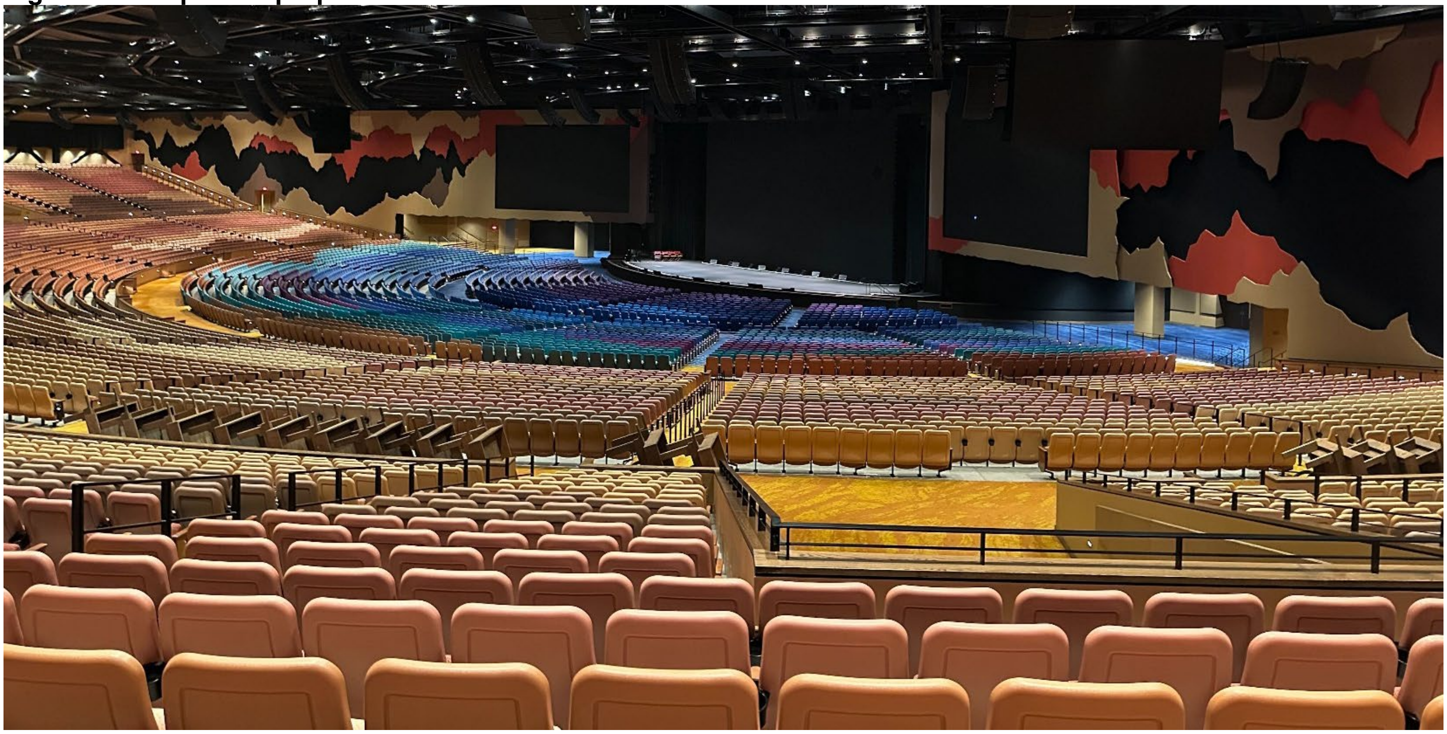
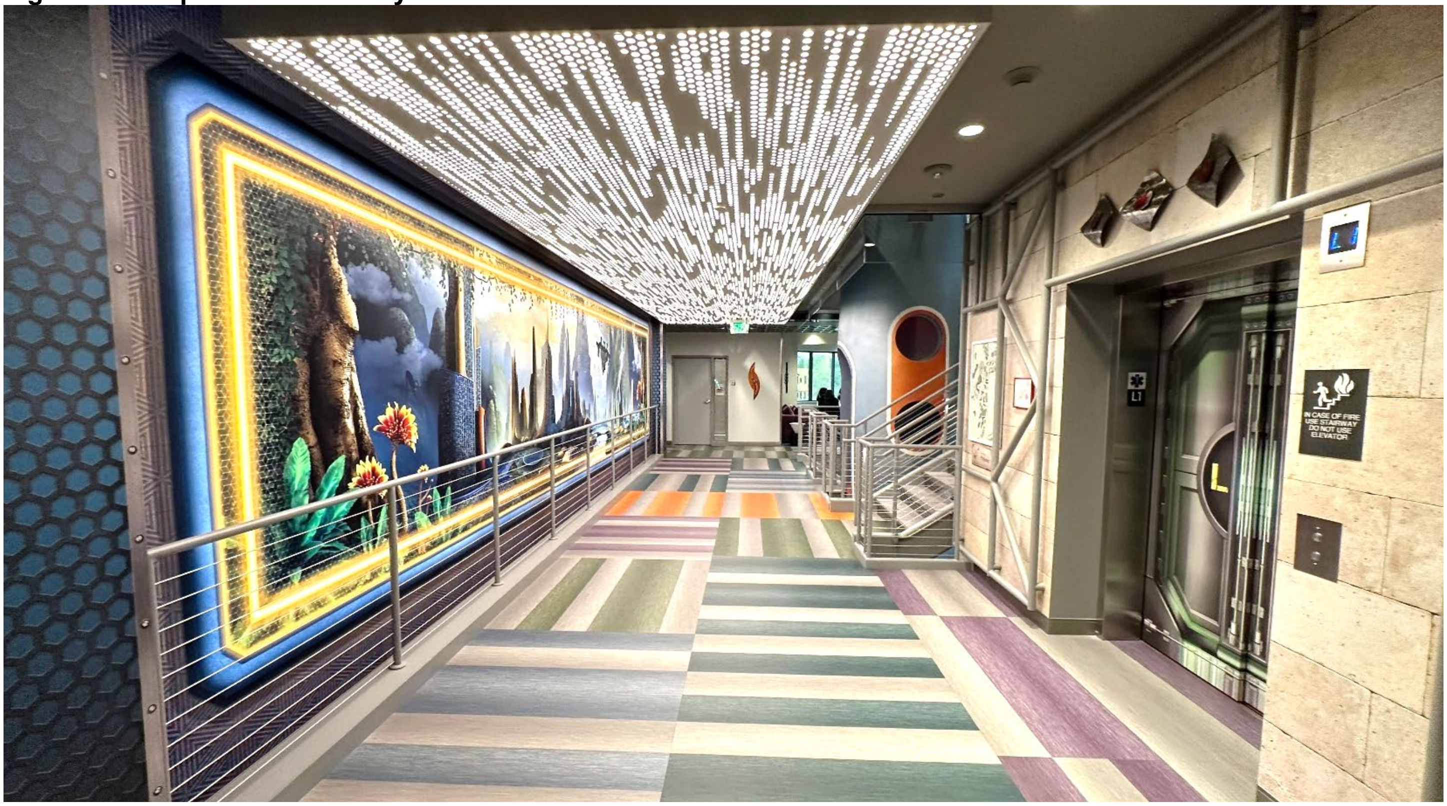


Figure 19-7: A Carousel on Epic Campus[403]

[402] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[403] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Figure 19-8: Epic Office Hallway[404]



Despite its playful atmosphere, Epic maintains a reputation for being highly secretive, especially when it comes to its proprietary technology, internal operations, and business practices. The company has historically rarely talked to the media, and CEO Judy Faulkner has often kept herself out of the spotlight. <u>In a 2015 interview, she made just one request that no photos be taken, so she could continue visiting her favorite ice cream shop in Madison without being recognized.</u>[405]

Judy Faulkner stated that "being private allows us to avoid the tyranny of the quarter, and to focus on R&D."[406] This independence also means Epic does not operate with a budget. Rather than getting distracted by the details of every line item on a financial statement, the company simply tracks overall revenue and expenses and just ensures it does not overspend.[407] This minimalist financial approach allows the company to think very long term. When Epic makes plans, it thinks 25 to 50 years ahead, unburdened by the pressure to chase short-term profits. <u>**Faulkner made a metaphor of resisting the "golden apples," tempting short-term gains that can derail long-term goals. Epic is patient, building its capacity to scale gradually without rushing to hit short term revenue.**</u> The company thought that this long-term view has helped the company win over competitors, allowing it to focus on its products, deliver a strong value-to-price ratio for customers, and ultimately help healthcare providers take better care of their patients. Influenced by conversations with others who had negative experiences after going public or being acquired, she concluded that the company should neither be acquired nor acquire other companies,[408] preserving its independence and unique culture.

Given the highly regulated nature of the healthcare industry and the scrutiny it draws from government agencies, Epic has long taken a low-profile approach.[409] It has no marketing department and, for much of its history, stayed under the radar, quietly focused on building good products to win over customers rather than through promotion. Only in recent years, as

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[404] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[405] Epic Systems Soars with Transition to Electronic Health Records. https://archive.jsonline.com/business/epic-systems-soars-with-transition-to-electronic-health-records-b99642837z1-366328781.html

[406] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[407] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[408] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c

[409] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Epic's influence has grown, has it attracted broader attention from regulators, competitors, and the public. This has led the company to become more open to the media in recent years. Faulkner explained "It has to do with our growth in the industry…When we were smaller, it was fairly easy just to stay below the radar and concentrate simply on 'are we developing good software? And are we doing a good job with our customers?' That's how life was." Faulkner had thought that "offering a good product, good service and a good relationship with customers is the best way to compete."[410] But as Epic grew, the competitive landscape changed. "It became more of a media battle than a quality-of-product and service battle," she said. This shift was underscored by incidents where misinformation spread in the press such as a report blaming Epic software for problems at a healthcare provider that was not even an Epic customer. The issue stemmed from another vendor's system entirely.[411]

Despite the challenges, Epic continues to draw top tech talent from across the country, including alumni of Amazon, Google, and other tech giants.[412] Employees are encouraged to raise concerns and share feedback through internal mechanisms such as red flags, which allow staff to escalate issues encountered during implementation process. Another channel, SCOPE,[413] distills problems, proposed solutions, and evaluations into a one-page summary, some of which land on Faulkner's own desk.[414]

Epic's substantial investment in its campus and employees reflects its long-term philosophy. The goal is to foster happiness, creativity, and productivity, ultimately leading to better products and service for customers. Around 80% of Epic's expenses go toward staff, 9% to buildings (largely due to giving each employee an individual office), and the remaining 11% to other operational needs.[415]

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[410] Epic CEO Judy Faulkner Opens Up About Why She's Talking to Reporters These Days. https://web.archive.org/web/20250215170843/https://www.healthcareitnews.com/news/inside-EHR-interoperability-epic-judy-faulkner-opens-about-why-she's-talking-reporters-these-days

[411] Epic CEO Judy Faulkner Opens Up About Why She's Talking to Reporters These Days. https://web.archive.org/web/20250215170843/https://www.healthcareitnews.com/news/inside-EHR-interoperability-epic-judy-faulkner-opens-about-why-she's-talking-reporters-these-days

[412] Epic's Market Share - Who Should Control The Levers Of Healthcare Innovation. https://web.archive.org/web/20250515041849/https://www.forbes.com/sites/sethjoseph/2024/02/26/epics-antitrust-paradox-who-should-control-the-levers-of-healthcare-innovation/

[413] Epic uses the SCOPE framework (Subject, Challenge, Opportunity, Possibilities, and Evaluate) to identify problems and uncover opportunities.

[414] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

[415] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Ownership Structure

Judy Faulkner, the founder of Epic Systems, is reported to own 47% of the company as of 2025 and has never raised venture capital or made an acquisition, and develops all its software in-house.[416] Faulkner signed the Giving Pledge in 2014 and has agreed to eventually give 99% of her assets to a private charitable foundation.[417]

Epic describes itself as an employee-owned, developer-led company, though it has not disclosed specific details about how ownership is distributed among employees.[418]

Faulkner, now 81, continues to serve as Epic's CEO. She has long resisted outside pressure to seek external funding or go public, a stance she has held since the company's earliest days. In 1979, she co-founded Epic with John Greist, then a chief resident in medicine at the University of Wisconsin. Together, they raised about $70,000, sourced from friends, family, and personal loans secured against their homes, along with **a $70,000 bank loan used to buy minicomputers,**[419] to launch the company.[420] Early shareholders also included several of Faulkner's customers.[421]

In 1983, Greist stepped down from Epic's board following strategic disagreements with Faulkner. He had pushed for venture capital funding to accelerate growth, but Faulkner insisted on maintaining full control. While Greist left the board, he retained his shares in the company. **Looking back on her long-term approach in a 2021 Forbes interview, Faulkner reflected that she had no grand plan for growth, and noted "It's always been, like, you climb a mountain. And you just see the hill ahead of you. You don't see the whole mountain."**[422]

Despite her age, Faulkner has not named a successor, and none of her three children works at Epic. She has, however, taken steps to shape the company's future.[423] Her stock has been divided into two parts – nonvoting shares, which are being left to a foundation she co-founded with her husband, Roots & Wings, and voting shares, which are held in a purpose trust controlled by family members and employees.

The purpose trust is governed by a strict bylaw that Epic may never go public or be acquired, and its CEO must always be a long-time employee and software developer. The trust is overseen by Faulkner's husband, their three children (two daughters and a son), and five Epic employees. In addition, three Epic customer CEOs act as protectors to ensure the rules are upheld.[424]

In 2015, Faulkner signed the Giving Pledge, committing to eventually donate 99% of her assets to charitable causes. The Roots & Wings Foundation focuses on causes close to her heart, including early childhood brain development and criminal justice reform.

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[416] Judy Faulkner – Forbes. https://web.archive.org/web/20250218055846/https://www.forbes.com/profile/judy-faulkner/#7acb4f733b81
[417] Judy Faulkner – The Giving Pledge. https://www.givingpledge.org/pledger/judy-faulkner/
[418] About – Epic. https://www.epic.com/about/
[419] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.
[420] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/
[421] Judy Faulkner, Founder and CEO of Epic Systems Shares How She Built One of the World's Leading Healthcare Software Companies. https://open.spotify.com/episode/4rCuhMn1kMz5biXI5nKabl?si=de268a90646748e5&nd=1&dlsi=78f29bcc4bb2484c
[422] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/
[423] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/
[424] Worldly Partners' Conversation with Epic Team (Judy Faulkner and Senior Management) and Campus Visit. June 3rd, 2025.

Competition – Oracle Health (Cerner), Allscripts

Despite growing interest from Silicon Valley, the core players in the electronic health record (EHR) space, Epic Systems, Oracle Health (formerly Cerner), and Meditech, have remained largely unchanged over the past decade. The healthcare industry's conservative nature and high regulatory barriers have made it difficult for traditional tech giants and new entrants to gain meaningful traction.

Given Epic's revenue and market size, Cerner[425] is a better comparable company among all competitors.

Big Tech has eyed on healthcare data for more than a decade, often with disappointing results. Google's early attempt at a personal health record platform in the late 2000s failed to gain adoption. Microsoft's personal health record HealthVault similarly faded as well. Apple's initiative to monitor heart rhythms through its Apple Watch was disliked by doctors, and Amazon's ambitious Haven venture, a joint effort with Berkshire Hathaway and JPMorgan Chase aimed at transforming employer-sponsored healthcare, ultimately folded.

As mentioned earlier, unlike Silicon Valley startups that embrace a "move fast and break things" ethos, the healthcare industry prioritizes caution, stability, and long-term trust. These values have favored established players such as Epic, which has built a reputation over decades of delivering reliable, integrated systems. **In a Forbes interview, Epic founder and CEO Judy Faulkner expressed little concern about the influx of tech competitors, stating "I think that what will happen is that a few of them will do very well. And the majority of them won't… It's not us as much as the health systems who have to respond to the patient saying, 'Send my data here,' or 'Send my data there.'"[426]**

<u>Oracle Health (Cerner)</u>

Cerner (now Oracle Health) is a prominent American health IT company that provides solutions to healthcare organizations worldwide. Founded in 1979 and headquartered in North Kansas City, Missouri, Cerner's core business revolves around developing software and services that support the delivery of healthcare, with a particular focus on electronic health records, population health management, revenue cycle management, and healthcare analytics.[427] The company has been one of the main rivals to Epic Systems.

Cerner's products are widely used by hospitals, clinics, and health systems to improve clinical, financial, and operational outcomes. Its flagship electronic health record platform, Millennium, enables healthcare providers to access and manage patient information across care settings. In addition, Cerner offers a broad suite of tools for patient engagement, care coordination, and data-driven decision-making, all designed to enhance the quality and efficiency of healthcare delivery.

In 2022, Cerner was acquired by Oracle Corporation in a $28.3 billion equity deal at $95 per share,[428] implying a 54x last-twelve-month P/E and 22X EV/EBITDA.[429]

KLAS Research, a market research company specializing in the healthcare IT industry since 1996, found that Oracle's Millennium (Cerner) platform received a low customer experience grade, resulting in customers leaving Millennium and prospective small standalone hospitals being deterred from choosing Oracle Health.[430]

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[425] In 2021, before its acquisition by Oracle, Cerner reported $5.7 billion in revenue. Epic's revenue was estimated at $3.8 billion. Meditech's 2019 annual report shows that its revenue was $494 million. Medical Information Technology Annual Report 2019. https://www.sec.gov/Archives/edgar/data/1011452/000101145220000002/tenk.htm

[426] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

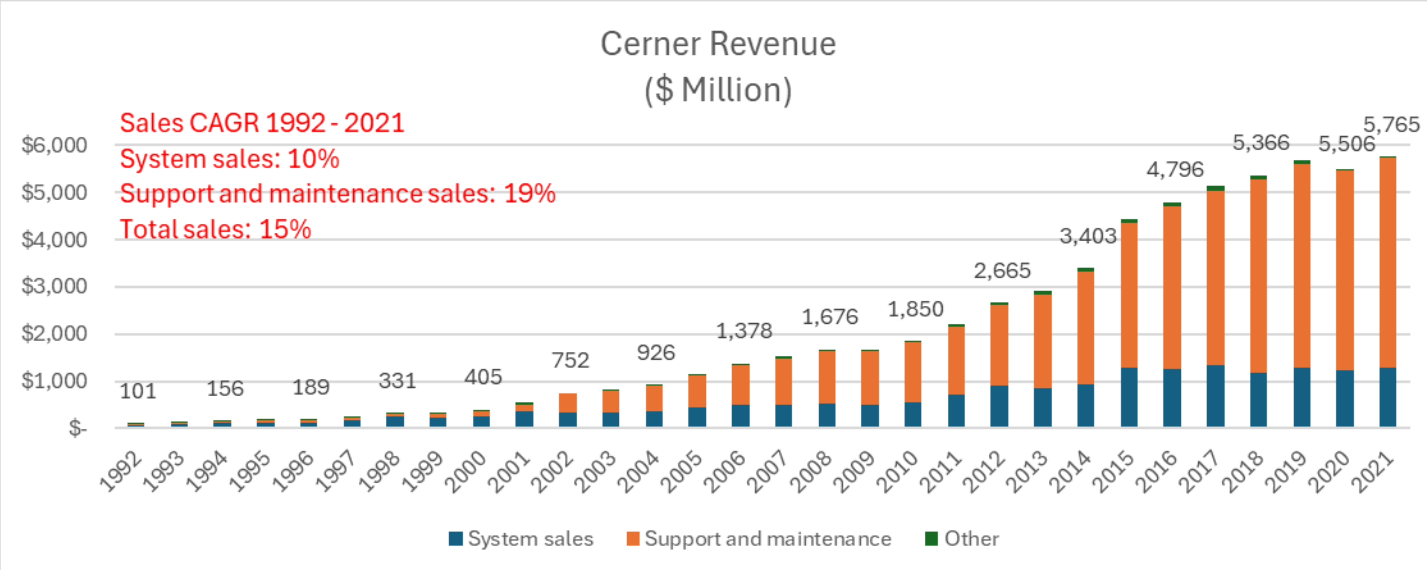
[427] About Cerner. https://web.archive.org/web/20220101185259/https://www.cerner.com/about/

[428] Oracle Buys Cerner. https://web.archive.org/web/20250311190922/https://www.oracle.com/news/announcement/oracle-buys-cerner-2021-12-20/

[429] Calculated based on Cerner's Q3 2021 and FY2020 financials, which were available at the time of the announcement. Enterprise value is calculated as equity value plus debt. EV=$30 billion; Equity Value=$28.3 billion. Net Earnings LTM=$522 million; EBITDA LTM=$1,384 million. Oracle Buys Cerner. https://web.archive.org/web/20250311190922/https://www.oracle.com/news/announcement/oracle-buys-cerner-2021-12-20/

[430] Epic Continued to Outstrip EHR Competitors in 2023. https://web.archive.org/web/20240619135013/https://www.healthcaredive.com/news/epic-oracle-health-meditech-ehr-market-share-klas-research/716513/

Figure 20-1: Cerner Revenue[431]

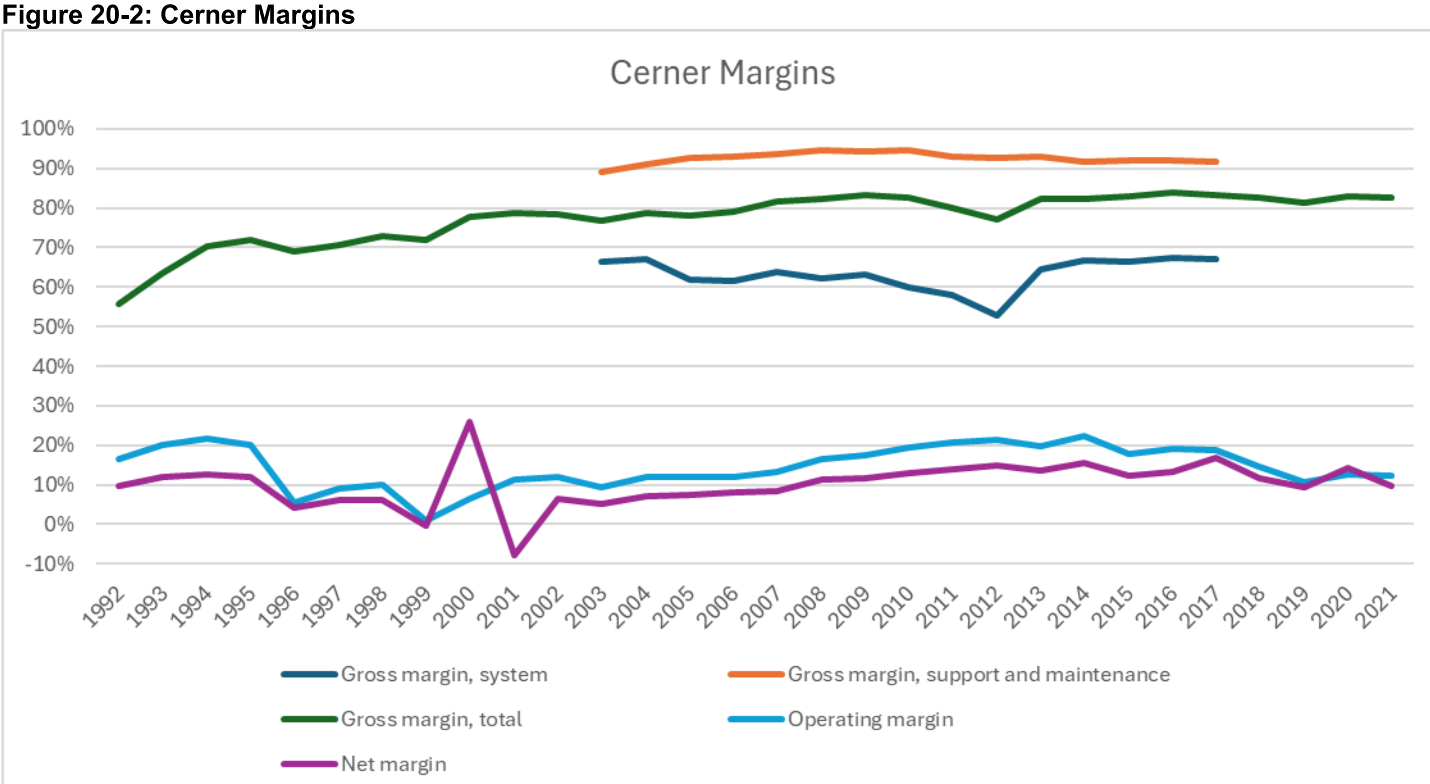


$ Million	1992	1993	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006
System sales	$ 71.6	$ 84.0	$ 108.3	$ 129.9	$ 122.8	$ 170.9	$ 245.5	$ 224.5	$ 263.1	$ 373.1	$ 332.3	$ 332.3	$ 351.9	$ 449.7	$ 505.7
Support and maintenance	$ 26.7	$ 33.2	$ 41.3	$ 49.4	$ 57.4	$ 68.7	$ 76.8	$ 94.2	$ 114.9	$ 140.7	$ 419.6	$ 476.8	$ 542.4	$ 677.7	$ 833.2
Other	$ 2.9	$ 3.3	$ 6.3	$ 7.6	$ 8.8	$ 5.4	$ 8.7	$ 21.5	$ 26.5	$ 28.9	$ -	$ 30.4	$ 32.1	$ 33.4	$ 39.1
Total revenue	**$ 101.1**	**$ 120.6**	**$ 155.9**	**$ 186.9**	**$ 189.1**	**$ 245.1**	**$ 330.9**	**$ 340.2**	**$ 404.5**	**$ 542.6**	**$ 751.9**	**$ 839.6**	**$ 926.4**	**$ 1,160.8**	**$ 1,378.0**

$ Million	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
System sales	$ 500.3	$ 522.4	$ 504.6	$ 550.8	$ 706.7	$ 902.8	$ 847.8	$ 945.9	$ 1,281.9	$ 1,266.0	$ 1,355.2	$ 1,184.4	$ 1,286.2	$ 1,231.0	$ 1,293.2
Support and maintenance	$ 982.8	$ 1,115.9	$ 1,136.9	$ 1,267.0	$ 1,451.7	$ 1,707.3	$ 1,992.8	$ 2,367.0	$ 3,070.6	$ 3,442.0	$ 3,685.6	$ 4,084.5	$ 4,311.0	$ 4,246.7	$ 4,437.9
Other	$ 36.8	$ 37.8	$ 30.4	$ 32.5	$ 44.7	$ 55.3	$ 70.1	$ 89.9	$ 72.8	$ 88.5	$ 101.5	$ 97.4	$ 95.4	$ 28.1	$ 33.8
Total revenue	**$ 1,519.9**	**$ 1,676.0**	**$ 1,671.9**	**$ 1,850.2**	**$ 2,203.2**	**$ 2,665.4**	**$ 2,910.7**	**$ 3,402.7**	**$ 4,425.3**	**$ 4,796.5**	**$ 5,142.3**	**$ 5,366.3**	**$ 5,692.6**	**$ 5,505.8**	**$ 5,764.8**

Note:
1. Cerner was acquired by Oracle Health in 2022 and is now part of the Oracle brand.

Figure 20-2: Cerner Margins



Notes:
1. Cerner disclosed the cost of sales by segment only from 2004 to 2017.

[431] Cerner Annual Report 1994 – 2021.

2. The increase in net margin from 1999 to 2000 was driven by a $188.65 million non-recurring investment gain from the exchange of CareInsite shares for WebMD shares.[432]
3. The decrease in net margin from 2000 to 2001 was driven by a $127.62 million write-down of investment related to the adjustment of the carrying value of the WebMD shares in 2001.[433]

Figure 20-3: Cerner Operating Expenses as a Percentage of Revenue

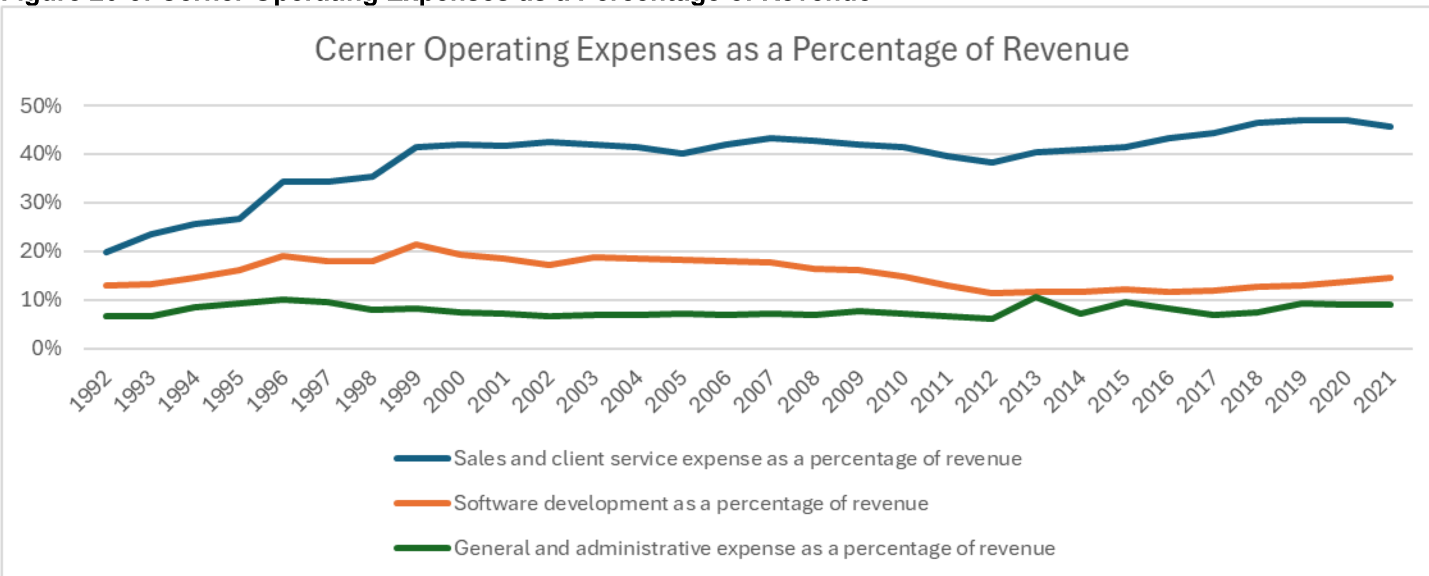
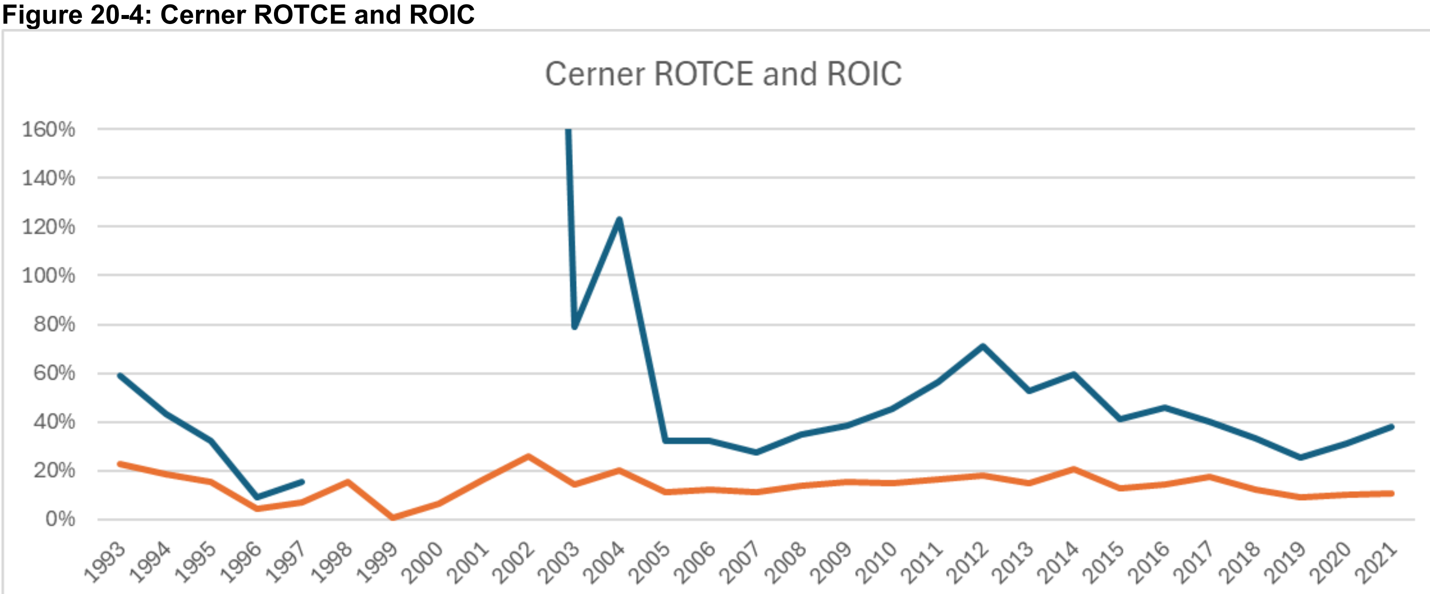


Figure 20-4: Cerner ROTCE and ROIC



	1993	1994	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
ROTCE	59.2%	43.1%	32.2%	8.8%	15.3%		33.2%			677.3%	78.7%	123.0%	32.0%	32.3%	27.3%
ROIC	22.6%	18.5%	15.1%	4.2%	6.8%	15.6%	0.6%	6.7%	16.2%	26.1%	14.5%	20.1%	11.2%	12.1%	11.0%

	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
ROTCE	34.9%	38.2%	45.3%	56.2%	71.2%	52.9%	59.4%	41.4%	45.6%	40.0%	33.3%	25.2%	31.1%	38.0%
ROIC	14.0%	15.4%	15.0%	16.4%	18.0%	14.8%	20.4%	12.5%	14.2%	17.6%	12.3%	9.1%	10.3%	10.8%

Notes:
1. **Median ROTCE 39.1% from 1993 to 2021, and 41.4% from 2009 (regulatory tailwind) to 2021.**
2. **Median ROIC 14.5% from 1993 to 2021, and 14.8% from 2009 (regulatory tailwind) to 2021.**
3. Empty cells indicate negative values of tangible capital.
4. In 2002, Cerner reported an operating income of $90.8 million and held $13.4 million in tangible capital. This capital included net working capital of -$120.9 million and net fixed assets of $134.3 million, resulting in a ROTCE of 677.3%.

[432] Cerner Annual Report 2000
[433] Cerner Annual Report 2001

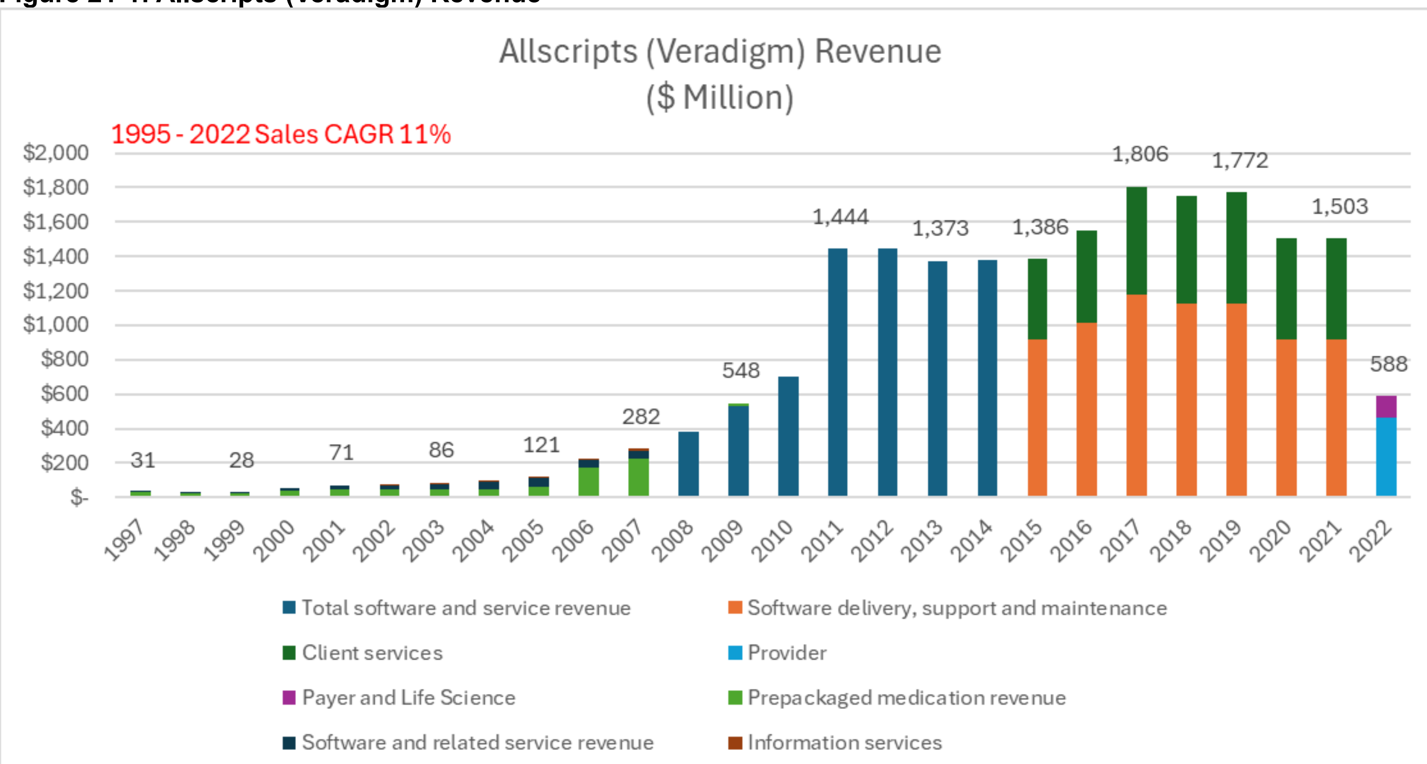
5. In 2004, Cerner reported an operating income of $111.5 million and held $90.6 million of tangible capital. This capital included net working capital of -$139.8 million and net fixed assets of $230.4 million, resulting in a ROTCE of 123.0%.

Allscripts (Veradigm)

Allscripts Healthcare Solutions, founded in 1986 and headquartered in Chicago, Illinois, is a provider of healthcare IT solutions. Its core business centers on developing software that supports electronic health records, population health management, patient engagement, and healthcare operations. Key products include the Sunrise, Paragon, and TouchWorks electronic health record platforms, along with dbMotion for data interoperability and tools that improve financial and administrative workflows. Some of its products such as dbMotion and Paragon were through acquisitions.[434]

In 2022, Allscripts sold its Hospitals and Large Physician Practices segment, including many of its flagship products, to N. Harris Computer Corporation, a subsidiary of Constellation Software, in a deal valued up to $700 million. The deal was estimated at 0.75 EV/Sales and 4.8x EV/EBITA based on the last-twelve-month results.[435] The business now operates under the name Altera Digital Health.[436]

Figure 21-1: Allscripts (Veradigm) Revenue[437]



[434] Allscripts Closes McKesson Deal amid Optimism from Providers. https://web.archive.org/web/20241211225856/https://www.fiercehealthcare.com/ehr/allscripts-mckesson-health-it-paragon-sunrise-ehr-acquisition; Allscripts Announces Strategic Acquisitions of dbMotion and Jardogs. https://web.archive.org/web/20130309231214/https://www.prnewswire.com/news-releases/allscripts-announces-strategic-acquisitions-of-dbmotion-and-jardogs-195240741.html

[435] Allscripts Healthcare Solutions, Inc. N. Harris Computer Corp Divestment Call. 3/3/2022.

[436] Harris Completes Purchase of Allscripts Hospitals and Large Physician Practices Business Segment. https://www.alterahealth.com/newsroom/harris-completes-purchase-of-allscripts-hospitals-and-large-physician-practices-business-segment/

[437] Allscripts (Veradigm) Annual Report 1999 – 2022.

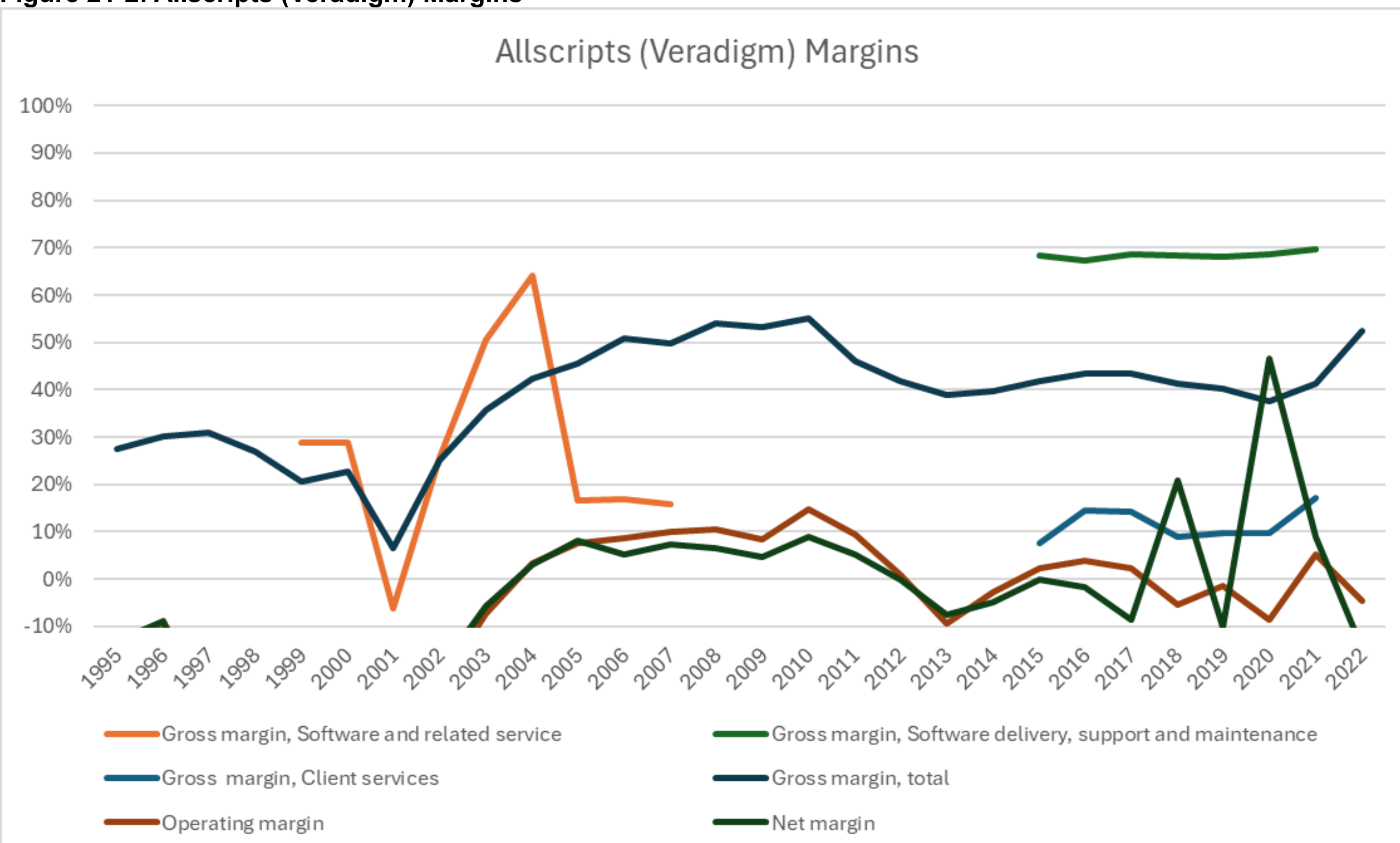
$ Million	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007
Prepackaged medication revenue	$ 29.9	$ 23.5	$ 25.9	$ 41.6	$ 49.7	$ 49.3	$ 46.2	$ 44.7	$ 65.2	$ 173.5	$ 222.7
Software and related service revenue	$ 0.7	$ 0.2	$ 1.7	$ 13.4	$ 21.1	$ 19.9	$ 28.4	$ 44.1	$ 45.6	$ 43.7	$ 44.0
Information services	$ -	$ -	$ -	$ -	$ -	$ 9.6	$ 11.3	$ 11.9	$ 9.8	$ 10.8	$ 15.3
Total revenue	**$ 30.6**	**$ 23.7**	**$ 27.6**	**$ 55.0**	**$ 70.8**	**$ 78.8**	**$ 85.8**	**$ 100.8**	**$ 120.6**	**$ 228.0**	**$ 281.9**

$ Million	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
System sales	$ 64.6	$ 98.5	$ 154.6	$ 242.9	$ 145.3	$ 113.6	$ 92.2								
Professional services	$ 30.9	$ 51.8	$ 75.4	$ 250.3	$ 270.5	$ 230.5	$ 218.0								
Maintenance	$ 141.5	$ 196.2	$ 248.5	$ 424.0	$ 460.1	$ 471.9	$ 466.1								
Transaction processing and other	$ 146.7	$ 187.6	$ 226.0	$ 526.8	$ 570.4	$ 557.0	$ 601.5								
Total software and service revenue	**$ 383.8**	**$ 534.0**	**$ 704.5**	**$ 1,444.1**	**$ 1,446.3**	**$ 1,373.1**	**$ 1,377.9**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**	**$ -**
Software delivery, support and maintenance	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ 918.4	$ 1,012.4	$ 1,174.7	$ 1,128.3	$ 1,126.5	$ 914.7	$ 916.2	
Client services	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ 468.0	$ 537.5	$ 631.6	$ 621.7	$ 645.2	$ 588.0	$ 586.9	
Provider															$ 465.9
Payer and Life Science															$ 122.1
Prepackaged medication revenue	$ -	$ 14.4	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ -
Total revenue	**$ 383.8**	**$ 548.4**	**$ 704.5**	**$ 1,444.1**	**$ 1,446.3**	**$ 1,373.1**	**$ 1,377.9**	**$ 1,386.4**	**$ 1,549.9**	**$ 1,806.3**	**$ 1,750.0**	**$ 1,771.7**	**$ 1,502.7**	**$ 1,503.0**	**$ 588.0**

Note:

1. Allscripts have engaged in M&A activities throughout its history, for example, in 2013, 2017, and 2018.[438] In 2022, the company sold its hospital business unit to N. Harris Computer Corporation, a subsidiary of Constellation Software, for $700 million, at an estimated EV/Sales of 0.75x.[439]

Figure 21-2: Allscripts (Veradigm) Margins



	1995	1996	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008
Gross margin, Software and related service					28.7%	28.9%	-6.2%	25.7%	50.5%	64.1%	16.6%	17.0%	15.9%	
Gross margin, total	27.5%	30.1%	31.0%	26.9%	20.6%	22.7%	6.5%	25.2%	35.7%	42.3%	45.5%	50.9%	49.8%	53.9%
Operating margin	-15.2%	-9.2%	-24.1%	-30.0%	-60.4%	-124.6%	-668.2%	-22.4%	-7.4%	3.2%	7.6%	8.7%	10.0%	10.5%
Net margin	-13.1%	-8.8%	-38.3%	-41.9%	-48.7%	-104.3%	-592.1%	-19.3%	-5.8%	3.1%	8.1%	5.2%	7.3%	6.6%

	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Gross margin, Software delivery, support and maintenance							68.2%	67.3%	68.7%	68.4%	68.1%	68.5%	69.6%	
Gross margin, Client services							7.7%	14.6%	14.3%	9.0%	9.6%	9.8%	17.1%	
Gross margin, total	53.3%	55.2%	46.1%	41.9%	38.9%	39.6%	41.9%	43.3%	43.3%	41.4%	40.3%	37.6%	41.2%	52.5%
Operating margin	8.4%	14.8%	9.5%	0.9%	-9.3%	-2.8%	2.3%	3.9%	2.3%	-5.3%	-1.4%	-8.7%	5.1%	-4.6%
Net margin	4.7%	8.9%	5.1%	-0.1%	-7.6%	-4.8%	-0.2%	-1.7%	-8.5%	20.8%	-10.3%	46.6%	8.9%	-14.7%

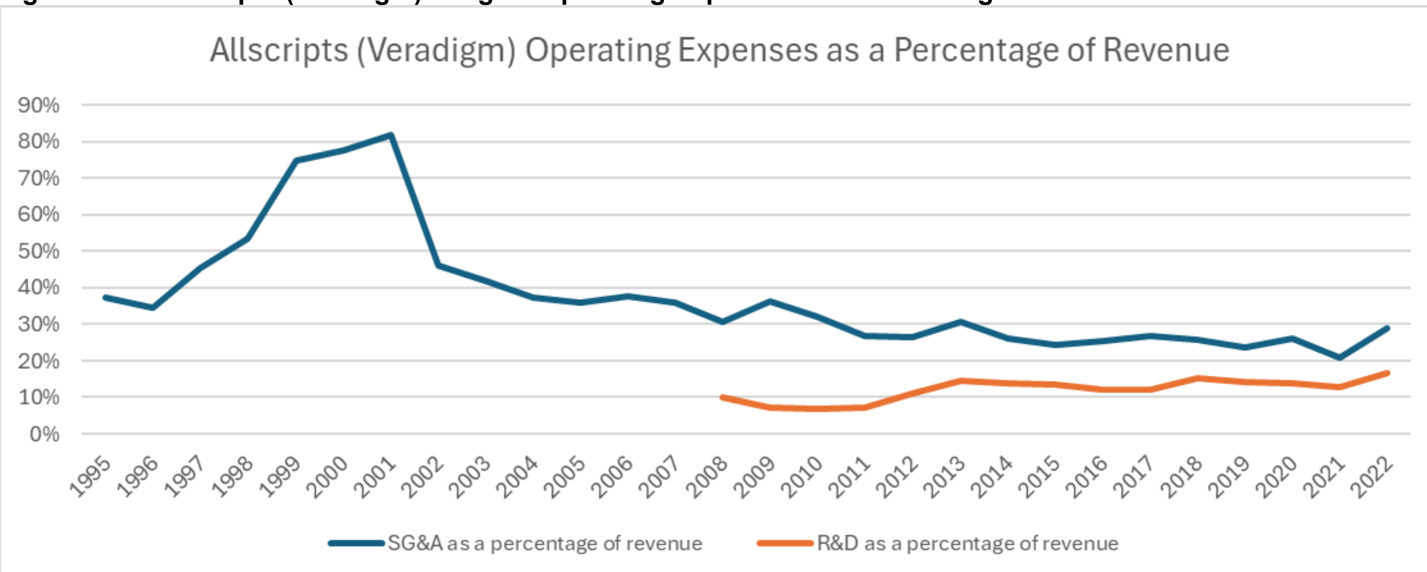
Notes:

[438] Allscripts (Veradigm) Annual Report 2013, 2017, and 2018.

[439] Harris Acquires Allscripts' Hospitals and Large Physician Practices Business Segment. https://web.archive.org/web/20220925213539/https://www.harriscomputer.com/news/en/ma-resourcesallscripts

1. Allscripts has engaged in M&A activities throughout its history, for example, in 2013, 2017, and 2018.[440] In 2022, the company sold its hospital business unit to N. Harris Computer Corporation, a subsidiary of Constellation Software, for $700 million, at an estimated EV/Sales of 0.75x.[441]
2. Software and related services from 1999 include revenue from software licenses, computer hardware, electronic information, education products, and related services.[442]
3. Software delivery, support and maintenance revenue from 2015 consists of recurring subscription-based software sales, support and maintenance revenue, recurring transactions revenue, and non-recurring perpetual software licenses sales, hardware resale, and non-recurring transactions revenue.[443]
4. Client services revenue consists of revenue from managed services solutions, such as private cloud hosting, outsourcing, and revenue cycle management, as well as other client services and project-based revenue from implementation, training, and consulting services.[444]

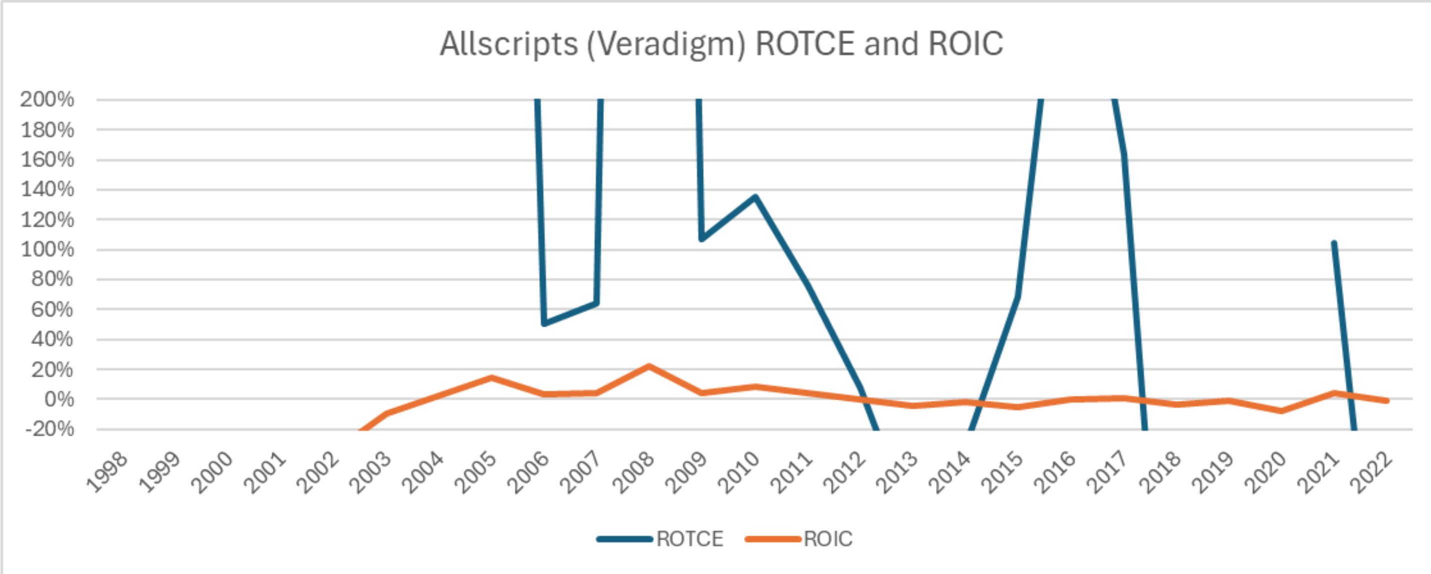
Figure 21-3: Allscripts (Veradigm) Margins Operating Expenses as a Percentage of Revenue



	1997	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009
SG&A as a percentage of revenue	45.3%	53.4%	74.9%	77.7%	81.8%	46.2%	42.0%	37.4%	35.9%	37.6%	36.1%	30.6%	36.4%
R&D as a percentage of revenue												9.8%	7.2%
	2010	**2011**	**2012**	**2013**	**2014**	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**
SG&A as a percentage of revenue	31.9%	26.8%	26.6%	30.6%	26.0%	24.5%	25.3%	26.9%	25.8%	23.7%	25.9%	20.9%	28.8%
R&D as a percentage of revenue	7.0%	7.2%	11.2%	14.5%	14.0%	13.3%	12.1%	12.2%	15.3%	14.4%	13.7%	12.9%	16.6%

[440] Allscripts (Veradigm) Annual Report 2013, 2017, and 2018.
[441] Harris Acquires Allscripts' Hospitals and Large Physician Practices Business Segment. https://web.archive.org/web/20220925213539/https://www.harriscomputer.com/news/en/ma-resourcesallscripts
[442] Allscripts (Veradigm) Annual Report 2001
[443] Allscripts (Veradigm) Annual Report 2016
[444] Allscripts (Veradigm) Annual Report 2016

Figure 21-4: Allscripts (Veradigm) ROTCE and ROIC



	1998	1999	2000	2001	2002	2003	2004	2005	2006	2007	2008	2009	2010
ROTCE								1218.4%	50.2%	63.8%	1817.9%	106.7%	135.3%
ROIC	-78.0%	-140.9%	-35.3%	-724.5%	-35.6%	-9.2%	2.7%	14.0%	3.5%	4.3%	22.3%	3.8%	8.6%

	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
ROTCE	75.8%	7.2%			68.2%	369.2%	163.5%				104.6%	
ROIC	4.5%	0.0%	-4.4%	-1.9%	-5.6%	-0.4%	1.0%	-4.0%	-1.0%	-8.0%	3.8%	-1.0%

Note:

1. Empty ROTCE cells reflect periods where the values are not meaningful. Allscripts reported operating losses from 1998 to 2003, in 2013, and again from 2018 to 2022. In addition, the company had negative tangible capital in 2004, 2019, and 2020.

Valuation

In 2021, Forbes estimated Judy Faulkner's 47% stake in Epic to be worth $6 billion, implying a $13 billion valuation of the company, assuming that most of her net worth was from Epic.[445] This would imply a CAGR of 33% from the company's founding investment of $70,000 in 1979.

A 2024 CNBC report used the average revenue multiple for software and services companies in the S&P 500, approximately 9x, to estimate Epic's current valuation at $45 billion.[446] That reflects a CAGR of nearly 35% from its founding investment of $70,000 in 1979.

Assuming a 30% EBITDA margin, as previously reported by Forbes,[447] and no-debt, Epic's EV/EBITDA for 2023 would be around 30x. Direct comparisons to Epic's main competitors are limited, as many have either remained private or were acquired by companies that are not good comparable companies. The closest competitor, Cerner, was acquired by Oracle Corporation in 2022 for a $28.3 billion equity deal at $95 per share,[448] implying a 54x last-twelve-month P/E and 22X EV/EBITDA.[449] If we applied for Cerner's EV/EBITDA when it was acquired by Oracle, assuming a 30% EBITDA margin,[450] Epic's value would be around $32 billion, implying roughly 35% CAGR from 1979 to 2023.

Veradigm (formerly Allscripts), listed on OTC, traded at an EV/EBITDA of 8.2x at the end of 2023, according to FactSet. However, Veradigm reported revenues of roughly $490 to $493 million in 2023,[451] less than one-tenth of Epic's estimated $4.9 billion.

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[445] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[446] Inside Epic Systems' Mythical Campus. CNBC. https://web.archive.org/web/20240902171731/https://www.cnbc.com/2024/09/01/inside-epic-systems-mythical-campus-a-world-away-from-wall-street-.html

[447] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[448] Oracle Buys Cerner. https://www.oracle.com/news/announcement/oracle-buys-cerner-2021-12-20/

[449] Calculated based on Cerner's Q3 2021 and FY2020 financials, which were available at the time of the announcement. Enterprise value is calculated as equity value plus debt. EV=$30 billion; Equity Value=$28.3 billion. Net Earnings LTM=$522 million; EBITDA LTM=$1,384 million. Oracle Buys Cerner. https://web.archive.org/web/20250311190922/https://www.oracle.com/news/announcement/oracle-buys-cerner-2021-12-20/

[450] The Billionaire Who Controls Your Medical Records. Forbes. https://web.archive.org/web/20230302215032/https://www.forbes.com/sites/katiejennings/2021/04/08/billionaire-judy-faulkner-epic-systems/

[451] Veradigm Provides Updates on Fiscal 2023 and 2024 and an Outlook for Fiscal 2025. https://investor.veradigm.com/news-releases/news-release-details/veradigm-provides-updates-fiscal-2023-and-2024-and-outlook

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